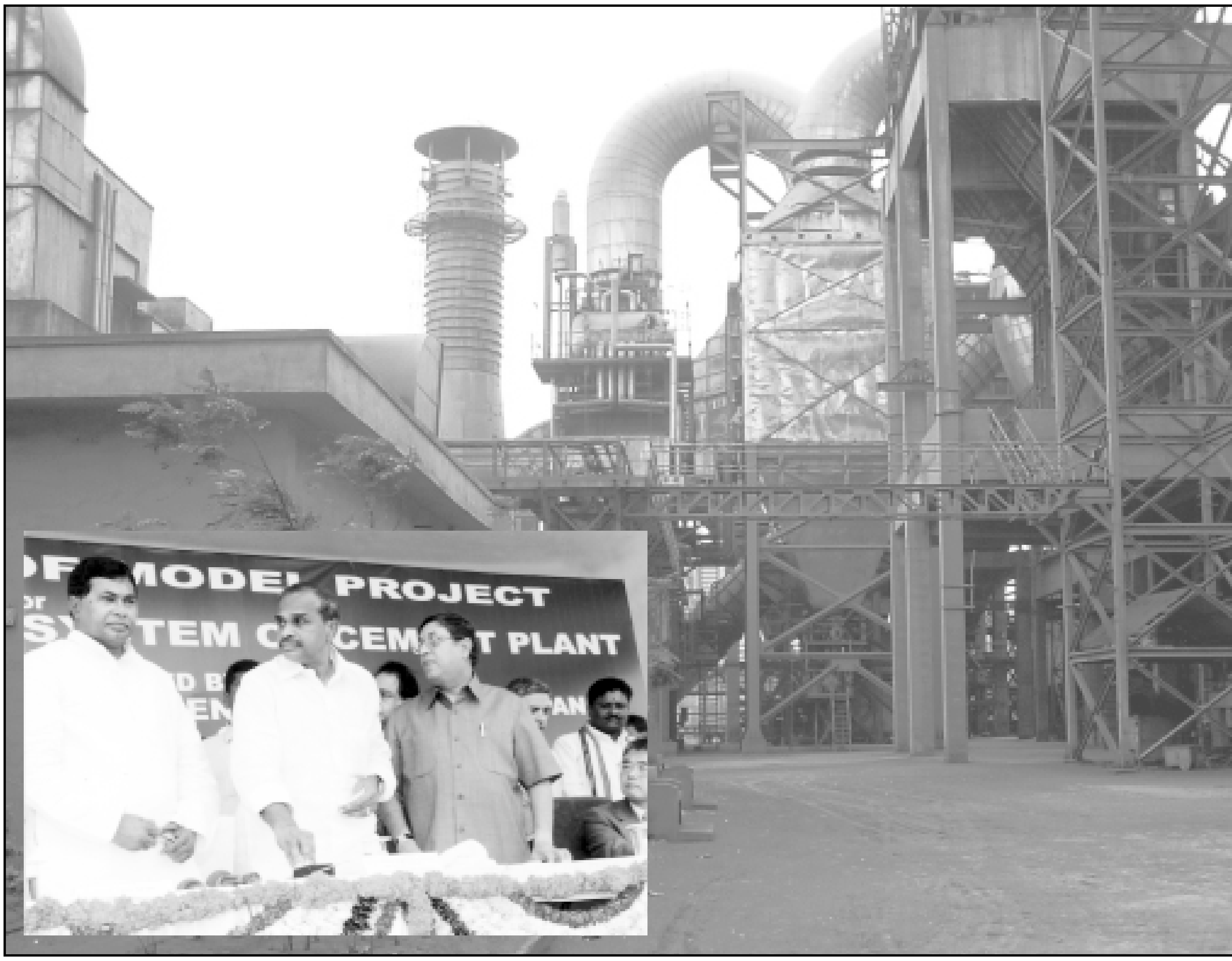
THE INDIA CEMENTS LIMITED

ANNUAL REPORT

2005



INAUGURATION OF MODEL WASTE HEAT RECOVERY PROJECT AT VISHNUPURAM CEMENT PLANT ON 16TH SEPTEMBER, 2004
BY DR. Y. S. RAJASEKHARA REDDY, HONOURABLE CHIEF MINISTER OF ANDHRA PRADESH

59th Annual General Meeting

Date	:	25th August, 2005
Time	:	12.00 NOON
Venue	:	Sathguru Gnanananda Hall (Narada Gana Sabha) 314, (Old No.254) T.T.K. Road Chennai 600 018.

A REQUEST

The practice of distributing copies of Annual Report at the Annual General Meeting has been discontinued in view of the high cost of paper and printing. Shareholders are, therefore, requested to bring their copy of the Annual Report to the meeting.

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THE INDIA CEMENTS LIMITED

BOARD OF DIRECTORS	**Sri N. Sankar**	Chairman
	Sri N. Srinivasan	Vice Chairman & Managing Director
	Sri N. Ramachandran	Executive Director
	Sri N. Kumar	
	Sri B.S. Adityan	
	Sri R.K. Das	
	Sri Denys Calder Firth	(Nominee of ADRC Limited)
	Sri P.N. Jambunathan	(Nominee of Life Insurance Corporation of India)
	Sri V.M. Mohammed Meeran	
	Sri N.D. Pinge	(Nominee of ICICI Bank Limited)
	Sri K. Sivaprakasam	(Nominee of Industrial Development Bank of India Limited)
	Sri Anish Kishore Modi	Alternate Director for Sri Denys Calder Firth

Auditors

Messrs Brahmayya & Co. and
Messrs P.S. Subramania Iyer & Co.,
Chartered Accountants
Chennai

Registered Office

"Dhun Building"
827, Anna Salai
Chennai - 600 002.

Cement Factories

TAMIL NADU
Sankarnagar,
Tirunelveli District.
Sankari,
Salem District.
Dalavoi,
Perambalur District.

ANDHRA PRADESH
Chilamakur & Yerraguntla,
Cuddapah District.
Vishnupuram,
Nalgonda District.

TEN YEARS IN BRIEF - FINANCIAL INFORMATION
YEAR ENDED 31st MARCH

		1996	1997	1998	1999	2000	2001	2002	2003	2004	**2005**
Sales & Earnings											
1. Sales and other Income	Rs.Lakhs	80644	83250	92731	139184	141966	145137	131325	103300	123688	**140230**
2. Profit/(Loss) before tax	Rs.Lakhs	8090	8258	6276	8704	4731	5115	(757)	(30723)	(11273)	**458**
3. Cash Generated (internally)	Rs.Lakhs	11737	12661	11287	15669	12120	13416	7994	(22582)	(3122)	**8335**
Assets											
4. Fixed Assets (Net)	Rs.Lakhs	55970	78527	100499	145187	150202	149109	142562	134458	233387	**220485**
5. Capital Investments	Rs.Lakhs	21899	26033	31496	57685	12471	7437	2461	405	1971	**2212**
6. Current Assets	Rs.Lakhs	19626	22536	25745	29194	36093	37911	43572	28415	30796	**38791**
7. Loans and Advances	Rs.Lakhs	9559	12110	38097	53659	76733	102704	97769	103167	100022	**98054**
Capital & Reserves											
8. Share Capital	Rs.Lakhs	6434	6434	6434	12500	16339	16348	16359	16359	16359	**16359**
9. Reserves and Surplus*	Rs.Lakhs	35389	40225	42291	50515	57951	60251	42778	23795	12105	**12132**
10. Shareholders' Fund	Rs.Lakhs	41823	46659	48725	63015	74290	76599	59137	40154	28464	**28491**
Net Worth, EPS & Dividend											
11. Net Worth Per Equity Share	(Rs.)	65.00	72.52	75.73	50.91	52.20	53.88	41.18	27.38	18.88	**18.90**
12. Earnings Per Equity Share	(Rs.)	22.79	12.83	9.06	12.57	3.33	3.25	(0.06)	(14.74)	(7.13)	**0.12**
13. Equity Dividend	(%)	45	30	30	35	18	18	-	-	-	-

* Figures exclude revaluation reserve and deferred income and after adjustment of deferred revenue expenditure.

DIRECTORS' REPORT

Your Directors have pleasure in presenting their **Fiftyninth Annual Report** together with Audited Accounts for the year ended 31st March, 2005.

	Rs. in Crores For the year ended 31st March	
	2005	2004
FINANCIAL RESULTS		
Profit before Interest & Depreciation	**153.45**	104.80
Less: Interest & Other Charges	**133.50**	161.68
Less: Depreciation	**78.77**	81.51
Add : Extraordinary Income (Net)	**63.40**	25.66
Profit / (Loss) Before Tax	**4.58**	(112.73)
Provision for Income Tax	**-**	-
Deferred Taxation – Asset	**-**	16.80
Profit / (Loss) after Tax	**4.58**	(95.93)
Add: Balance brought forward from last year	**(312.42)**	(216.49)
Add : Transfer from Share Premium	**2.87**	17.72
Less: Discount on Issue of Debentures	**-**	(17.72)
Less: Share / Debenture Issue expenses	**(2.87)**	-
Balance carried in Profit & Loss A/c	**(307.84)**	(312.42)

DIVIDEND

In view of marginal profit for the year, the Board of Directors does not recommend any dividend on preference and equity shares.

DIRECTORS' RESPONSIBILITY STATEMENT

Your Directors make the following statement in terms of Section 217 (2AA) of the Companies Act, 1956 with respect to Directors' responsibility. We confirm:

1. That in the preparation of the accounts for the year ended 31st March, 2005, the applicable accounting standards have been followed.
2. That such accounting policies have been selected and applied consistently and made judgements and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the financial year ended 31st March, 2005 and of the profit of the Company for that year.
3. That proper and sufficient care has been taken for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 1956 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
4. That the annual accounts for the year ended 31st March, 2005 have been prepared on a going concern basis.

MANAGEMENT DISCUSSION AND ANALYSIS

Pursuant to Clause 49 of the Listing Agreement, a Management Discussion and Analysis Report is given as addition to this report.

CORPORATE GOVERNANCE

Pursuant to Clause 49 of the Listing Agreement with Stock Exchanges, a Report on Corporate Governance along with Auditors' Certificate of its compliance is included as part of the Annual Report.

SHARE CAPITAL

Pursuant to the Resolution passed by the Shareholders at the Extraordinary General Meeting held on 17th January 2005, the Board Committee had allotted on 9th March, 2005, 2,96,00,561 Equity Warrants and 87,36,000 Optionally Convertible Debentures (OCDs) to ADRC Limited, Mauritius. The Equity Warrants are convertible at the option of the holder at a price of Rs.47/- per share of Rs.10/- each, at any time on or before

8th September, 2006. The Equity Warrants have been listed at National Stock Exchange of India Limited; however, the warrants are subject to lockin and hence, not available for trading upto 8th March, 2006. The OCDs are convertible at the option of the holder on 9th September, 2006. The conversion price is Rs.125/- per equity share of Rs.10/- each or at the price as per prevailing SEBI guidelines at the time of conversion whichever will be higher.

The Share Capital of the Company will increase by a maximum of Rs.38.34 Crores to Rs.177.89 Crores in the event of exercise of option for conversion to equity shares of both Equity Warrants and Optionally Convertible Debentures (OCDs) allotted on 9th March, 2005. In the event of exercise of option only in respect of Equity Warrants, the equity share capital would increase by a maximum of Rs.29.60 Crores to Rs.169.15 Crores. In the event of exercise of option for conversion of only OCDs, the equity share capital would go up by a maximum of Rs.8.74 Crores to Rs.148.29 Crores.

The Equity Shares of your Company have been included in the list of equity shares on which derivatives are available and the shares also form part of an index on which derivatives are available for trading in futures and options segment in the National Stock Exchange of India Ltd.

OPERATIONS

This is covered in the Management Discussion and Analysis report enclosed.

SUBSIDIARIES

The Company has been exempted by the Central Government vide its letter No.47/200/2005-CL-III dated 14.06.2005 under Section 212 (8) of the Companies Act, 1956, from attaching a copy of the Balance Sheet, Profit and Loss Account, Report of the Board of Directors and the Report of the Auditors of the Subsidiary Companies namely Industrial Chemicals & Monomers Limited, ICL Financial Services Limited, ICL Securities Limited and ICL International Limited. However, pursuant to Accounting Standard 21 issued by the Institute of Chartered Accountants of India, Consolidated Financial Statements presented by the Company include the financial information of the subsidiaries. The Company will make available these documents/details upon request by any Member of the Company and its subsidiaries interested in obtaining the same. The Annual Accounts of the Subsidiary Companies will also be kept for inspection by any Member at the Registered Offices of the Company and its Subsidiary Companies.

CONSOLIDATED FINANCIAL STATEMENTS

As prescribed by Accounting Standard 21 issued by the Institute of Chartered Accountants of India, the audited consolidated financial statements of ICL Group are annexed.

ASSOCIATE COMPANIES

VISAKA CEMENT INDUSTRY LIMITED

The Cement Works of Visaka Cement Industry Ltd., at Tandur continues to show all round improvement in its performance. For the 11 months ended May '05 as compared to corresponding period of the previous year, Clinker production increased by 19% from 7.64 Lakh Ts. to 9.12 Lakh Ts. Cement production recorded impressive growth of 16% from 8.67 Lakh Ts. to 10.06 Lakh Ts. Cement despatch was also higher by 16% at 10.06 Lakh Ts. against 8.70 Lakh Ts. The Plant achieved 1 Million Ts. of Cement production in just 11 months and PPC production was also stepped up in 2004-05. This growth in performance compares well with the overall growth in demand for cement in the South, which was only 2%.

By implementing energy saving measures, the power consumption at this plant was also brought down from 92 Kwh/Tn of Cement to 90 Kwh/Tn. With cement prices firming up and with a strong demand growth, the Company should perform better in the years ahead.

Consequent to the improved performance, the Company approached the Lenders for reducing the interest rates and the proposal was considered and agreed by the Empowered Group of CDR Cell. Consequent to this, the effective rate of interest has come down by over 5% per annum, effective 1st October, 2004.

ICL SUGARS LIMITED

The performance of the sugar industry in the country during the year under review was adversely affected due to drastic shrinkage of cane plantation area on account of drought conditions. This was severe in the States of Maharashtra and Karnataka, where the Company's Plant is located. The quality of cane was also affected due to pest menace in the area. This situation led to price war and was further aggravated by diversion of cane to jaggery manufacturers in large scale. In view of the restricted availability of sugarcane, there was virtually a scramble for available cane and consequently, cane crushed during the year under review was only 2.96 lakh Ts. as against 5.24 lakh Ts. for the previous year. Also the sugar recovery for the year under review was only 8.37% as against 10.10% in the earlier year. Consequent to lower crushing and poor recovery, the production of sugar was lower at 2.48 lakh Qtls. as against 5.29 lakh Qtls. in the previous year. However, the domestic sale of sugar has gone up from 5.09 lakh Qtls. in the previous year to 5.54 lakh Qtls. during the year under review due to drawal from stock. The restricted availability of cane also affected co-generation of power and ICL Sugars Ltd. could export only 48 lakh units for the year under review as against 142 lakh units for the year 2003-2004.

Despite the poor crushing, the Company was able to record a turnover of Rs.96.63 crores as against Rs.87.80 crores in the previous year and the earnings before Interest and Depreciation was marginally lower at Rs.17.89 Crores as against Rs.18.18 Crores, consequent to the significant improvement in the market price for sugar. The interest cost was lower at Rs.8.36 Crores as against Rs.11.95 Crores in the previous year mainly due to lower utilisation of working capital loans. The profit before tax for the year under review was higher at Rs.4.21 Crores (unaudited) as against Rs.1.02 crores in the previous year.

In view of the good monsoon in the area during the last year, cane plantation has improved significantly and the Company is expected to crush over 5 lakh Ts. during the current year.

INDIA CEMENTS CAPITAL & FINANCE LIMITED

India Cements Capital & Finance Limited has exited from fund based activities and is focusing on fee based activities.

The gross income from operations for the year ended 31st March, 2005 was Rs.1164.41 lakhs.

The various fee based activities of the Company, namely, Full Fledged Money Changing, Foreign Exchange Advisory Services and Travel Services have recorded growth in volume and profitability during the year.

India Cements Investment Services Ltd., one of its subsidiaries, earned gross income of Rs. 141.70 lakhs for the year. It expanded its operations to six new centres during the year.

TRISHUL CONCRETE PRODUCTS PRIVATE LIMITED (TCPL)

The demand for Ready Mix Concrete (RMC) has been steadily growing particularly in the major metros and it is expected that the share of RMC in total concrete would continually grow in the years to come. To take advantage of this trend, the second RMC plant of TCPL was commissioned in Bangalore during October '04 with a capacity of 60 Cu.M./hr. Consequently, there has been a 61% jump in the production and sale of RMC to 168229 Cu.M. during FY 04-05 from 104249 Cu.M. in the previous year. The turnover of the Company increased by 63% from Rs.1889 lakhs in 2003-04 to Rs.3071 lakhs during the year under report. Inspite of increase in input costs like diesel, sand aggregates etc., the Company through efficient operation posted a profit before tax of Rs.126.74 lakhs (unaudited) compared to Profit after tax of Rs.5.49 lakhs (audited) in the previous year, registering a 25 fold increase.

The Company has commissioned its third unit at Chennai (2nd plant at this location) with 30 Cu.M. Capacity during June '05 to take advantage of the anticipated demand for RMC along the East Coast Road. TCPL will look at further opportunities to grow in the coming years. The ability to offer RMC from an associated company enables tied sales of your Company's cement to the RMC consumers.

CURRENT PERFORMANCE

The current financial year 2005-06 is off to a promising start with the all India demand for cement registering double digit growth and the demand in South India growing by over 20%. Your Company has been able to better the industry performance with a 30% growth in sales volume terms. While clinker production during April-May '05 registered a growth of 8% at 9.57 Lakh Ts as against 8.91 Lakh Ts in the corresponding period of the previous year, cement production was up by 35% at 11.49 Lakh Ts as against 8.48 Lakh Ts. Domestic sale of cement grew by 44% from 7.94 Lakh Ts during April-May '04 to 11.49 Lakh Ts during the current period. Clinker exports and domestic sales was however lower at 0.89 Lakh Ts during the current period as against 1.59 Lakh Ts during April-May '04. Total sales of clinker and cement during the period stood at 12.43 Lakh Ts as against 9.58 Lakh Ts during April-May '04. The expected growth in demand of around 10% during the year should make for a substantial increase in sale of cement and clinker during FY 2005-06.

CORPORATE DEBT RESTRUCTURING (CDR) SCHEME

The Company has during the year arranged for a funding of about Rs.650 crores from Foreign Investors / Co-investors for refinancing the existing debt. Of this, the Investors have infused / arranged for infusion of Rs.393 crores into the Company, which has been utilised for settling the debts of some of the lenders, who have opted to exit. The Company is expected to get the balance amount of about Rs.257 crores during the current year. Further the Company has also arranged for a term loan of Rs.325 crores from an Indian Institution. These funds as and when received would be utilised for refinancing some of the existing debts. Consequent to the infusion of fresh funds, the Company has approached the major lenders for reduction of interest rates on the existing loans, which is under their consideration.

PUBLIC DEPOSITS

The total amount of fixed deposits including cumulative deposits which had not become due but outstanding as at the end of the financial year 2004-05 stood at Rs.3107.86 lakhs. Deposits totalling Rs.91.36 lakhs that matured for repayment were neither claimed by the Depositors nor instructions for renewal were received by the Company. Reminders were issued to the deposit holders and since the close of the financial year ended 31st March, 2005, deposits aggregating to Rs.32.76 lakhs out of the above have either been claimed and paid or have been renewed or transferred to Investor Education and Protection Fund.

CONSERVATION OF ENERGY ETC.

The prescribed details as required under Sec.217(1)(e) of the Companies Act, 1956 are set out in the Annexure A.

RESEARCH & DEVELOPMENT

The Division continued its work on process improvements, alternative fuels, use of performance improvers and other application oriented areas during the year. During the year, the Company expended Rs.2.36 lakhs by way of capital expenditure and Rs.42.62 lakhs by way of revenue expenditure for the R&D.

PERSONNEL

Industrial relations continued to remain cordial during the year.

Information in accordance with the provisions of Sec. 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of Employees) Rules, 1975, as amended, regarding employees is given in Annexure 'B' to the Directors' Report.

DIRECTORS

The Company has received the approval of Government of India vide its letter No.1/349-350/2004-CL.VII dated 19th January, 2005 for the re-appointment of Mr.N.Srinivasan as Managing Director and Mr.N.Ramachandran as Executive Director and payment of remuneration to them for a period of 3 years from 15th September, 2004.

Mr.P.N.Jambunathan, nominated by Life Insurance Corporation of India (LIC), was appointed as a Director on 24.9.2004.

Mr.R.K.Das, who retired as President (Operations) of the Company, was co-opted to the Board as additional Director with effect from 1.10.2004.

UTI AMC Private Limited vide its letter No.UT/DOIM/NDC[I-2]/4055/2004-05 dated 29.03.2005 withdrew the nomination of Mr.Gul M.Iqbal on the Board of our Company.

Mr.Denys Calder Firth, ADM, Hongkong was appointed as additional Director on 18th May, 2005 on nomination by ADRC Limited, Mauritius. The Board has also appointed Mr.Anish Kishore Modi as alternate Director for Mr.Denys Calder Firth.

Industrial Development Bank of India Limited has appointed Mr.K.Sivaprakasam on the Board of the Company with effect from 19th May, 2005 in the place of Mr.J.Jayaraman.

The Board expresses its appreciation of the valuable contributions made by Mr.Gul M.Iqbal and Mr.J.Jayaraman during the tenure of their Directorship.

Under Article 109 of the Articles of Association of the Company, Mr.N.Sankar and Mr.B.S. Adityan retire by rotation at the ensuing Annual General Meeting of the Company and are eligible for re-appointment.

Under Article 103 and 105 of the Articles of Association of the Company, Mr.P.N.Jambunathan, Mr.R.K.Das and Mr.Denys Calder Firth will hold the office upto the date of the ensuing Annual General Meeting of the Company and resolutions for their election as Directors of the Company are included in the Notice convening the Annual General Meeting.

Information on Directors eligible for re-appointment / appointment in terms of Clause 49 of the Listing Agreement is annexed to the Notice convening the 59th Annual General Meeting.

AUDITORS

Messrs Brahmayya & Co. and P.S. Subramania Iyer & Co., Chennai, the Auditors of the Company, retire at the ensuing Annual General Meeting and are eligible for reappointment.

Mr. S.A. Murali Prasad, Cost Accountant, Chennai, has been appointed as Cost Auditor for the year 2005-06 subject to approval by the Government of India.

ACKNOWLEDGEMENT

The Directors are thankful to the Financial Institutions and the Bankers for their continued support. The Directors also thank the Central Government, Tamil Nadu and Andhra Pradesh Governments. The stockists continued their excellent performance during the year and the Directors are appreciative of this. The continued dedication and sense of commitment shown by the employees at all levels during the year deserve special mention.

On behalf of the Board

Place: Chennai
Date : 25th June, 2005

N.SANKAR
CHAIRMAN

Coromandel Cement

ANNEXURE 'A' TO DIRECTORS' REPORT FOR THE YEAR ENDED 31.3.2005

Information pursuant to Section 217(1)(e) of the Companies Act, 1956 read with the Companies (Disclosure of Particulars in the Report of Board of Directors) Rules, 1988.

A. Conservation of Energy:

(a) Energy conservation measures taken:

i. Installation of Waste Heat Recovery system for power generation.

ii. Retrofitting of ESP fan with high efficiency fan for VRM.

iii. Pre-calciner venturi modification to reduce pressure drop in pre-heater.

iv. Coal mill internal aerodynamic optimisation to optimise the velocity resulting in specific power consumption.

v. Optimisation of raw meal silo feed and kiln feed conveying air volume through V/F drive speed control system.

vi. Installation of fly ash storage and regulated feeding system for increased consumption of fly ash and higher production of PPC resulting in power savings.

vii. Replacement of preheater fan with high efficiency fan at one of the units.

viii. Optimisation of flow rates of all process fans undertaken.

(b) Additional investments and proposals, if any, being implemented for reduction of consumption of energy:

i. Installation of high efficiency and low pressure preheater cyclones.

ii. Upgradation of grate cooler for thermal energy savings and increased clinker output.

iii. Replacement of pneumatic conveyors with bucket elevators for raw meal, kiln feed and cement transport.

iv. Installation of double roller crusher for limestone.

v. Replacement of old compressors with new energy efficient compressors.

vi. Modernisation of old cement mills with new mill liners, weigh feeders to achieve increased output and power savings.

vii. Installation of fly ash handling system for higher consumption of fly ash.

(c) Impact of measures at (a) and (b) above for reduction of energy consumption and consequent impact on the cost of production of goods:

As a result of the above measures undertaken, power consumption in one of the dry process plants has been reduced by three units per Tn while overall power consumption for the Company has come down by one unit per Tn of cement and the power cost has come down due to generation of power from waste heat.

The measures that are proposed to be taken/under implementation are expected to reduce the power consumption further by 3 to 4 KWH/Tn. and heat consumption by 20 K.Cals/Kg of clinker in the dry process plants with an expected savings of around Rs.25/- per Tn of cement.

(d) Total energy consumption and energy consumption per unit of production:

Given in Form 'A' annexed.

B. Technology Absorption:

Efforts made in technology absorption:
Particulars given in Form 'B' annexed.

C. Foreign exchange earnings and outgo:

(a) Activities relating to exports, initiatives taken to increase exports, development of new export markets for products and services and export plans:

We have exported 0.30 lakh Ts of cement and 8.11 lakhs Ts of clinker during 2004 - 05

(b) Total foreign exchange used and earned:

	Current Year	Previous Year
Used Rs. Lakhs	**96**	35
Earned Rs. Lakhs	**10657**	4477

FORM A

FORM FOR DISCLOSURE OF PARTICULARS WITH RESPECT TO CONSERVATION OF ENERGY

		Current Year	Previous Year
A. POWER & FUEL CONSUMPTION			
1. Electricity			
(a) Purchased			
Units - KWH - Lakhs		**3762.23**	3670.49
Total amount - Rs. Lakhs		**12242.03**	12252.17
Rate per unit - Rs.		**3.25**	3.34
(b) Own Generation			
(1) Through Diesel/Furnace Oil Genset *			
Units - KWH - Lakhs		**1700.06**	1403.57
Unit per Litre of Diesel/Furnace Oil-KWH		**4.03**	4.00
Cost per unit - Rs.		**2.69**	3.12
(2) Through Steam Turbine/Genset*			
Units - KWH - Lakhs			
Unit per Litre of Furnace Oil/Gas-KWH		**–**	–
Cost per unit - Rs.			
2. Coal for Kilns (various grades incl. Lignite)			
Quantity	Tonnes	**861510**	715753
Total Cost	Rs.Lakhs	**26471**	18924
Average Rate	Rs.	**3073**	2644
3. HSD/Furnace Oil for Kilns			
Quantity	K.Litres	**427.69**	324.41
Total Cost	Rs.Lakhs	**101.63**	58.92
Average Rate	Rs./K.Litre	**23763**	18162
B. CONSUMPTION PER UNIT OF PRODUCTION	Standards (if any)		
Electricity (KWH/Tn of Cement)			
Wet Process (Cement Grinding & Packing Only)	40	**37.07**	37.66
Dry Process	130	**88.39**	89.31
Coal %			
Dry Process	20-25	**16.10**	14.51
(Depending on Quality of Coal)			
Diesel Oil/Furnace Oil per tn of Cement (Litres)		**0.08**	0.06

* Including Power from Waste Heat Recovery Plant for the current year

FORM B

FORM FOR DISCLOSURE OF PARTICULARS WITH RESPECT TO ABSORPTION

Research and Development (R & D): 1. Specific areas in which R&D carried out by the Company 2. Benefits derived as a result of above R & D 3. Future plan of action	The Company has started an inhouse R&D Department during Dec.99 with a specified objective of carrying of R&D Projects in development of expert systems for the mills and kilns optimisation, Benchmark studies of our Cement Plants, optimisation of process Systems and Parameters ensuring Product improvement and cost reduction.
4. Expenditure on R & D:	
(a) Capital	A sum of Rs.2.36 lakhs was spent during the year for procurement and installation of equipments.
(b) Recurring	A sum of Rs. 42.62 lakhs has been spent during the year for the functioning of R&D Department. Besides this, Rs.41.17 lakhs is the contribution to National Council for Cement and Building Materials (NCCBM) which carries out Research on behalf of the Industry.
(c) Total	Rs.86.15 lakhs
(d) Total R & D expenditure as a percentage of total turnover.	0.06

Technology absorption, adaptation and innovation: 1. Efforts, in brief, made towards technology absorption, adaptation and innovation. 2. Benefits derived as a result of above efforts e.g., product improvement, cost reduction, product development, import substitution, etc. 3. In case of imported technology (imported during the last 5 years reckoned from the beginning of the financial year), following information may be furnished: (a) Technology imported. (b) Year of Import. (c) Has technology been fully absorbed? (d) If not fully absorbed, areas where this has not taken place, reasons therefor and future plans of action.	Not applicable

ANNEXURE 'B' TO DIRECTORS' REPORT

Information as required under Section 217(2A) of the Companies Act, 1956 read with Companies (Particulars of Employees) Rules, 1975 and forming part of the Directors' Report for the year ended 31st March, 2005

Sl. No.	Name of the employee and age	Designation and nature of duties	Remuneration Gross Rs.	Qualification	Experience	Date of commencement of employment	Last Employment and Post held
A) Employed throughout the Financial Year and in receipt of remuneration aggregating not less than Rs. 24,00,000/- per annum							
1.	Sri Subramanian PL. 59 Years	President (Technical & Manufacturing)	2732111	B.E. (Mech.)	35 Years	25.08.86	Coromandel Fertilisers Ltd., Chief Engineer
2.	Sri Swaminathan T.V. 58 Years	Joint President (Operations)	3019164	B. Com., AICWA Graduate ACS	39 Years	05.05.77	Ramachandra Chemicals (P) Ltd., Manager (Finance)
3.	Sri Ramachandran N. 56 Years	Executive Director	5750375	B.Tech (Chem. Engg.)	33 Years	14.12.94	EWS Finance & Inv Ltd., Wholetime Director
4.	Sri Srinivasan N. 60 Years	Vice Chairman & Managing Director	6897391	B.Sc(Tech), M.S. (I.I.T.) Chicago	37 Years	18.09.89	E.W.Stevens & Co. Pvt. Ltd., Chairman
B) Employed for a part of the Financial Year and in receipt of remuneration aggregating not less than Rs. 2,00,000/- per month.							
1.	Sri Das R.K. 72 Years	President (Operations)	5192818	B.E.(Mech.) M.I.E.	49 Years	8.12.1965	Hindustan Steel Ltd., Asst. General (Foreman)

Note:

1) All the employees in Statement A and B other than Vice Chairman & Managing Director and Executive Director were in the permanent employment of the Company and the employment is non-contractual.

   The employment of Vice Chairman & Managing Director and Executive Director are contractual.

2) Gross remuneration for contractual employees include salary, house rent allowance, bonus, value of perquisites for accommodation and electricity, employer's contribution to Provident Fund, Leave Travel Assistance, etc., as applicable excluding contribution to Gratuity and Superannuation Fund where applicable which is not individually allocable.

3) The Vice Chairman & Managing Director and the Executive Director are related to each other, but are not related to any other Director of the Company.

MANAGEMENT DISCUSSION AND ANALYSIS

ECONOMIC OVERVIEW

The economy in 2004-05 once again exhibited its resilience by clocking a GDP growth of 6.9% despite northbound oil prices, deficient rainfall and the ravage caused by Tsunami in the southern states.

The less than expected growth in GDP was caused by deceleration in agricultural growth to 1.1% as against 9.6% in 2003-04 due to an erratic monsoon which had an adverse impact on the Kharif crop. The set back on account of agricultural production was offset to some extent by the growth in industrial production at 8% as against 7% in the previous year. Industrial production was fuelled by positive growth in as many as 14 out of a total of 17 industry groups with textiles registering the highest growth of 29.4%. Growth in the core infrastructure industries was, however, disappointing dipping to 4.4% in 2004-05 from 6.2% in the previous year. The services sector which contributes about 50% to India's GDP registered a growth of 8% in the fiscal year 2004-05, thereby, helping to drive GDP growth to 6.9%.

The rate of inflation after reaching 8.7% in late August 2004, mainly due to hikes in international prices of petroleum and other metal and minerals, decreased to 5% in end March 2005 consequent to the initiation of several fiscal measures by the Government. The other positive economic indicators are the buoyancy in the Capital Market with IPOs growing 5 times to Rs.35859 Crores in 2004 and the extremely comfortable forex reserves at US $ 141 billion.

The fiscal deficit for the year ended March 2005 stood at 4.1% of the GDP, below the Government's target of 4.5% largely due to a fall in spending and buoyant revenue collections.

On the external front, the export target set for the country in the FY 2004-05 has been comfortably surpassed with exports being valued at $ 79.6 billion as against the target of $ 73.4 billion - 24% higher than in 2003-04. Government has fixed an ambitious target of $ 150 billion for 2005-06. Imports in FY 2004-05 at $ 106.1 billion was 36.5% higher than in the previous year mainly due to the rising trend in international oil prices. The oil import bill stood at $ 29.08 billion, 41% higher than in the previous year. Non oil imports increased by 34% in 2004-05, reflecting increased economic activity. In view of the strong increase in imports, the trade deficit in 2004-05 widened to $ 26.5 billion compared to $ 14.27 billion in the previous year.

OUTLOOK FOR 2005-06

Backed by prospects of normal monsoon, the Indian economy is expected to grow at a rate of 6.6% according to CMIE. The Credit Policy 2005-06 on the other hand has projected GDP growth at 7%. The drivers of economic growth are likely to be agricultural growth (3%), industrial growth (8.5%) and services sector growth (8%).

The growth prospects will obviously depend on sustaining investment flow, improving infrastructure, containing fiscal and revenue deficits, reining in inflation and keeping interest rates low. While initiatives taken in a number of sectors like Telecom, Roads, Ports and Civil Aviation have positively impacted economic growth, there is need to reconsider the FDI caps in sectors like Coal, Mining, Insurance and retail trade etc., if economic growth is to be accelerated.

INDUSTRY SCENARIO

The anticipated growth in demand for cement did not accrue till the middle of the third quarter for a variety of reasons. General elections early in the financial year meant slow down in economic activity until the new Government was in place and functioning. Differing monsoon patterns with copious rainfall in certain parts and less than normal monsoon in other parts also affected offtake of cement. Consequently, the growth in demand during the first half of the financial year was sluggish at around 5%. However, the much expected buoyancy in demand for cement did eventuate during the second half of the financial year, which registered a growth of over 9%, thus enabling a reasonable overall growth rate of 7.4% in domestic consumption of cement (7.8% including exports) for the year as a whole.

The overall production of cement in the country increased from 116.35 million tonnes to 125.56 million tonnes, an increase of 7.9% while the domestic consumption was up from 113 million tonnes to 121 million tonnes during the same period. Export of cement has also registered an impressive rise of 21% to 4.07 million tonnes (3.36 million tonnes) while clinker exports moved up by 6.2% to finish at 5.99 million tonnes during the year.

An analysis of the cement growth pattern reveals wide variations in growth from region to region as under:-

North	6.11%
East	16.31%
West	9.05%
Central	7.57%
South	2.06%

South India had witnessed a negative growth of 6% during the first half of the fiscal while finishing the year with a nominal growth of 2%, which implies a growth rate of over 9% in the second half in line with the all India growth. The Industry as such has started witnessing the anticipated growth in demand from the month of January '05 onwards with a double digit growth.

The cement industry in the South had to contend with another difficult year given the nominal growth in demand of 2% for the year. The cement prices were under continuous pressure during the first half of the year with cement demand registering a 6% drop year on year during that period. The prices which had recovered and stabilised somewhat from mid-November '03 could not be sustained beyond May '04 and started heading South. However, with the firming up of demand from the month of January '05, the prices have again started looking up and are being maintained at reasonable levels. Consequently, the capacity utilisation of the Industry in the south was only 77% as against the all India average utilisation of 84%. However, given the present buoyancy in demand and the promising outlook for the Indian economy, given the focus on infrastructure spending, housing and irrigation, it is expected that demand for cement will register a healthy growth with further improvement in prices.

In fact, on an all India basis, the demand for cement during the fiscal 2005-06 is expected to marginally outstrip availability, which augurs well for the Industry prospects in the coming fiscal.

COMPANY PERFORMANCE

Given the situation in the market place during the financial year under report with a very little growth in domestic demand for cement in the south, your Company's strategy to boost volumes was to step up clinker exports, taking advantage of the uptrend in global demand for cement and clinker. Clinker production of the Company registered significant growth of 8.5% while cement production was up by 2% in line with the southern market. The overall sales of the Company including clinker exports and cement was higher by 9% at 63.75 Lakh Ts against 58.25 Lakh Ts achieved in the previous year. The Company could register a satisfactory growth in turnover mainly due to its thrust on clinker exports with 8.11 Lakh Ts of clinker being exported mainly to Bangladesh and Sri Lanka.

With the partial recovery in prices of cement, the gross realisation increased by Rs.97 per tn of cement. On the back of significant increase in clinker exports and marginal increase in cement volume, the sales and other income of your Company grew by an impressive 13% to Rs.1402.30 Crores as against Rs.1236.88 Crores in the previous year. The Income from operations improved by 46% at Rs.153.44 Crores against Rs.104.80 Crores in the previous year and the operating margins have improved to 10.94% from 8.5% in the previous year.

As mentioned in the Directors' Report, your Company has undertaken further steps on debt restructuring and consequently, the Interest and other charges were lower at Rs.133.50 Crores against Rs. 161.68 Crores in the previous year. The depreciation charges were also marginally lower at Rs.78.77 Crores against Rs.81.51 Crores in the previous year. Consequently, the net loss for the year was more than halved to Rs.58.82 Crores against Rs.138.39 Crores in the previous year. Besides the above, there is an extraordinary income of Rs.63.40 Crores representing the remission in liability arising out of the repayment of some of the existing debts in excess of interest accrued during the current financial year and the result is a net profit of Rs.4.58 Crores for the current year as against a loss of Rs.112.73 Crores during the previous year after reckoning an extraordinary income of Rs.25.66 Crores towards reduction in Interest charges under the CDR scheme relating to January-March '03. Your Directors are happy to report that the Company has returned to black after a break of 3 years.

The profitability could have been much higher but for the impact of various increases in cost of production beyond the control of your Company:-

- Increase in ocean freight and in the price of imported coal caused by regulated exports from China and consequent hardening of Indonesian coal prices besides a strong freight market. Consequently, the average price of coal/tn increased by Rs.429 /Tn, impacting the bottomline by Rs.37 Crores.
- Frequent increases in the prices of Petroleum products resulted in overall increase in the cost of generation and transportation by Rs. 9 Crores.
- Increase in Royalty on limestone by Rs.5/Tn with effect from October '04 had an impact of Rs.2 Crores during the year.
- The All India Cement Wage Board settlement provided for increase in wages for workers of Rs.215 per worker per month and in addition, the cost of living index also went up by 89 points, which meant an additional outgo of Rs.1.50 Crores.

However, improvements in operating efficiencies and economies in administrative and selling costs, which are detailed elsewhere served to restrict the impact of such cost escalations.

SEGMENTARY REVIEW AND ANALYSIS

The Company is exclusively engaged in the manufacture and sale of cement. Production and sale of cement during the financial year 2004-05 as compared to the previous year is as under:-

		In lakh tonnes Year ended 31st March	
		2005	2004
Production :	Clinker	**53.51**	49.31
	Cement	**54.93**	54.09
Sales :	Clinker including exports	**8.91**	4.10
	Cement	**54.84**	54.15
	Total including exports	**63.75**	58.25

The capacity utilisation of the cement plants for the year under review improved to 71.4% (70%) and was commensurate with the growth in cement demand in the region. However, capacity utilisation for clinker increased from 72% to 78%. The clinker production could have been higher but for the stoppage of the kiln at the Chilamakur Cement Plant due to a fire mishap in the cable trench for 34 days as mentioned in our last Directors' Report. The Sankari Plant continues to operate as a grinding unit utilising the clinker transferred from other cement plants of the Company. With the expected increase in demand in financial year 2005-06, the capacity utilisation for clinker and cement is likely to improve significantly.

OPERATIONAL HIGHLIGHTS

- During the year, the Sankarnagar factory achieved its highest cement grinding and despatches of 13.88 lakh Ts and 13.85 lakh Ts respectively (previous best 13.56 Lakh Ts and 13.47 Lakh Ts respectively).
- The Yerraguntla Plant of your Company recorded its highest clinker production of 4.64 Lakh Ts (previous best 3.82 Lakh Ts), cement production of 4.62 Lakh Ts (previous best 4.23 Lakh Ts) and cement sales of 4.59 Lakh Ts (previous best 4.29 Lakh Ts).
- The Vishnupuram Plant also recorded its highest clinker production of 19.12 Lakh Ts during the year under review (previous best 18.91 Lakh Ts).
- Further improvement in kiln productivity was achieved at Yerraguntla Cement Plant by 2% during the year under review.

ENERGY EFFICIENCY

There was further reduction in power consumption for the dry process plants to 88.39 Kwh/Tn of cement against 89.31 Kwh/Tn in the previous year. While the heat consumption was marginally higher, the coal consumption per tonne of clinker has increased due to a drop in the calorific value of coal supplies. Indonesia, which is a traditional source for import of coal into India had shifted its supplies to Korea and Japan due to paucity of Chinese coal, which meant that more of high moisture and lower calorific value coal was supplied into India, resulting in increase in per calorie cost and consumption. The position has however eased of late.

COST REDUCTION

The Company continued its efforts to increase production of blended cement and during 2004-05 the proportion of blended cement production was increased to 54% from 49.30% in the previous year, thereby contributing to cost reduction.

The Company has been continually reducing its manpower through voluntary separation schemes and by not filling up vacancies caused by natural attrition wherever surplus. During the financial year, the number of employees of the Company was further reduced to 3518 from 3815 as at the end of the previous year. The Company has effected reduction in manpower by 1123 employees or 24% since March 2000. Manpower reduction is an ongoing exercise and we expect to further prune our employee strength.

ALTERNATE POWER

The power generation from your Company's wind mills was 158 Lakh units during the year under review, which was used by the company's plants in Tamil Nadu.

The unique Waste Heat Recovery System for generation of power from waste gas at Vishnupuram cement plant was commissioned during the year and the plant is generating 7.7 MW of power, which is being used by the Vishnupuram unit. During the year under review, the generation of power from the waste heat recovery system was 293 lakh units.

The Company is also availing the gas power from the gas power plant commissioned by Coromandel Electric Company Ltd. from 28th October, 2004. The entire power from this plant is being utilised by the units in Tamil Nadu, which is available at a considerably cheaper price as compared to the EB Tariff applicable. During the year ended 31st March, 2005, your Company has availed 501 Lakh units of power from Coromandel Electric Company Ltd.

All the above efforts taken by the Company helped in containing the various increases in cost of production beyond the control of the company as detailed earlier.

OPPORTUNITIES, THREATS, RISKS & CONCERNS

In our last report we had projected an all India cement production of 126 million tonnes during 2004-05, which turned out to be fairly accurate. The effective production capacity on an all India basis has more or less been absorbed by the domestic consumption and export of clinker and cement. The Cement Industry has registered a cumulative average growth rate of about 8% over the last decade. The governmental thrust on creation and modernisation of infrastructure like roads, ports, airports and housing are likely to be important drivers of cement demand. With renewed accent on the rural economy, cement consumption is also likely to be boosted by spending on rural roads, canals and water ways and other irrigation facilities. The government continues to encourage private housing through cheap credit and tax sops. With the targeted growth in GDP at 7%, cement demand is also likely to grow by over 8% to 10%. Given the total estimated demand of 134 to 136 million tonnes during 2005-06, pockets of shortages in cement availability are likely to emerge even during the current year. Overall, the prospects for the Cement Industry appear to be bright and your Company is well placed to partake in any spurt in demand for cement.

The high level of international crude prices and their impact on the domestic prices of petroleum products and the sharp increase in the delivered price of coal through escalation both in price and sea freight are likely to impact the cost of production of your cement plants and their profitability unless such cost increases can be passed on by way of price increase to the consumer. However, the present indications are that delivered prices of coal may soften going forward, given the weakness in the dry bulk freight markets currently being experienced.

The system of VAT has been introduced from 1-4-2005 in all the main markets of your Company excepting Tamil Nadu and this is expected to shore up net plant realisation for cement in these markets.

The dual tax structure in Tamil Nadu linked to the selling price of cement continues to be a dampener, resulting in higher incidence of Sales Tax than in the neighbouring states. The management hopes that the VAT system will be implemented in Tamil Nadu also sooner than later.

OUTLOOK

As mentioned earlier, the cement industry is poised for a period of significant growth and the demand for cement is expected to outstrip the current availability during 2005-06. In fact, at the current levels of growth, the cement industry may have to add over 40 million tonnes of cement capacity to meet the demand for cement over the next 5 years. The International cement market continues to be buoyant, which has resulted in a significant increase in clinker exports from the country and your Company. This favourable trend is expected to continue over the next two years with prices also moving up. The Company continues to take all initiatives to retain the competitive edge and be in a position to meet the requirements of the market. The medium / long term prospects augur well for the Company as a market leader in the South.

VALUE ENHANCING STRATEGIES

The Company continues to emphasise on cost cutting through enhanced productivity, reduction in energy costs and logistic costs. The Company continues to maintain its focus on higher production of blended cements with a view to reduce costs. The Company has effected substantial reduction in manpower through voluntary separation schemes during the year under review and will continue its efforts to further prune manpower at all its plants. The Company has taken steps to reduce its power costs through the installation of a Waste Heat Recovery System at Vishnupuram and by purchase of cheaper gas power from the 17.5 mw gas power plant of Coromandel Electric Company Ltd. at Ramanathapuram. The full benefits of all these measures will accrue during 2005-06. Coromandel Electric Company Ltd. also proposes to further expand its generation capacity to 26 mw and this project when completed during the last quarter of the current calendar year would further provide a source of cheaper power to your cement plants.

HUMAN RESOURCES & INDUSTRIAL RELATIONS

The industrial relations remained cordial throughout the year at all the units. The Company continues to place importance on training at all levels. The total number of employees as at the end of the financial year 2004-05 was 3518 against 3815 in the previous year.

INTERNAL CONTROL SYSTEMS & THEIR ADEQUACY

Your Company has a strong in-house internal audit function, which carries out concurrent audit at all plants and offices. Adequate internal checks are built in to cover all monetary transactions with proper delineation of authority, which provides for checks and balances at every stage. The internal audit function covers not only the routine audit but also management audit and special audits, and the audit reports are discussed at the Corporate Management Committee level for action. The Head of Internal Audit reports directly to the Managing Director.

The Company has a strong system of budgetary control which covers all aspects of operations, capital expenditure at a micro level on a monthly basis reporting directly to the top management. Physical performances and efficiency parameters are monitored on a daily basis. The Company has an Audit Committee of Directors to review financial statements to shareholders. The role and terms of reference of the Audit Committee cover the areas mentioned under Clause 49 of the Listing Agreement with Stock Exchanges and Sec.292A of the Companies Act, 1956 besides other terms as may be referred to by the Board of Directors from time to time.

FINANCIAL PERFORMANCE WITH RESPECT TO OPERATIONAL PERFORMANCE

HIGHLIGHTS OF FINANCIAL PERFORMANCE

	Rs.Crores	
	2004-05	2003-04
Sales / Income from operations	**1385.39**	1232.90
Other Income	**16.91**	3.98
Total Income	**1402.30**	1236.88
Total Expenditure	**1248.85**	1132.08
Operating Profit	**153.45**	104.80
Operating Profit margin	**10.94 %**	8.47 %
Interest & Finance charges	**133.50**	161.68
Gross Profit after Interest but before Depreciation and Tax	**19.95**	(56.88)
Depreciation	**78.77**	81.51
Profit / (Loss) before Tax	**(58.82)**	(138.39)
Extraordinary items – Income - net	**63.40**	25.66
Net Profit / (Loss) before Tax	**4.58**	(112.73)
Deferred Taxation – Asset	**-**	16.80
Profit / (Loss) after Tax	**4.58**	(95.93)
Return On Capital Employed (ROCE)	**6.24 %**	4.77 %

ROCE = Operating Profit/Capital Employed (excluding capital work in progress and revaluation)

The sales and other income increased by 13.4% on account of increase in the quantum of clinker and cement sold by 9.4% and an increase of Rs.97/ Tn in the gross sales realisation per Tn of cement. The increase in other income was due to increase in dividend and interest income of Rs.26 lakhs, increase in profit on sale of assets due to disposal of non-core assets of Rs.433 lakhs and increase in scrap sales.The total expenditure had gone up by 10% mainly due to increase in clinker production by 8.5% and the cost increases stated elsewhere as offset by savings through improvement in operational efficiencies and reduction in administrative overheads. The resultant operating profit has gone up by 46% on account of higher volume and higher selling price.

Interest and Finance charges was lower at Rs.133.50 Crores against Rs.161.68 Crores on account of one time settlements effected by the Company with certain lenders. The depreciation charges was marginally lower at Rs.78.77 Crores as against Rs.81.51 Crores in the previous year.

The remission in liability arising out of the repayment of some of the existing debts in excess of interest accrued during the current financial year has been classified as extra-ordinary income while during the previous year extra-ordinary income represents the interest reduction relating to the period January-March '03 under the debt restructuring scheme.

During the previous year, the deferred taxation as per AS 22 had resulted in an asset of Rs.16.80 Crores. No further deferred tax asset has been recognised during the year.

Consequenty, there was a net profit of Rs.4.58 Crores during the current year as against a loss of Rs.95.93 Crores during the previous year.

CASH FLOW ANALYSIS

	Rs. Crores	
Sources of cash	**2004-05**	2003-04
Cash flow from operations	**199.72**	140.35
Sale of Investments	**–**	0.05
Proceeds from issue of Share Capital	**13.91**	–
Increase in Borrowings	**378.70**	142.65
Sale of Assets	**3.49**	8.17
Decrease in cash / cash equivalent	**0.80**	2.33
Total	**596.62**	293.55

Use of cash	2004-05	2003-04
	Rs. Crores	
Interest and finance charges	**133.50**	161.68
Capital expenditure - net	**18.19**	19.70
Investments	**0.14**	–
Repayment of loans	**438.77**	49.13
Working capital increase	**(3.98)**	28.83
Deferred Revenue Expenditure	**7.13**	16.49
Debenture / Share Issue expenses	**2.87**	17.72
Total	**596.62**	293.55

CAUTIONARY STATEMENT

Statements in the Management Discussion and Analysis Report describing the Company's objectives, expectations or predictions may be forward looking within the meaning of applicable securities laws and regulations. Actual results may differ materially from those expressed in the statement. Important factors that could influence the Company's operations include global and domestic supply and demand conditions affecting selling prices of finished goods, input availability and prices, changes in government regulations, tax laws, economic developments within the country and other factors such as litigation and industrial relations.

Coromandel Cement

CORPORATE GOVERNANCE

(As required by Clause 49 of the Listing Agreement with the Stock Exchanges)

A. MANDATORY REQUIREMENTS

1] Company's Philosophy:

The Company's Philosophy on Corporate Governance endeavours the attainment of the highest levels of transparency, accountability and responsibility in all operations and all interactions with its Shareholders, Investors, Lenders, Employees and Government.

The Company believes that all its operations and actions must serve the underlying goal of enhancing overall shareholder value, over a sustained period of time.

2] Board of Directors:

The Board consists of a non-executive Director as Chairman. Vice Chairman & Managing Director and Executive Director are wholetime directors. There are 8 other non-executive directors including four directors nominated by Industrial Development Bank of India Limited, Life Insurance Corporation of India, ICICI Bank Limited and ADRC Limited.

The Board functions both as a full Board and through Committees. The Board and Committees meet at regular intervals. Policy formulation, evaluation of performance and control functions vest with Board, while the Committees oversee operational issues.

The Board has constituted five Committees viz., The Audit Committee, The Share Transfer Committee, Shareholders'/Investors' Grievance Committee, Remuneration Committee and a General Committee of Directors.

During the year 2004-2005, seven Board Meetings were held on 29.05.2004, 28.06.2004, 26.07.2004, 24.09.2004, 26.11.2004, 24.12.2004 and 21.01.2005.

The composition of Directors, attendance at the Board Meetings during the year and the last Annual General Meeting and also number of other directorships and Committee memberships are given below:

Sl. No.	Name of the Director	Category of Directorship	No. of Board meetings attended (From 01.04.04 to 31.03.05)	Attendance at last AGM	No. of other Director-ships (As on 18th May, 2005)	No. of Membership (M) / Chairmanship(C) in other Board Committee(s)* (As on 18th May, 2005)
1.	Sri N.Sankar *Chairman*	Promoter, Non-executive Director	7	Yes	6	Nil
2.	Sri N.Srinivasan *Vice Chairman & Managing Director*	Promoter, Executive Director	7	Yes	12	2 (M) & 3 (C)
3.	Sri N.Ramachandran *Executive Director*	Promoter, Executive Director	7	Yes	12	4 (M)
4.	Sri N.Kumar	Promoter, Non-Executive Director	6	Yes	6	4 (M) & 2 (C)
5.	Sri B.S.Adityan	Independent, Non-Executive Director	7	Yes	4	2 (M)
6.	Sri R.K.Das # 1	Independent, Non-Executive Director	3	Not Applicable	11	Nil
7.	Sri Denys Calder Firth # 2 *Nominee of ADRC Limited in its capacity as lender* Sri Anish Kishore Modi #3 *Alternate Director for Sri Denys Calder Firth*	Non-Executive Director Alternate Director	Not Applicable	Not Applicable	Nil	Nil

8.	Sri P.N.Jambunathan # 4 *Nominee of Life Insurance Corporation of India in its capacity as Lender/ Shareholder*	Non-Executive Director	4	Not Applicable	Nil	Nil
9.	Sri V.M.Mohammed Meeran	Independent, Non-Executive Director	2	No	1	1 (M)
10.	Sri N.D.Pinge Nominee of ICICI Bank Ltd in its capacity as Lender	Non-Executive Director	2	No	2	Nil
11.	Sri K.Sivaprakasam # 5 *Nominee of Industrial Development Bank of India Limited in its capacity as Lender*	Non-Executive Director	Not Applicable	Not Applicable	2	Nil
12.	Sri Gul M. Iqbal ** *Nominee of UTI in its capacity as Lender/ Shareholder*	Non-Executive Director	5	Yes	Not Applicable	Not Applicable
13.	Sri J.Jayaraman *** *Nominee of Industrial Development Bank of India Limited in its capacity as Lender*	Non-Executive Director	7	Yes	Nil	Nil

* only Audit Committee , Shareholders'/Investors' Grievance Committee and Remuneration Committee are considered for the purpose.

1 Appointed as an additional Director of the Board w.e.f. 1st October, 2004.

2 Appointed as an additional Director of the Board w.e.f. 18th May, 2005.

3 Appointed as an alternate Director for Sri.Denys Calder Firth on the Board.

4 Appointed as a Casual vacancy Director of the Board w.e.f. 24th September, 2004.

5 Appointed as a Director of the Board w.e.f. 19th May, 2005.

** Ceased to be a Director of the Board w.e.f. 31st March, 2005.

*** Ceased to be a Director of the Board w.e.f. 18th May, 2005.

3] Audit Committee:

The Committee has been reconstituted by the Board of Directors at its meeting held on 18.05.2005 consequent to the withdrawal of nomination of Sri.J.Jayaraman by Industrial Development Bank of India Limited. In his place Sri.K.Sivaprakasam, nominee of Industrial Development Bank of India Limited has been appointed as member of the Audit Committee.

The role and terms of reference of the Audit Committee cover the areas mentioned under Clause 49 of the Listing Agreement and Section 292A of the Companies Act, 1956 besides other terms as may be referred to by the Board of Directors from time to time.

The Audit Committee met four times during the year i.e., on 28.06.2004, 26.07.2004, 26.11.2004 and 21.01.2005.

The composition and attendance of Audit Committee meetings are given below:

Sl. No.	Name of the Member	No. of Meetings held	No. of Meetings attended
1	Sri B.S.Adityan, Chairman	4	4
2	Sri J.Jayaraman*	4	4
3	Sri N.D.Pinge	4	1
4	Sri K. Sivaprakasam #	–	–

* Ceased to be a Director and hence a Member w.e.f. 18th May, 2005.

Appointed as a Member w.e.f. 19th May, 2005.

The Company Secretary is also Secretary to the Audit Committee.

4] Remuneration Committee & Policy:

The Remuneration Committee has been constituted to recommend/review the remuneration package of the wholetime Directors taking into account their qualification, experience, expertise, contribution and the prevailing levels of remuneration in Companies of corresponding size and stature.

During the year 2004-2005, the Committee met once i.e., on 28.06.2004.

The composition and attendance of Remuneration Committee are given below:

Sl. No.	Name of the Member	No. of Meetings held	No. of Meetings attended
1	Sri N.Sankar, Chairman	1	1
2	Sri B.S.Adityan	1	1
3	Sri Gul M. Iqbal*	1	1
4	Sri J.Jayaraman**	1	1

* Ceased to be a Director and hence a Member w.e.f. 31st March, 2005.

** Ceased to be a Director and hence a Member w.e.f. 18th May, 2005.

Details of remuneration paid to the Directors for the year ended 31st March, 2005:

(i) Executive Directors: (Rs. Lakhs)

Name & Position	Salary	Commission	Perquisites	Provident Fund	Retirement Benefits	Others	Total
Sri N.Srinivasan Vice Chairman & Managing Director	54.53	—	—	5.56	8.89	—	68.98
Sri N.Ramachandran Executive Director	44.93	—	—	4.60	7.36	0.61	57.50

The two wholetime Directors (Managing Director and Executive Director) are paid remuneration as decided by the Board of Directors/ Remuneration Committee of Board of Directors of the Company with the approval of Shareholders, Industrial Development Bank of India Limited and Government of India.

The Shareholders at the Annual General Meeting held on 24th September, 2004 approved the reappointment of Sri N.Srinivasan as Managing Director and Sri N.Ramachandran as Executive Director of the Company for a period of 3 years with effect from 15th September, 2004 pursuant to the provisions of Sec. 198, 269, 309 and other applicable provisions of the Companies Act, 1956 read with Schedule XIII of the said Act as amended and Articles of Association of the Company and subject to the consent of All India Financial Institutions and approval of Government of India (GOI).

Industrial Development Bank of India Limited vide its letter No.HO-CFD-II.B-18/ICL (C)/1703 dated 29th December, 2004, has conveyed no objection (on its behalf and on behalf of other participating institutions as well) for reappointment of Sri N.Srinivasan as Managing Director and Sri N.Ramachandran as Executive Director of the Company for the period from 15th September, 2004 to 14th September, 2007 and remuneration payable to them.

The Company made an application to the GOI for approval, based on the Special Resolutions passed by the Shareholders. GOI vide its letter No. 1/349-350/2004-CL.VII dated 19th January 2005 granted approval for reappointment of Sri N.Srinivasan as Managing Director and Sri N.Ramachandran as Executive Director of the Company for the period not exceeding 3 years with effect from 15th September, 2004 and remuneration payable to them.

Sri N.Srinivasan resigned as Managing Director of Coromandel Electric Company Limited (CECL) w.e.f. 5th May, 2005 and continues to be the Chairman & Director of the Company. No remuneration /sitting fee was paid to Sri N.Srinivasan by CECL.

There are no stock options available / issued to any Director of the Company.

(ii) Non- Executive Directors:

Remuneration by way of sitting fees is paid to all Non-Executive Directors. The Board of Directors at the meeting held on 26th November 2004 increased the sitting fees payable to Non-Executive Directors to Rs.5000/- from Rs.2000/- for attending each meeting of the Board and Committee thereof.

Particulars of sitting fees paid to Non-Executive Directors during the financial year 2004-05 are as follows:

Name of Directors	Sitting Fees Paid (Rs.)
Sri N.Sankar	94000
Sri N.Kumar	18000
Sri B.S.Adityan	100000
Sri R.K.Das	15000
Sri Gul M.Iqbal	15000
Sri P.N.Jambunathan	17000
Sri J.Jayaraman	36000
Sri V.M.Mohammed Meeran	7000
Sri N.D. Pinge (paid to ICICI Bank Ltd.,)	6000

No remuneration other than sitting fee as aforesaid is paid to Non-Executive Directors.

5] A] **Share Transfer Committee:**

All shares received for transfer were registered in favour of transferees and certificates despatched within a month's time, wherever the documents received were in order.

During the year 2004-2005, 2,17,402 Equity Shares were transferred in physical mode in favour of transferees and despatched within a month's time from the date of receipt.

As on 31st March, 2005 there were requests for 80 shares pending for transfer and the same were transferred in the name of transferees and despatched to them during April 2005.

During the financial year 2004-2005, the Committee met 16 times.

The composition and attendance of the Share Transfer Committee meetings are given below:

Sl. No.	Name of the Member	No. of Meetings held	No. of Meetings attended
1	Sri N.Sankar, Chairman	16	16
2	Sri N.Srinivasan	16	16
3	Sri B.S.Adityan	16	15

B] **Shareholders' / Investors' Grievance Committee:**

During the year 2004-2005, 106 complaints were received from shareholders and investors. All the complaints have generally been solved to the satisfaction of the complainants, except for disputed cases and sub-judice matters, which would be solved on final disposal by the Courts/ Forums where they are pending.

During the financial year 2004-2005, the Shareholders' / Investors' Grievance Committee met 4 times i.e., on 06.04.2004, 26.07.2004, 20.10.2004 and 17.01.2005.

The composition and attendance at the Shareholders'/Investors' Grievance Committee meetings are given below:

Sl. No.	Name of the Member	No. of Meetings held	No. of Meetings attended
1	Sri N.Sankar, Chairman	4	4
2	Sri N.Srinivasan	4	4
3	Sri B.S.Adityan	4	4

Sri. G. Balakrishnan, Company Secretary is the Compliance Officer**.**

C] **General Committee of Directors**:

A General Committee of Directors has been constituted for the purpose of issue and allotment of Equity Warrants, Optionally Convertible Debentures (OCDs), Non-Convertible Debentures (NCDs) and Equity Shares on conversion of Equity Warrants / OCDs.

During the year 2004-2005, the Committee met once i.e., on 09.03.2005 to allot 2,96,00,561 Equity Warrants and 87,36,000 Optionally Convertible Debentures (OCDs) to ADRC Limited, Mauritius on private placement basis.

The composition and attendance at the General Committee of Directors are given below:

Sl. No.	Name of the Member	No. of Meetings held	No. of Meetings attended
1	Sri N.Sankar, Chairman	1	1
2	Sri N.Srinivasan	1	1
3	Sri B.S.Adityan	1	1

6] Annual General Meetings:

The last three Annual General Meetings were held as under:

Year	Type	Location	Date	Time
2002	AGM	Sathguru Gnanananda Hall, (Narada Gana Sabha), 314 (Old No.254), T.T.K. Road, Chennai 600 018	16.09.2002	10.00 A.M.
2003	AGM	Sathguru Gnanananda Hall, (Narada Gana Sabha), 314 (Old No.254), T.T.K. Road, Chennai 600 018	24.09.2003	10.00 A.M.
2004	AGM	Sathguru Gnanananda Hall, (Narada Gana Sabha), 314 (Old No.254), T.T.K. Road, Chennai 600 018	24.09.2004	10.00 A.M.

No special resolution was required to be put through postal ballot last year.

No item of business relating to matters specified under Clause 49 of the Listing Agreement with the Stock Exchanges and/or the provisions contained in Section 192A of the Companies Act, 1956, requiring voting by postal ballot is included in the Notice convening the 59th Annual General Meeting of the Company.

7] Disclosures:

a) There are no transactions during the year of material nature with the promoters, directors or the management or their subsidiaries or relatives, etc., potentially conflicting with Company's interest at large.

b) There were no instances of non-compliance on any matter relating to the capital market, during the last three years.

c) i) Details of information on appointment of new / re-appointment of directors:

A brief resume, nature of expertise in specific functional areas, names of companies in which the person already holds directorship and membership of committees of the Board forms part of the Notice convening the 59th Annual General Meeting, annexed to this Annual Report.

ii) Details of information about the Nominee Director appointed by Industrial Development Bank of India Limited:

Name of the Director	:	Mr.K.Sivaprakasam
Date of Birth	:	30th June, 1948
Date of appointment on the Board as Director	:	19th May, 2005
Date of last reappointment as Director	:	-
Expertise in specific functional areas	:	Executive Director – Industrial Development Bank of India Limited
Qualification	:	Chartered Accountant
List of outside Directorships held	:	Stock Holding Corporation of India Ltd Videocon International Ltd
Chairman / Member of the Committees of Board of Directors of the Company	:	Audit Committee – Member
Chairman / Member of the Committees of Board of Directors of other companies in which he is a Director.		Nil

d) ICL Code of Conduct for Prevention of Insider Trading:

The Company has framed an ICL Code of Conduct for Prevention of Insider Trading based on SEBI (Prohibition of Insider Trading) Regulations, 1992 as amended on 20th February 2002. The code prohibits purchase/sale of securities of the Company by 'insider' including Directors, Designated employees etc., while in possession of unpublished price sensitive information.

8] **Means of Communication:**

a) Quarterly results are published in the pro-forma prescribed by Stock Exchanges, in The Hindu and Daily Thandhi, a Tamil newspaper. As the Company publishes the audited annual results within the stipulated period of three months from the close of the financial year as required by the Listing Agreement with Stock Exchanges, the unaudited results for the last quarter of the financial year are not published.

b) Half-yearly results are published in English newspapers having circulation all over India and in a Tamil newspaper (having circulation all over Tamil Nadu) and also in the Company's web-site; the same are not sent to the Shareholders of the Company.

c) The annual financial results of the Company are also communicated in the prescribed pro-forma to Stock Exchanges and also published in the newspapers.

d) The financial results are displayed on the Company's website "**www.indiacements.co.in**".

e) The Company is filing/submitting its Shareholding Pattern, Financial Results, Report on Corporate Governance on quarterly basis and Annual Report including Balance Sheet, Profit & Loss Account, Directors' Report, Auditors' Report and Cash Flow Statement on the website **"www.sebiedifar.nic.in"** as per Clause 51 of the Listing Agreement with the Stock Exchanges which may be accessed by the Shareholders / Investors.

f) Management Discussion and Analysis forming part of the Annual Report is given as addition to the Directors' Report.

9] **General Information for Shareholders:**

(i)	Date, Time and Venue of the Annual General Meeting	:	25th August, 2005, 12.00 Noon at Sathguru Gnanananda Hall, (Narada Gana Sabha), 314, (Old No.254), T.T.K. Road, (Mowbrays Road), Chennai 600 018.
(ii)	Financial Calendar – 1st April to 31st March (Provisional)	:	Will be published during:
	Results for Quarter ending June 30, 2005	:	Last week of July, 2005
	Results for Quarter ending September 30, 2005	:	Last week of October, 2005
	Results for Quarter ending December 31, 2005	:	Last week of January, 2006
	Results for Quarter ending March 31, 2006 (audited)	:	Last week of June, 2006
(iii)	Date of Book Closure	:	17th August, 2005 to 25th August 2005 (both days inclusive)
(iv)	Dividend payment date	:	Not applicable

(v) **Listing on Stock Exchanges**:

I a) The Company's Equity Shares are listed on the following Stock Exchanges:

i) Madras Stock Exchange Limited, Chennai, (Stock Code: INDCEM)

ii) a) The Stock Exchange, Mumbai (Stock Code : 30005) for physical segment

b) The Stock Exchange, Mumbai (Stock Code : 530005) for demat segment

iii) National Stock Exchange of India Ltd., Mumbai (Stock Code EQ: INDIACEM)

b) Company's Equity Shares are traded in Group "A" category in The Stock Exchange, Mumbai.

c) The Company has paid the Listing Fees for the year 2005-2006 to all Stock Exchanges where the Company's equity shares are listed.

II The Company's Global Depository Receipts (GDR) are listed in Luxembourg Stock Exchange, Europe and Listing Fee for the year 2005 has been paid.

III The equity shares of the Company have been included in the list of equity shares on which derivatives are available and the shares also form part of an index on which derivatives are available for trading in futures and options segment by National Stock Exchange of India Limited.

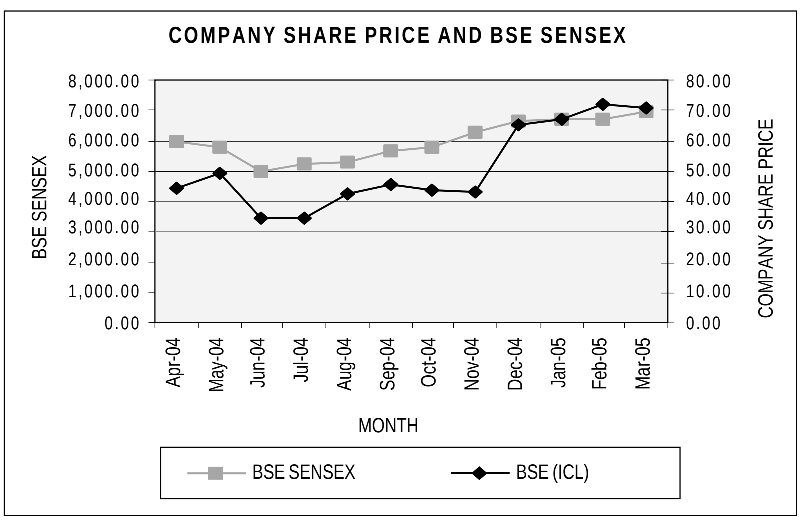
IV During the year 2004-05, the Company has allotted 2,96,00,561 Equity Warrants on 9th March, 2005 to ADRC Limited, Mauritius. These Warrants are listed on National Stock Exchange of India Limited.

V The Company's Debentures are listed on the National Stock Exchange of India Limited, Mumbai.

(vi) **Market Price Data:** (in Rupees)

Month	Madras Stock Exchange Ltd.		The Stock Exchange, Mumbai		National Stock Exchange of India Ltd.	
	High	Low	High	Low	High	Low
April 2004	—	—	44.60	36.90	44.75	32.00
May 2004	—	—	49.00	28.45	48.40	27.00
June 2004	—	—	34.75	26.00	35.80	26.05
July 2004	—	—	34.70	27.00	34.70	26.60
Aug.2004	—	—	42.75	30.90	42.60	31.45
Sep. 2004	—	—	45.25	39.90	45.20	39.05
Oct. 2004	—	—	43.90	36.80	43.90	36.85
Nov. 2004	—	—	43.25	37.10	43.25	37.50
Dec. 2004	—	—	64.95	38.80	65.00	38.90
Jan. 2005	—	—	66.95	53.10	73.00	52.60
Feb. 2005	—	—	72.00	58.00	72.10	60.45
Mar. 2005	—	—	70.70	61.10	70.75	61.30

(vii) **Stock price performance in comparison to BSE Sensex:**



(viii) **Registrar and Transfer Agents:**

The Company has appointed Integrated Enterprises (India) Limited as Registrar and Transfer Agents.

Shareholders /Investors/ Depository Participants are requested to send all their documents and communications pertaining to both physical and demat shares to the Registrar at the following address:

Integrated Enterprises (India) Limited,
2nd Floor, 'Kences Towers',
No.1, Ramakrishna Street,
North Usman Road, T.Nagar,
CHENNAI – 600017.
Phone : 044 – 28140801 to 28140803
Fax : 044 – 28142479
Email : yesbalu@iepindia.com

(ix) **Share Transfer System**:

Shares lodged in physical form with the Company/RTA are processed and returned, duly transferred, within 30 days from the date of receipt, if the documents submitted are in order.
In case of shares in electronic form, the transfers are processed by NSDL/CDSL through the respective Depository Participants.

(x) a) **Distribution of Shareholding as on 31st March, 2005** :

No. of Shares held	No. of Shareholders	% of Shareholders	No. of Shares held	% of Shareholding
Up to 500	41473	83.14	7293983	5.23
501 to 1000	4551	9.12	3744019	2.68
1001 to 2000	1933	3.87	2999619	2.15
2001 to 3000	638	1.28	1660882	1.19
3001 to 4000	308	0.62	1109243	0.80
4001 to 5000	322	0.65	1536535	1.10
5001 to 10000	343	0.69	2584406	1.85
10001 and above	314	0.63	118616817	85.00
TOTAL	**49882**	**100.00**	**139545504**	**100.00**

b) **Pattern of Shareholding as on 31st March, 2005:**

	Category	No. of Equity Shares held	Percentage of Shareholding
A.	PROMOTERS' HOLDING		
1.	Promoters		
	- Indian Promoters	62748390	44.97
	- Foreign Promoters	0	0
2.	Persons acting in Concert	0	0
	Sub-Total	**62748390**	**44.97**
B.	NON-PROMOTERS HOLDING		
3	Institutional Investors		
a.	Mutual Funds and UTI	4503528	3.23
b.	Banks, Financial Institutions, Insurance Companies (Central/State Govt. Institutions/ Non-Government Institutions)	23868091	17.10
c.	Foreign Institutional Investors	12446001	8.92
	Sub-Total	**40817620**	**29.25**
4.	Others		
a.	Private Corporate Bodies	12709236	9.11
b.	Indian Public	22083996	15.83
c.	NRIs/OCBs	521519	0.37
d.	Any other (please specify):		
	Foreign Corporate Bodies (GDRs)	217696	0.16
	Demat – Clearing Member	447047	0.31
	Sub-Total	**35979494**	**25.78**
	GRAND TOTAL	**139545504**	**100.00**

(xi) **Dematerialisation of Shares and Liquidity**:

Equity Shares:

As on 31st March, 2005, 93.50% of the Company's Equity Shares have been dematerialised.

As per directives issued by SEBI, it is compulsory to trade in the Company's shares in the dematerialised form with effect from 29th November, 1999. The ISIN Number allotted by National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) for trading in the Company's shares in Demat form is INE383A01012.

During the year 2004-2005, the Company had received 1043 requests for dematerialisation of shares. The Company has acted upon all valid requests received for dematerialisation during the year 2004-05.

Equity Warrants:

ISIN Number INE383A13017 has been allotted by National Securities Depository Limited (NSDL) for trading of Equity Warrants in dematerialised form, issued by the Company during the year 2004-2005.

(xii) **Outstanding GDRs / ADRs / Warrants or any Convertible Debentures, conversion date and likely impact on equity shares:**

As on 31st March, 2005, 2,17,696 GDRs are outstanding (0.16% of total paid up capital). Each GDR represents one underlying equity share.

During the year, the Company has allotted on 9th March, 2005, 2,96,00,561 Equity Warrants and 87,36,000 Optionally Convertible Debentures (OCDs) to ADRC Limited, Mauritius. The Equity Warrants are convertible at the option of the holder at a price of Rs.47/- per share of Rs.10/- each, at any time on or before 8th September, 2006. The Equity Warrants have been listed at National Stock Exchange of India Limited; however, the warrants are subject to lockin and hence, not available for trading upto 8th March, 2006. The OCDs are convertible at the option of the holder on 9th September, 2006. The conversion price is Rs.125/- per equity share of Rs.10/- each or at the price as per prevailing SEBI Guidelines at the time of conversion whichever will be higher.

The Share Capital of the Company will increase by a maximum of Rs.38.34 Crores to Rs.177.89 Crores in the event of exercise of option for conversion to equity shares of both Equity Warrants and Optionally Convertible Debentures (OCDs) allotted on 9th March, 2005. In the event of exercise of option only in respect of Equity Warrants, the equity share capital would increase by a maximum of Rs.29.60 Crores to Rs.169.15 Crores. In the event of exercise of option for conversion of only OCDs, the equity share capital would go up by a maximum of Rs.8.74 Crores to Rs.148.29 Crores.

(xiii) **Plant Locations**:

IN THE STATE OF TAMIL NADU	IN THE STATE OF ANDHRA PRADESH
Sankarnagar, Tirunelveli District	Chilamakur, Cuddapah District
Sankari, Salem District	Yerraguntla, Cuddapah District
Dalavoi, Perambalur District	Vishnupuram, Nalgonda District

(xiv) **Address of the Registered Office** : The India Cements Limited
"Dhun Building"
827, Anna Salai
Chennai 600 002.
Tel. No. : (091) (044) 285215 26/27/30
Fax No : (091) (044) 2852 0702/0638/1344
Email-Id: investor@indiacements.co.in

B. NON-MANDATORY REQUIREMENTS

a.	Whether Chairman of the Board is entitled to maintain a Chairman's office at the Company's expense and also allowed reimbursement of expenses incurred in performance of his duties	:	The Chairman of the Company does not keep any Office in the Registered Office of the Company.
b.	Remuneration Committee	:	Please refer to Serial No. A – 4 of this Report.
c.	Shareholders Rights – The half-yearly declaration of financial performance including summary of the significant events in last six months should be sent to each household of Shareholders.	:	As the Company's half yearly results are published in more than one English newspaper having circulation all over India and in a Tamil newspaper and also in the Company's website, the same are not sent to the Shareholders of the Company. There is no publication of second half-yearly results as the annual audited results are approved by the Board and then published in the newspapers and also communicated to the shareholders through the Annual Report.
d.	Postal Ballot	:	No item of business relating to matters specified under Clause 49 of the Listing Agreement with the Stock Exchanges and/or the provisions contained in Section 192A of the Companies Act, 1956, requiring voting by postal ballot is included in the Notice convening the 59th Annual General Meeting of the Company.

P.S. SUBRAMANIA IYER & CO.
Chartered Accountants
103, P.S. Sivaswamy Salai
Mylapore
Chennai - 600 004

BRAHMAYYA & CO.
Chartered Accountants
Andhra Insurance Buildings
156, Thambu Chetty Street
Chennai - 600 001

AUDITORS' CERTIFICATE ON CORPORATE GOVERNANCE

To
The Members,
The India Cements Limited.

We have examined the compliance of conditions of Corporate Governance by The India Cements Limited, for the year ended March 31, 2005, as stipulated in Clause 49 of the Listing Agreement of the said Company with Stock Exchange(s).

The compliance of conditions of Corporate Governance is the responsibility of the Management. Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us and the representations made by the Directors and the Management, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the above mentioned Listing Agreement.

As required by the Guidance Note issued by The Institute of Chartered Accountants of India, we have to state that as per the records maintained by the Company, there were no investor grievances remaining unattended/pending for more than 30 days.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For P. S. SUBRAMANIA IYER & Co. ,
Chartered Accountants
G. HARIHARAN
Partner
Membership No.15071

For BRAHMAYYA & CO.,
Chartered Accountants
N. SRI KRISHNA
Partner
Membership No. 26575

Place : Chennai
Date : 25th June, 2005

P.S. SUBRAMANIA IYER & CO.
Chartered Accountants
103, P.S. Sivaswamy Salai
Mylapore
Chennai - 600 004

BRAHMAYYA & CO.
Chartered Accountants
Andhra Insurance Buildings
156, Thambu Chetty Street
Chennai - 600 001

AUDITORS' REPORT

Auditors' Report to the Members of The India Cements Limited

1. We have audited the attached Balance Sheet of **The India Cements Limited** as at 31st March, 2005 and the relative Profit and Loss Account and Cash Flow Statement for the year ended on that date, which we have signed under reference to this report. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.
2. We have conducted our audit in accordance with auditing standards generally accepted in India. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.
3. As required by the Companies (Auditor's Report) Order, 2003, as amended by the Companies (Auditor's Report) (Amendment) Order, 2004, issued by the Government of India in terms of Section 227 (4A) of the Companies Act, 1956 of India (the Act) and on the basis of such checks as we considered appropriate and according to the information and explanations given to us, we set out in the Annexure a statement on the matters specified in paragraphs 4 and 5 of the said Order.
4. Further to our comments in the Annexure referred to in paragraph 3 above, we report that:
   (a) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
   (b) In our opinion, the Company has kept proper books of account as required by law so far, as appears from our examination of those books.
   (c) The Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report are in agreement with the books of Account.
   (d) In our opinion, the Balance Sheet, Profit and Loss Account and Cash Flow Statement dealt with by this report have been prepared, in all material respects, in compliance with the applicable accounting standards referred to in sub-section (3C) of Section 211 of the Act.
   (e) On the basis of explanations and information given to us and in the context of debt restructuring scheme approved by Corporate Debt Restructuring (CDR) Cell and on the basis of written representations received from Directors as on 31-03-2005 and taken on record by the Board of Directors, we report that none of the Directors is disqualified as on 31-03-2005 from being appointed as a Director in terms of Clause (g) of sub-section (1) of Section 274 of the Companies Act, 1956.
   (f) In our opinion and to the best of our information and according to the explanations given to us, the said financial statements together with the notes thereon attached thereto give in the prescribed manner the information required by the Act and also give a true and fair view in conformity with the accounting principles generally accepted in India:
      (i) In the case of the Balance Sheet, of the state of affairs of the Company as at March 31, 2005;
      (ii) In the case of the Profit and Loss Account, of the profit for the year ended on that date; and
      (iii) In the case of the Cash Flow Statement, of the Cash Flows for the year ended on that date.

For P. S. SUBRAMANIA IYER & Co.,
Chartered Accountants
G.HARIHARAN
Partner
Membership No.15071

For BRAHMAYYA & CO.,
Chartered Accountants
N.SRI KRISHNA
Partner
Membership No. 26575

Place : Chennai
Date : 25th June, 2005.

P.S. SUBRAMANIA IYER & CO.
Chartered Accountants
103, P.S. Sivaswamy Salai
Mylapore
Chennai - 600 004

BRAHMAYYA & CO.
Chartered Accountants
Andhra Insurance Buildings
156, Thambu Chetty Street
Chennai - 600 001

ANNEXURE TO AUDITORS' REPORT REFERRED TO IN PARAGRAPH 3 OF OUR REPORT OF EVEN DATE TO THE MEMBERS OF THE INDIA CEMENTS LIMITED

(i) a) The Company has maintained proper records showing full particulars including quantitative details and situation of fixed assets.

b) As explained to us, the Fixed Assets are physically verified by the Management according to a phased programme designed to cover all the items over a period of two years, which in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the programme, the management during the year has physically verified a portion of fixed assets and no material discrepancies between the book records and physical inventory have been noticed.

c) During the year, the Company has continued to dispose of few non-core assets. According to the information and explanations given to us, we are of the opinion that the sale of the said assets will not affect the going concern assumption of the Company.

(ii) a) The inventories of the Company at all its locations have been physically verified during the year by the management. In our opinion, the frequency of verification is reasonable.

b) In our opinion and according to the information and explanations given to us, the procedures for physical verification of inventories followed by the management are reasonable and adequate in relation to the size of the Company and the nature of its business.

c) On the basis of our examination of the inventory records, we are of the opinion that the Company is maintaining proper records of inventory. The discrepancies noticed on physical verification of inventory as compared to book records, which have been properly dealt with in the books of account, were not material.

(iii) The Company has not taken/granted loan (secured or unsecured) to and from companies, firms or other parties covered in the register, maintained under Section 301 of the Companies Act, 1956.Accordingly the Clauses 4(iii)(b), (c), (d), (f) and (g) of the Order are not applicable.

(iv) In our opinion and according to the information and explanations given to us, there are adequate Internal control procedures commensurate with the size of the Company and the nature of its business with regard to purchases of inventory, fixed assets and with regard to the sale of goods and services. Further, on the basis of our examination of the books and records of the Company, and according to the information and explanations given to us, we have neither come across nor have been informed of any continuing failure to correct major weaknesses in the aforesaid internal control procedures.

(v) a) To the best of our knowledge and belief and according to the information and explanations given to us, we are of the opinion that the particulars of contracts or arrangements that needed to be entered into the register referred to in Section 301 of the Act have been so entered.

b) In our opinion and according to the information and explanations given to us, the transactions made in pursuance of contracts or arrangements entered into the register maintained under Section 301 of the Act have been made at prices which are generally reasonable considering the strategic relationship and having regard to the prevailing market prices at the relevant time.

(vi) The Company has during the year accepted deposits from public. In our opinion, the Company has complied with the provisions of Sections 58A, 58AA or any other relevant provision of the Act and Companies (Acceptance of Deposits) Rules, 1975.To the best of our knowledge and according to the information and explanations given to us, no order has been passed by Company Law Board or National Company Law Tribunal or Reserve Bank of India or any Court or any other Tribunal, in this regard.

(vii) In our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

(viii) We have broadly reviewed the cost records and accounts relating to materials, labour and other items of cost maintained by the Company pursuant to the Rules made by the Central Government for the maintenance of cost records under Section 209 (1) (d) of the Companies Act, 1956 and we are of the opinion that *prima facie* the prescribed accounts and records have been made and maintained. We have however not made a detailed examination of the said records with a view to determine whether they are accurate or complete.

(ix) a) According to the records of the Company, the Company is generally regular in depositing the undisputed statutory dues including provident fund, employee state insurance, investor education and protection fund, income tax, wealth tax, customs duty, excise duty, cess, sales tax and service tax and any other statutory dues applicable to it with the appropriate authorities though there has been few delays in depositing Income Tax deducted at source, sales tax and excise duty, and there were no arrears at the end of the financial year.

b) According to the information and explanations given to us, no undisputed amounts payable in respect of income tax, wealth tax, service tax, sales tax, customs duty, excise duty and cess were in arrears as at the year end for a period of more than six months from the date they became payable.

c) According to the information and explanation given to us, details of dues of sales tax, income tax, wealth tax, service tax**,** customs duty**,** excise duty and cess, which have not been deposited as on 31st March, 2005 on account of any dispute as per Annexure.

(x) The Company's accumulated losses at the end of the period are less than fifity percent of its net worth and it has not incurred cash losses in the current financial year and however the Company incurred cash losses during the immediately preceding financial year.

(xi) According to the information and explanations given to us and as explained in Note No.20 the debt portfolio of the Company was restructured through Corporate Debt Restructuring Scheme (CDR), accordingly the repayment of principal and interest has been rescheduled including for some lenders from whom consent is awaited. As regards the lenders from whom consent is awaited, the exit options have been taken on the basis of allocation made by the Monitoring Committee formed under the restructuring scheme to monitor implementation of the package. In the circumstances, we are unable to express our opinion whether there is any default in repayments of dues to these lenders from whom consent is awaited.

(xii) According to the information and explanations given to us, the Company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.

(xiii) In our opinion, the Company is not a chit fund or a nidhi mutual benefit fund / society. Therefore, the provisions of clause 4 (xiii) of the Companies (Auditor's Report) (Amendment) Order, 2004 are not applicable to the Company.

(xiv) In our opinion, the Company is not dealing in or trading in shares, securities, debentures and other investments. Accordingly, the provisions of clause 4 (xiv) of the Companies (Auditor's Report) (Amendment) Order, 2004 are not applicable to the Company.

(xv) In our opinion, the terms and conditions on which the Company has given guarantees for loans taken by others from banks or financial institutions are not prejudicial to the interest of the Company taking into consideration the overall realisable value of assets, and current business plans.

(xvi) In our opinion and according to the information and explanations given to us and on an overall examination, the term loans have been applied for the purpose for which they were obtained.

(xvii) According to the information and explanations given to us and on an overall examination of the balance sheet of the Company, we report that no funds raised on short-term basis have been used for long-term investment. No long-term funds have been used to finance short-term assets except permanent working capital.

(xviii) According to the information and explanations given to us, the Company has not made any preferential allotment of shares to parties and companies covered in the register maintained under Section 301 of the Act.

(xix) According to the information and explanations given to us, in respect of optionally convertible debentures issued during the year, the Company has created the charge in respect of the said debentures.

(xx) The Company has not raised any money by public issues during the period covered by our audit report.

(xxi) According to the information and explanations given to us, no fraud on or by the Company has been noticed or reported during the course of our audit.

For P. S. SUBRAMANIA IYER & Co.,
Chartered Accountants
G. HARIHARAN
Partner
Membership No.15071

For BRAHMAYYA & CO.,
Chartered Accountants
N. SRI KRISHNA
Partner
Membership No. 26575

Place : Chennai
Date : 25th June, 2005.

P.S. SUBRAMANIA IYER & CO.
Chartered Accountants
103, P.S. Sivaswamy Salai
Mylapore
Chennai - 600 004

BRAHMAYYA & CO.
Chartered Accountants
Andhra Insurance Buildings
156, Thambu Chetty Street
Chennai - 600 001

Annexure to the Auditors' Report to the Members of The India Cements Limited for the year ended 31.03.2005

Type	Nature of Dues	Pending with	Year	Rs. in lakhs
Central Excise Duty	Capital Goods	Commissioner(Appeals)	Various Dates	6.60
		Commissioner(Appeals) Total		6.60
		Deputy Commissioner	Various Dates	1.59
			1999-2000	8.81
			1998-1999	8.02
		Deputy Commissioner Total		18.42
		High Court	1998-1999	0.20
		High Court Total		0.20
		Tribunal	Various Dates	242.00
			1995-1996	7.27
			1997-1998	0.03
			1996-1997	7.92
		Tribunal Total		257.22
	Capital Goods Total			282.44
	Dispute on Duty and Interest Liability	Commissioner (Appeals)	Various Dates	0.48
		Commissioner(Appeals) Total		0.48
		Deputy Commissioner	1999-2000	0.32
			2002-2003	7.56
			2001-2002	0.56
			1997-2002	12.97
		Deputy Commissioner Total		21.41
		Tribunal	Various Dates	26.88
			1997-2000	0.47
		Tribunal Total		27.35
	Dispute on Duty and Interest Liability Total			49.24
	Input	Commissioner(Appeals)	Various Dates	10.80
			2004-2005	2.09
		Commissioner(Appeals) Total		12.89
		Deputy Commissioner	2003-2004	6.42
			2002-2003	2.03
			2001-2002	2.87
			2000-2002	4.69
		Deputy Commissioner Total		16.01
		High Court	1999-2000	4.18
			1998-1999	6.19
		High Court Total		10.37
		Tribunal	Various Dates	73.14
		Tribunal Total		73.14
	Input Total			112.41
	Interest on HSD Oil Delayed Reversal	Deputy Commissioner	Various Dates	11.96
		Deputy Commissioner Total		11.96
		High Court	1994-1995	55.78
		High Court Total		55.78
	Interest on HSD Oil Delayed Reversal Total			67.74
Central Excise Duty Total				511.83
Sales Tax	Availment of Deferral	High Court	1998-2002	4874.00
			2002-2003	454.00
		High Court Total		5328.00
	Availment of Deferral Total			5328.00

	Disputed Sales tax	Appellate Tribunal	1984-1985	3.23
			1985-1986	6.39
			1986-1987	11.39
			1987-1988	12.71
			1988-1989	10.32
			1989-1990	16.75
			1991-1992	7.64
			1992-1993	10.65
			1993-1994	4.80
			1994-1995	7.74
			1995-1996	7.25
			1996-1997	7.32
			1997-1998	3.35
		Appellate Tribunal Total		109.54
		Assistant Commissioner	1975-1976	45.65
			1976-1977	11.13
			1977-1978	21.59
		Assistant Commissioner Total		78.37
	Disputed Sales tax Total			187.91
	Dispute relates to Freight Charges, Stock Transfer	High Court	1973-1974	4.17
		High Court Total		4.17
		Appellate Tribunal	1989-1990	365.92
		Appellate Tribunal Total		365.92
	Dispute relates to Freight Charges, Stock Transfer Total			370.09
	KGST	High Court	1997-1998	3.34
		High Court Total		3.34
	KGST Total			3.34
	Others	Assistant Commissioner	1969-1970	28.15
			1970-1971	48.37
			1971-1972	9.32
			1978-1979	21.56
		Assistant Commissioner Total		107.40
	Others Total			107.40
	Difference in Tax along with penalty	Assistant Commissioner	1993-1994	8.60
		Assistant Commissioner Total		8.60
	Difference in Tax along with penaltyTotal			8.60
	Tax on Royalty Including Surcharge	Collector	1993-1994	10.52
		Collector Total		10.52
	Tax on Royalty Including Surcharge Total			10.52
	G Form	Commissioner	2002-2003	24.34
			2001-2002	4.58
			2003-2004	165.58
			2004-2005	134.97
		Commissioner Total		329.47
	G Form Total			329.47
Sales Tax Total				6345.33
Income Tax	Income Tax	Appellate Tribunal	1997-1998	634.44
		Appellate Tribunal	1998-1999	86.24
		Appellate Tribunal Total		720.68
Income Tax Total				720.68

P.S. SUBRAMANIA IYER & CO.
Chartered Accountants
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Mylapore
Chennai - 600 004

BRAHMAYYA & CO.
Chartered Accountants
Andhra Insurance Buildings
156, Thambu Chetty Street
Chennai - 600 001

Sales Tax ***	Others	Commercial Tax Officer	1991-1992	34.99
			1990-1991	4.92
		Commercial Tax Officer Total		39.91
	Others Total			39.91
	Disputed rate of tax	Tribunal	1989-1990	36.22
		Tribunal Total		36.22
	Disputed rate of tax Total			36.22
	Tax on Packing Material	Appellate Tribunal	1991-1992	93.61
			1992-1993	110.76
			1993-1994	149.02
			1994-1995	163.40
		Appellate Tribunal Total		516.79
	Tax on Packing Material Total			516.79
	Transportation Charges	Appellate Tribunal	1996-1997	8.40
		Appellate Tribunal Total		8.40
		Commissioner	1995-1996	9.18
		Commissioner Total		9.18
	Transportation Charges Total			17.58
	Penalty for Late Payment of Taxes	Appellate Tribunal	1998-1999	600.69
		Appellate Tribunal Total		600.69
	Penalty for Late Payment of Taxes Total			600.69
	Turnover	Appellate Tribunal	1995-1996	13.82
		Appellate Tribunal Total		13.82
	Turnover Total			13.82
	D Forms	Appellate Tribunal	1996-1997	125.60
		Appellate Tribunal Total		125.60
		Commissioner	1997-1998	9.89
		Commissioner Total		9.89
	D Forms Total			135.49
Sales Tax*** Total				1360.50
income Tax***	Income Tax	High Court	1984-1985	100.22
			1985-1986	150.84
			1986-1987	46.29
			1988-1989	274.70
			1982-1983	17.54
			1983-1984	20.06
		High Court Total		609.65
		Appellate Tribunal	1984-1985	28.88
			1991-1992	5.31
			1996-1997	810.65
			1997-1998	128.58
		Appellate Tribunal Total		973.42
	Income Tax Total			1583.07
Income Tax *** Total				1583.07
Grand Total				10521.41

*** Includes disputed taxes relating to erstwhile Cement Division of Raasi Cement Limited, integrated with ICL w.e.f. 01-04-1998.

For P. S.SUBRAMANIA IYER & Co.,
Chartered Accountants
G.HARIHARAN
Partner
Membership No.15071

For BRAHMAYYA & Co.,
Chartered Accountants
N.SRI KRISHNA
Partner
Membership No.26575

Place: Chennai
Date: 25th June, 2005

BALANCE SHEET
AS AT 31st MARCH 2005

		Schedule	2005 Rs.Lakhs	2005 Rs.Lakhs	Rs.Lakhs	2004 Rs.Lakhs
SOURCES OF FUNDS :						
1	Shareholders' Funds :					
	a. Capital	1	**16358.84**		16358.78	
	b. Equity Share Entitlement Warrants		**1391.23**		0.00	
	c. Reserves and Surplus	2	**141955.03**	**159705.10**	150957.95	167316.73
2	Loan Funds :					
	a. Secured Loans	3	**184528.47**		188758.38	
	b. Unsecured Loans	4	**14195.71**	**198724.18**	15973.09	204731.47
3	Deferred Tax Liability (Refer Note No.24)			**4629.59**		4629.59
				363058.87		376677.79
APPLICATION OF FUNDS :						
1	Fixed Assets :	5				
	a. Gross Block		**298527.85**		288976.57	
	b. Less : Depreciation		**78342.79**		65468.79	
	c. Net Block		**220185.06**		223507.78	
	d. Capital Work-in-Progress		**299.49**	**220484.55**	9879.66	233387.44
2	Investments	6		**3483.65**		3469.30
3	Current Assets, Loans and Advances :	7				
	a. Inventories		**17990.12**		13466.03	
	b. Real Estate-Projects in Progress		**2170.03**		2440.74	
	c. Sundry Debtors		**18338.45**		14517.02	
	d. Cash and Bank Balances		**292.06**		372.23	
	e. Loans and Advances		**98054.23**		100021.57	
			136844.89		130817.59	
	Less : Current Liabilities and Provisions	8	**30727.42**	**106117.47**	24283.45	106534.14
4	Miscellaneous expenditure to the extent not written off or adjusted:					
	Deferred Revenue Expenditure (Refer Note No.6)			**2189.27**		2044.86
	Profit and Loss Account			**30783.93**		31242.05
				363058.87		376677.79

As per our Report of 25th June, 2005

For P.S.SUBRAMANIA IYER &CO.,
Chartered Accountants
G.HARIHARAN
Partner
Membership No. 15071

For BRAHMAYYA & CO.,
Chartered Accountants
N.SRI KRISHNA
Partner
Membership No. 26575

N.SANKAR
Chairman

N.SRINIVASAN
Vice Chairman &
Managing Director

N.RAMACHANDRAN
Executive Director

B.S. ADITYAN
R.K. DAS
P.N. JAMBUNATHAN
N.KUMAR
V.M. MOHAMMED MEERAN
N.D. PINGE
Directors

Place : Chennai
Date : 25th June, 2005

G.BALAKRISHNAN
Sr. Vice President & Company Secretary

Coromandel Cement

PROFIT AND LOSS ACCOUNT
FOR THE YEAR ENDED 31st MARCH 2005

	Note No.	Schedule	2005 Rs.Lakhs	2005 Rs.Lakhs	2004 Rs.Lakhs	2004 Rs.Lakhs
INCOME :						
Sales and Other Income		9		**140230.37**		123687.71
Total Income				**140230.37**		123687.71
EXPENDITURE:						
Manufacturing and Other Operating Expenses		10		**83578.61**		73169.33
Salaries,Wages and Amenities		11		**7897.80**		8445.24
Administration and Other Charges		12		**3965.51**		5192.72
Selling and Distribution Expenses	9			**29823.36**		26076.93
Interest & Other Charges (net)	18	13		**13349.68**		16167.67
Depreciation			**13699.25**		8151.26	
Less : Transfer from Revaluation Reserve			**5747.80**		0.00	
Less : Transfer from Deferred Income	19		**74.49**	**7876.96**	0.00	8151.26
Directors' Remuneration		14		**126.48**		106.82
Donations		15		**120.28**		115.05
(Increase)/Decrease in Stock		16		**(626.02)**		101.57
Total Expenditure				**146112.66**		137526.59
Profit / (Loss) for the year carried down				**(5882.29)**		(13838.88)
Extraordinary items - Income (Net)	18(b)			**6340.41**		2565.57
Profit / (Loss) before tax				**458.12**		(11273.31)
Deferred Tax Asset				**0.00**		1680.00
Profit /(Loss) after tax				**458.12**		(9593.31)
Balance from previous year				**(31242.05)**		(21648.74)
Transfer from Share Premium			**287.18**		1772.00	
Less : Share / Debenture issue expenses			**(287.18)**		0.00	
Less : Discount on issue of Debentures			**0.00**	**0.00**	(1772.00)	0.00
Balance carried to Balance Sheet				**(30783.93)**		(31242.05)
Earnings / (Loss) Per Share (Rs.) - Basic				**0.12**		(7.13)
Earnings / (Loss) Per Share (Rs.) - Diluted				**0.12**		(7.13)
Notes on Accounts		17				

As per our Report of 25th June, 2005

For P.S.SUBRAMANIA IYER &CO.,
Chartered Accountants
G.HARIHARAN
Partner
Membership No. 15071

For BRAHMAYYA & CO.,
Chartered Accountants
N.SRI KRISHNA
Partner
Membership No. 26575

N.SANKAR
Chairman

N.SRINIVASAN
Vice Chairman &
Managing Director

N.RAMACHANDRAN
Executive Director

B.S. ADITYAN
R.K. DAS
P.N. JAMBUNATHAN
N.KUMAR
V.M. MOHAMMED MEERAN
N.D. PINGE
Directors

Place : Chennai
Date : 25th June, 2005

G.BALAKRISHNAN
Sr. Vice President & Company Secretary

SCHEDULES ANNEXED TO AND FORMING PART OF THE BALANCE SHEET AND THE PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31st MARCH 2005

SCHEDULE 1

SHARE CAPITAL	**No. of Shares**	**2005 Rs.Lakhs**	No. of Shares	2004 Rs.Lakhs
AUTHORISED :				
Equity Shares of Rs.10 each	**200000000**	**20000.00**	150000000	15000.00
Redeemable Cumulative Preference Shares of Rs.100 each	**7500000**	**7500.00**	7500000	7500.00
		27500.00		22500.00
ISSUED :				
Equity Shares of Rs.10 each	**139545570**	**13954.56**	139545570	13954.56
11.5% Redeemable Cumulative Preference Shares of Rs.100 each	**2500000**	**2500.00**	2500000	2500.00
		16454.56		16454.56
SUBSCRIBED :				
Equity Shares of Rs.10 each	**139545504**	**13954.55**	139545504	13954.55
Less : Calls in arrears(other than Directors)	**2015484**	**95.71**	2016684	95.77
	137530020	**13858.84**	137528820	13858.78
11.5% Redeemable Cumulative Preference Shares of Rs.100 each	**2500000**	**2500.00**	2500000	2500.00
	140030020	**16358.84**	140028820	16358.78

Notes :

1. 14,00,000 Equity Shares of Rs.10/-each (28,00,000 Equity Shares of Rs.5/- each before consolidation) were issued as fully paid up bonus shares in 1969 by capitalising Rs.140 lakhs out of General Reserve and 321,68,291 Equity Shares of Rs.10/- each were issued as fully paid up bonus shares in 1996 by capitalising Rs.32,16,82,910 out of Share Premium.
2. Includes 58,57,987 Equity Shares of Rs.10/- each consequent to issue of equivalent number of Global Depository Receipts (GDR) in 1994.
3. During 1999-2000, the Company issued 1500000 11.5% Redeemable Cumulative Preference Shares of Rs.100 each, redeemable at par, 60 months from the date of allotment with call / put option any time after the end of the 3rd year from the date of allotment, with the notice of 30 days from either side and are due for redemption.
4. During 1999-2000, the Company issued 1000000 11.5% Redeemable Cumulative Preference Shares of Rs.100 each, redeemable at par, 5 years from the date of allotment with call / put option at the end of the 3rd year from the date of allotment and are due for redemption.
5. During 2004-05, the Company has allotted 2,96,00,561 Equity Warrants in favour of ADRC Limited, Mauritius on preferential basis. Each warrant is convertible into one Equity Share of Rs.10/- each, at the option of the holder within 18 months from 9th March, 2005 (date of allotment) on payment of Rs.47/- per share (including the upfront payment of Rs.4.70 per warrant), as determined in accordance with SEBI (Disclosure and Investor Protection) Guidelines, 2000.
6. Dividend due on Preference Share Capital is Rs.1150 lakhs.
7. No interest has been recognised as income on calls in arrears from April 2002.

SCHEDULE 2

RESERVES AND SURPLUS

	2004	Additions	Withdrawals	**2005**
	Rs.Lakhs	Rs.Lakhs	Rs.Lakhs	**Rs.Lakhs**
Capital Reserve	16.17	0.00	0.00	**16.17**
Share Premium *	33535.37	0.10	287.18	**33248.29**
Debenture Redemption Reserve	5331.25	0.00	5331.25	**0.00**
Contingency Reserve **	6500.00	5331.25	0.00	**11831.25**
General Reserve	9.13	0.00	0.00	**9.13**
Deferred Income	7976.37	0.00	2355.39	**5620.98**
Revaluation Reserve	97589.66	0.00	6360.45	**91229.21**
	150957.95	5331.35	14334.27	**141955.03**

* Share Premium is net of Calls in arrears Rs.143.56 lakhs(As on 31st March 2004: Rs.143.66 lakhs).

** For any possible erosion in the value of Investments / Advances.

SCHEDULE 3

SECURED LOANS

		2005	2004
		Rs.Lakhs	Rs.Lakhs
A . DEBENTURES :			
(i)	50,00,000 14% Secured Redeemable Non-Convertible privately placed Debentures of Rs100 each with Unit Trust of India. The Debentures were due for redemption at par on 1-10-2002. The Company had option to pay 1/3 of the amount each on 1-10-2000, on 1-10-2001 and on 1-10-2002 by giving 3 months' notice.	**0.00**	5000.00
(ii)	2385 13.5% Secured Debentures of Rs.5,00,000 each privately placed with Banks, Insurance Companies and Mutual Funds. Debentures are redeemable in four equal annual instalments commencing from the end of 3½ years from the date of allotment.	**8416.71**	8791.71
(iii)	7630 13% Secured Debentures of Rs.5,00,000 each privately placed with Scheduled Banks, Insurance Companies and Mutual Funds. Debentures are redeemable in three annual instalments in the ratio of 30:30:40 commencing from the end of 4th year from the date of allotment.	**15786.51**	37886.51
(iv)	91 Zero coupon Secured Redeemable Non-Convertible Debentures of Rs.1,00,00,000 each redeemable at face value on 2nd April, 2005.	**0.00**	4835.80
(v)	18000 13.5% Secured Redeemable Non-Convertible Debentures of Rs.1,00,000 each privately placed with ICICI Ltd. Debentures are redeemable at par in three equal annual instalments on the expiry of 5th year from the date of subscription.	**18000.00**	18000.00
(vi)	87,36,000 Optionally Convertible Debentures (OCDs) of Rs. 125/- each privately placed with ADRC Limited, Mauritius. Each OCD is convertible at the end of 18 months at the option of the holder from the date of allotment into one equity share of Rs.10/- each at a price of Rs.125/- per share (inclusive of premium) or at a price to be determined in accordance with Securities and Exchange Board of India (Disclosure and Investor Protection) Guidelines, 2000 at the time of conversion, whichever is higher.	**10920.00**	0.00
	TOTAL (i) to (vi)	**53123.22**	74514.02
	Funded Interest Term Loans	**8331.73**	16206.76
	Interest Accrued	**713.39**	1069.32
	TOTAL	**62168.34**	91790.10

SCHEDULE 3

SECURED LOANS (Contd.)

		2005 Rs. Lakhs	2004 Rs. Lakhs
B. TERM LOANS			
(i)	Dalavoi Cement Plant :		
	Industrial Development Bank of India Ltd.	**10034.89**	10034.89
(ii)	Yerraguntla Cement Plant :		
	Industrial Development Bank of India Ltd.	**4900.00**	4900.00
(iii)	Vishnupuram Cement Plant :		
	a. Industrial Development Bank of India Ltd.	**525.60**	525.60
	b. IFCI Limited	**196.97**	196.97
		722.57	722.57
	Other Term Loans :		
(iv)	State Bank of India	**7000.00**	7000.00
(v)	Allahabad Bank	**998.71**	998.71
(vi)	Nova Scotia Bank	**5499.89**	5800.77
(vii)	ICICI Bank Ltd.	**5000.00**	5000.00
(viii)	ICICI Bank Ltd.	**800.00**	800.00
(ix)	ICICI Bank Ltd.	**26950.00**	0.00
(x)	Bank Muscat	**700.00**	700.00
(xi)	HDFC Ltd.	**3000.00**	3000.00
(xii)	HDFC Ltd.	**2000.00**	2000.00
(xiii)	Oriental Bank of Commerce	**924.67**	924.67
(xiv)	Hongkong & Shanghai Banking Corporation	**0.00**	924.29
(xv)	Indus Ind Bank	**367.92**	367.92
		53241.19	27516.36
(xvi)	Liability towards assets acquired on lease	**188.89**	53.21
	TOTAL B (i) to B(xvi)	**69087.54**	43227.03
	Funded Interest Term Loans	**8935.71**	8059.80
	Interest Accrued	**579.96**	495.07
	TOTAL	**78603.21**	51781.90
C. Cash Credit facilities and other Working Capital Loans from Scheduled Banks			
	(i) Working Capital and other Term Loans from Banks	**20870.54**	25766.38
	(ii) Cash Credit facilities from Scheduled Banks	**22886.38**	19420.00
	TOTAL (i) and (ii)	**43756.92**	45186.38
	TOTAL A to C	**184528.47**	188758.38

Security: (Refer Note No.18)

A. Debentures:*

1. Items(i), (ii) and (v) are secured by a registered first mortgage on the Company's properties in the State of Gujarat and further secured by a joint first equitable mortgage/charge on the immovable and movable assets (excluding assets purchased under Asset Credit Scheme and certain other assets specifically excluded from the purview of the security) present and future subject to prior charge on the movable assets in favour of the Company's bankers for working capital requirements.
2. Items (iii) and (iv) are secured by a registered first mortgage on the Company's properties in the State of Gujarat and further secured by a joint equitable mortgage on the immovable properties of the Company both present and future.
3. Item (vi) is secured by a registered first mortgage on the Company's properties in the State of Gujarat and further secured by a charge by way of hypothecation in favour of the Debenture Trustees of the movable assets including Plant and Machinery that relate to Vishnupuram Plant except current assets including inventory and book debts and pledge of non-convertible debentures purchased / redeemed from UTI.
4. * Excluding Debentures bought back amounting to Rs.32210.80 lakhs and held in the name of a Trustee.

SCHEDULE 3
SECURED LOANS (Contd.)

B. Term Loans:

1. Items (i), (ii) and(vii) are secured by first equitable mortgage and charge on pari passu basis (with other Lenders/Debenture Trustees) on the immovable and movable assets (with exclusion of assets purchased under Asset Credit Scheme and certain other assets specifically excluded from the purview of the security) both present and future subject to prior charge on the movable assets in favour of the Company's bankers for working capital requirements. In addition, items (i) and (ii) are secured by personal guarantee of Vice Chairman and Managing Director and Executive Director.
2. Item (iii)(a) is secured by first charge on the immovable and movable properties pertaining to Vishnupuram Works and also guaranteed by third parties and personal guarantee of Vice Chairman and Managing Director and Executive Director.
3. Item (iii)(b) is secured by an exclusive first charge by way of hypothecation of the equipment purchased together with tools and accessories at Vishnupuram cement plant.
4. Item (iv) is secured by hypothecation of Fixed Assets of the Company at Sankarnagar, Dalavoi and Yerraguntla Cement Plants and further secured by a joint first equitable mortgage/charge on the immovable and movable assets (excluding assets purchased under Asset Credit Scheme and certain other assets specifically excluded from the purview of the security) present and future subject to prior charge on the movable assets in favour of the Company's bankers for working capital requirements.
5. Item (v) is secured by first charge on the Gensets installed at Sankarnagar.
6. Item (vi) is secured by a charge on the Fixed Assets of Sankarnagar, Sankari, Dalavoi, Chilamakur, Yerraguntla and Vishnupuram Cement Plants and by pledge of shares of Visaka Cement Industry Ltd. held by the Company's subsidiaries and associates.
7. Item (viii) is secured by hypothecation of movable properties of the Company at Sankarnagar, Sankari and Chilamakur and further secured by a first mortgage and charge on the Company's immovable properties.
8. Item (ix) is secured by a charge in favour of security trustee on the movable assets including Plant and Machinery that relate to Vishnupuram Plant and pledge of non-convertible debentures purchased / redeemed from UTI.
9. Item (x) is secured by second charge on the current assets of the Company.
10. Item (xi) is secured by first charge on the residential colonies at Sankarnagar, Sankari and Chilamakur and property at Chennai.
11. Item (xii) is secured by shares of India Cements Capital & Finance Ltd. (ICCFL) and Andhra Pradesh Gas Power Corporation Ltd. (APGPCL) held by the Company and its subsidiaries and further secured by first charge on the residential colonies at Sankarnagar, Sankari, Chilamakur, and property at Chennai.
12. Item (xiii) is secured by hypothecation of current assets ranking sub-servient to the charge of working capital bankers and term lenders.
13. Item (xiv) is secured by a second charge on the movable properties of the Company excluding current assets and including movable plant and machinery, spares, tools and accessories and other movables both present and future.
14. Item (xv) is secured by sub-servient charge on all the current assets of the Company.
15. Item (xvi) is secured by the respective equipments and other assets acquired on lease.
16. The term loan/debenture assistance from State Bank of India are additionally secured by a second charge on the current assets of the Company and personal guarantee of Vice Chairman and Managing Director and Executive Director.

C. Cash Credit facilities including Acceptances and Working Capital Loans from Scheduled Banks :

The fund based and non-fund based working capital facilities (refer Schedule No.8) are secured by a first charge on pari passu basis on all the Current Assets and second charge on the movable Fixed Assets and immovable properties of the Company and personal guarantee of Vice Chairman and Managing Director and Executive Director. The working capital and funded interest term loans are secured by a first charge on the movable fixed assets and immovable properties of the Company and a second charge on the current assets and the personal guarantee of Vice Chairman and Managing Director and Executive Director.

D. Loans mentioned in B(i) carry an option for conversion into equity shares at par not exceeding 20% of the sanctioned loan/outstanding loan in the advent of certain events and subject to conditions.

SCHEDULE 4

UNSECURED LOANS	2005 Rs.Lakhs	2004 Rs.Lakhs
Fixed Deposits	**3107.86**	3677.23
Short Term Loans	**270.00**	270.00
Loans from Scheduled Banks	**9114.58**	10066.77
Privately placed Debentures with Scheduled Banks	**1500.00**	1500.00
	13992.44	15514.00
Funded Interest Term Loans	**81.86**	452.06
Interest Accrued	**121.41**	7.03
	14195.71	15973.09

SCHEDULE 5
FIXED ASSETS *

Rs.Lakhs

Particulars	GROSS BLOCK				DEPRECIATION BLOCK		NET BLOCK	
	As at 31st Mar.2004	Additions	Deductions	**As at 31st Mar.2005**	For the Year	**As at 31st Mar.2005**	**As at 31st Mar.2005**	As at 31st Mar.2004
Land	18803.21	14.27	87.48	**18730.00**	0.00	**0.00**	**18730.00**	18803.21
Buildings	31775.13	306.24	0.00	**32081.37**	920.61	**6540.78**	**25540.59**	26154.96
Plant and Machinery including Electrical installations**	229786.19	10495.89	1521.48	**238760.60**	12165.18	**67076.85**	**171683.75**	174203.68
Wind Electric Generators	4475.85	0.00	0.00	**4475.85**	236.32	**2262.28**	**2213.57**	2449.89
Furniture, Office Equipment and Library	3080.03	216.48	8.22	**3288.29**	283.87	**1734.84**	**1553.45**	1622.56
Vehicles	1056.16	305.49	169.91	**1191.74**	93.27	**728.04**	**463.70**	273.48
Total	288976.57	11338.37	1787.09	**298527.85**	13699.25	**78342.79**	**220185.06**	223507.78

* Refer Note No. 22

** Includes Rs.95.41 lakhs of equipments on "right to use" basis, which is depreciated over its useful life.

Coromandel Cement

SCHEDULE 6
INVESTMENTS

	No of Shares/ Debentures	Face Value Rupees	**2005 Cost Rupees**	2004 Cost Rupees
1. TRADE INVESTMENTS - Long Term (Quoted):				
(A) Fully paid Equity Shares of Companies				
1. The Associated Cement Companies Limited	330	3300	**1875**	1875
2. The Andhra Cement Company Limited	98	980	**4412**	4412
3. Rohtas Industries Limited	55	550	**1075**	1075
4. The Jaipur Udyog Limited	120	1200	**1200**	1200
5. Shree Digvijay Cement Company Limited	50	500	**510**	510
6. OCL India Limited	120	1200	**700**	700
7. Sone Valley Portland Cement Company Limited	50	250	**441**	441
8. Dalmia Cement (Bharath) Limited	186	1860	**612**	612
9. Ashoka Cement Limited	50	500	**553**	553
10. Kanoria Industries Limited	100	1000	**981**	981
11. Chettinad Cement Corporation Limited	500	5000	**11325**	11325
12. Madras Cements Limited	200	2000	**2775**	2775
13. Mysore Cements Limited	100	1000	**2125**	2125
14. Rain Commodities Limited	100	1000	**710**	710
15. Panyam Cements and Minerals Industries Limited	5	500	**430**	430
16. Premier Housing & Industrial Enterprises Limited	100	1000	**2350**	2350
17. SI Property Development Limited	100	1000	**2025**	2025
18. Chemplast Sanmar Limited	111	1110	**2750**	2750
			36849	36849
(B) Debentures of Companies :				
Fully paid 13.5% Debentures of Rs 160 each of the Andhra Cement Company Limited	50	8000	**8000**	8000
2. OTHER INVESTMENTS:				
(A) Fully paid Equity Shares of Companies (Quoted):				
1. HDFC Bank Limited	500	5000	**5000**	5000
2. Industrial Development Bank of India Limited	160	1600	**13000**	13000
3. Karur KCP Packagings Limited	996500	9965000	**39860000**	39860000

SCHEDULE 6
INVESTMENTS (Contd.)

	No. of Shares/ Debentures	Face Value Rupees	**2005 Cost Rupees**	2004 Cost Rupees
4. Coromandel Fertilizers Limited	100	1000	**2125**	2125
5. Orient Paper Industries Limited	100	1000	**7275**	7275
6. Texmaco Limited	50	500	**2930**	2930
7. Kesoram Industries Limited	10	100	**405**	405
8. Chowgule Steamship Limited	50	500	**4150**	4150
9. Varun Shipping Company Limited	100	1000	**4250**	4250
10. The Great Eastern Shipping Company Limited	90	900	**6638**	6638
11. GESCO Corporation Limited	10	100	**737**	737
12. Garware Shipping Corporation Limited	50	500	**1063**	1063
13. Essar Shipping Limited (600 Equity Shares of Rs.10 /- each were issued in exchange of 200 Equity Shares of South India Shipping Corporation Limited, pursuant to a Scheme of Amalgamation.)	700	7000	**20613**	20613
14. Gujarat Composite Limited (Pursuant to a Scheme of Arrangement between Shree Digvijay Cement Company Limited and Gujarat Composite Limited, these shares were allotted.)	46	460	**0**	0
15. Kesoram Textile Mills Limited (These shares were allotted pursuant to the scheme of arrangement between Kesoram Industries Ltd & Kesoram Textile Mills Ltd.)	10	20	**0**	0
16. Digvijay Finlease Limited (As a result of the arrangement on acquisition of Investment in shares of other bodies corporate from Shree Digvijay Cement Company Ltd., these shares were allotted.)	70	700	**0**	0
			39928186	39928186

(B) Shares of Companies - Long Term (Unquoted) :

	No. of Shares/ Debentures	Face Value Rupees	**2005 Cost Rupees**	2004 Cost Rupees
(i) Subsidiaries:				
Fully paid Preference Shares :				
1. Industrial Chemicals & Monomers Limited	5000	500000	**20000**	20000
Fully paid Equity Shares :				
2 Industrial Chemicals & Monomers Limited	2196691	21966910	**3558082**	3558082
3 ICL Financial Services Limited	50000	500000	**500000**	500000
4 ICL Securities Limited	50000	500000	**500000**	500000
5 ICL International Limited	50000	500000	**500000**	500000
Subsidiaries - Total			**5078082**	5078082

SCHEDULE 6
INVESTMENTS (Contd.)

	No of Shares/ Debentures	Face Value Rupees	**2005 Cost Rupees**	2004 Cost Rupees
(ii) Other than Subsidiaries:				
Fully paid Equity Shares :				
6. ICL Sugars Limited	100	1000	**1000**	1000
7. Andhra Pradesh Gas Power Corporation Limited	4690000	46900000	**280600750**	280600750
8. Raasi Cement Limited	79530	795300	**7441684**	7441684
9. Coromandel Electric Company Limited (Purchased during the year)	140000	1400000	**1400000**	0
Other than Subsidiaries - Total			**289443434**	288043434
Total B(i) and (ii)			**294521516**	293121516
(C) Government and Trustee Securities:				
1. National Savings Certificates		133700	**133700**	98700
2. Indira Vikas Patra Certificates		2100	**2100**	2100
			135800	100800
(D) Other Investments (Quoted):				
1. 6.75% Tax free US64 Bonds of Unit Trust of India of Rs.100 each (Cost is net of Provision for diminution in value Rs.1,03,39,554)	213409	21340900	**21280900**	21280900
			21280900	21280900
(E) Fully paid Shares of Co-operative Societies - Long Term (Unquoted) :				
1. The India Cements Employees Co-operative Stores Limited, Sankarnagar.	2500	125000	**125000**	125000
2. The India Cements Employees Co-operative Stores Limited, Sankari West.	5000	50000	**50000**	50000
3. The India Cements Mines Employees Co-operative Stores Limited, Sankari West.	5300	53000	**53000**	53000
			228000	228000
Grand Total			**356139251**	354704251
Less : Provision for diminution in value of Investments			**7774446**	7774446
			348364805	346929805
Note:				
Aggregate of Quoted Investments:				
Cost			**61389735**	61354735
Market Value			**62078635**	53987004
Aggregate of Unquoted Investments:				
Cost			**294749516**	293349516

SCHEDULE 7
CURRENT ASSETS, LOANS AND ADVANCES

	2005 Rs. Lakhs	2004 Rs. Lakhs
A. CURRENT ASSETS :		
1. Inventories :		
Stores / Spares (including coal and packing material)	**8738.25**	5687.48
Raw Materials	**3224.32**	2647.73
Work-in-Process	**647.31**	591.10
Semi-finished Goods	**3694.82**	3077.78
Finished Goods	**1685.42**	1461.94
	17990.12	13466.03
2. Real Estate - Projects in progress	**2170.03**	2440.74
3. Sundry Debtors, considered good (Net of bad debts written off Rs.28.03 lakhs and provision for doubtful debts Rs.605.29 lakhs; Previous year Rs. 49.64 lakhs and Rs.483.32 lakhs respectively) includes Rs.2387.13 lakhs outstanding for more than six months. (Previous year: Rs.1863.63 lakhs)	**18338.45**	14517.02
4. Cash, Stamps and Bank Balances :		
Cash, Cheques and Stamps on hand	**23.05**	27.54
Cash at Scheduled Banks in Current Accounts	**104.80**	149.09
Fixed Deposits with Scheduled Banks	**164.21**	195.60
	292.06	372.23
B. LOANS AND ADVANCES:		
1. Secured :		
Housing and other Loans to employees including interest accrued	**447.40**	529.62
2. Unsecured (Considered good) :		
Advance for Goods	**568.50**	895.85
Other Advances recoverable in cash or in kind or for value to be received	**94831.91**	96627.50
Prepaid Expenses	**375.46**	283.31
Deposits	**1830.96**	1685.29
	98054.23	100021.57
TOTAL A & B	**136844.89**	130817.59

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SCHEDULE 8
CURRENT LIABILITIES AND PROVISIONS

	Rs. Lakhs	2005 Rs. Lakhs	Rs. Lakhs	2004 Rs. Lakhs
CURRENT LIABILITIES :				
Acceptances (Refer Security Clause "C" in Schedule 3)		**7336.40**		4532.14
Creditors for :				
Goods / Others		**9180.48**		5807.56
Expenses		**5898.08**		5794.76
Capital Expenditure		**28.13**		89.08
Trade Deposits		**6571.29**		5421.88
Interest accrued not due		**167.23**		317.68
Customers' Credit Balances		**1404.00**		2201.52
PROVISIONS :				
Provision for Taxation (Net of Advance)		**141.81**		118.83
		30727.42		24283.45
Investor Education and Protection Fund: * (Appropriate amount shall be transferred to "Investor Education and Protection Fund", if and when due)				
(a) Unpaid Dividend		**8.14**		98.60
(b) Unpaid Share Application Money		**3.92**		4.27
(c) Unpaid Matured Deposits		**91.36**		82.32
(d) Unpaid Matured Debentures		**5225.00**		12000.00
(e) Interest accrued on (a) to (d) above		**555.10**		2413.40
		5883.52		14598.59

* All the above items are included in Schedule 8 "Current Liabilities", except unpaid matured Debentures and interest accrued which are included in Schedule 3 "Secured Loans" (Refer Note No.18)

SCHEDULE 9

SALES AND OTHER INCOME

	Rs. Lakhs	2005 Rs. Lakhs	Rs. Lakhs	2004 Rs. Lakhs
Sales (including Excise Duty Rs. 22284.66 Lakhs. Previous year: Rs.21619.92 Lakhs)		**137427.79**		122541.08
Value of Power Generated from Wind Farms		**564.53**		622.60
Income from Property Development Division		**546.72**		126.22
		138539.04		123289.90
DIVIDEND AND INTEREST:				
On Trade Investments	**5.16**		0.05	
On Other Investments	**14.45**		12.89	
Others	**127.97**		108.62	
(Tax Deducted at Source Rs. 15.94 Lakhs Previous year Rs. 7.65 Lakhs)	**147.58**		121.56	
Rent Recovery	**19.38**		19.07	
Profit on Sale of Assets	**439.18**		6.22	
Miscellaneous Income	**1085.19**		250.96	
Total Other Income		**1691.33**		397.81
		140230.37		123687.71

SCHEDULE 10
MANUFACTURING AND OTHER OPERATING EXPENSES

		2005		2004
	Rs. Lakhs	**Rs. Lakhs**	Rs. Lakhs	Rs. Lakhs
1. Raw Materials Consumed				
Opening Stock		**2647.73**		2245.56
Add: Purchases	**6908.27**		6048.58	
Own Quarrying (Net)	**8342.92**		7212.90	
		15251.19		13261.48
		17898.92		15507.04
Less: Closing Stock		**3224.32**		2647.73
Total Raw Materials Consumed		**14674.60**		12859.31
2. Stores Consumed		**1338.21**		931.48
3. Power and Fuel		**43397.74**		35616.25
4. Repairs & Maintenance:				
Building	**25.64**		17.56	
Machinery	**1491.27**		1879.22	
Others	**314.46**		261.40	
Total Repairs & Maintenance		**1831.37**		2158.18
5. Cost of Construction Including Land for Property Development Division		**11.50**		3.86
6. Excise Duty on Cement		**22325.19**		21600.25
		83578.61		73169.33

SCHEDULE 11
SALARIES, WAGES AND AMENITIES

	2005	2004
Salaries, Wages and Bonus	**5257.19**	5489.99
Contribution to Provident Fund	**471.00**	513.22
Gratuity	**160.01**	651.19
Superannuation	**300.00**	120.00
Employees' Provident Fund Admn Charges	**32.17**	37.72
Employees' State Insurance Scheme	**7.99**	5.24
Workmen and Staff Welfare Expenses*	**1669.44**	1627.88
	7897.80	8445.24

* Includes Expenses on Schools Rs.122.44 Lakhs (Previous Year Rs.120.91 Lakhs) which is net of Grants Rs.160.55 Lakhs(Previous Year Rs.156.29 Lakhs)

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SCHEDULE 12
ADMINISTRATION AND OTHER CHARGES

	Rs. Lakhs	2005 Rs. Lakhs	Rs. Lakhs	2004 Rs. Lakhs
Insurance		**521.12**		546.47
Rent		**102.38**		99.76
Rates and Taxes		**257.15**		224.55
Printing and Stationery		**76.18**		68.45
Postage, Telephones and Telegrams		**284.83**		298.38
Other Administration Expenses		**1879.43**		1677.73
Legal Fees		**63.13**		45.02
Directors' Sitting Fees		**3.08**		1.54
Auditors' Expenses:				
Audit Fees	**25.00**		21.60	
Cost Audit Fees	**3.00**		3.24	
Certifications/Others	**19.44**		12.37	
Tax Audit/Other Services	**2.00**		2.16	
Travel/out of pocket expenses	**1.62**		2.70	
		51.06		42.07
Amortisation of Deferred Revenue Expenses (Refer Note No.6)		**568.14**		1323.74
Loss on Sale of Assets		**7.50**		565.01
Provision for Doubtful Advances / Debtors		**151.51**		300.00
		3965.51		5192.72

SCHEDULE 13
INTEREST AND OTHER CHARGES (NET)

	Rs. Lakhs	2005 Rs. Lakhs	Rs. Lakhs	2004 Rs. Lakhs
Interest on Debentures		**3193.61**		5281.25
Interest on Fixed Loans		**4488.95**		3839.34
Interest - Others		**4934.31**		6418.38
Bank Charges		**732.81**		628.70
		13349.68		16167.67

SCHEDULE 14
DIRECTORS' REMUNERATION

	Rs. Lakhs	2005 Rs. Lakhs	Rs. Lakhs	2004 Rs. Lakhs
Managing Director :				
Salary	**54.53**		48.00	
Contribution to Provident Fund	**5.56**		3.60	
Contribution to Gratuity and Superannuation Funds	**8.89**	**68.98**	5.75	57.35
Executive Director :				
Salary	**44.93**		38.40	
Contribution to Provident Fund	**4.60**		2.88	
Contribution to Gratuity and Superannuation Funds	**7.36**		4.60	
Others	**0.61**	**57.50**	3.59	49.47
		126.48		106.82

SCHEDULE 15
DONATIONS

		2005		2004
	Rs. Lakhs	**Rs. Lakhs**	Rs. Lakhs	Rs. Lakhs
The India Cements Educational Society		**100.00**		100.00
Others		**20.28**		15.05
		120.28		115.05

SCHEDULE 16

(INCREASE) / DECREASE IN STOCK

Opening Stock of:				
Work-in-Process	**591.10**		602.02	
Semi-finished Goods	**3077.78**		3082.60	
Finished Goods	**1461.94**		1522.82	
Real Estate - Projects in Progress	**2440.74**		2465.69	
		7571.56		7673.13
Less:				
Closing Stock of:				
Work-in-Process	**647.31**		591.10	
Semi-finished Goods	**3694.82**		3077.78	
Finished Goods	**1685.42**		1461.94	
Real Estate - Projects in Progress	**2170.03**		2440.74	
		8197.58		7571.56
Total (Increase)/Decrease in Stock		**(626.02)**		101.57

SCHEDULE 17

(A) SIGNIFICANT ITEMS OF ACCOUNTING POLICY

1. Accrual system of Accounting is generally followed to record income and expenditure excepting in the areas herein specifically mentioned.
2. Fixed Assets are valued and shown adopting the following basis:
   (a) Fixed Assets and Capital work-in-progress of all the cement manufacturing facilities are revalued and shown at revalued amounts as at 31st March, 2005. All other Fixed Assets acquired are shown at the cost of acquisition;
   (b) Fixed Assets acquired on hire purchase or on Financial Lease are shown at their principal cost, excluding the interest cost included in these agreements which is charged to revenue;
   (c) Expenditures and outlays of money on uncompleted projects of a capital nature are shown as capital works-in-progress until such time these projects are completed and commissioned. All costs including financing costs incurred on specific projects/acquisition of undertakings are charged to the concerned heads;
   (d) The Company provides depreciation on written down value method for Motor Vehicles and for assets acquired prior to 1-4-1982 at Head Office and at Sankarnagar. For all other assets Straight-Line method as per Section 205(2)(b) of the Companies Act, 1956 is adopted. The depreciation on incremental value arising from the revaluation of Fixed Assets is charged to the Revaluation Reserve Account.
3. (a) Where Foreign Currency loans have been availed to acquire Fixed Assets, the outstanding liability on these loans is stated at the exchange rate of the rupee as at the year end or at contracted rates with a corresponding adjustment to the carrying cost of the relevant assets. Gain or loss arising from cover on Forward Exchange Contracts relating to the year is also adjusted to the carrying cost of the Fixed Assets. Depreciation is charged to accounts on the values so adjusted over the remaining life of the asset.
   (b) Foreign Exchange transactions are accounted at the exchange rates prevailing at the time of transactions or at contracted rates. Current Assets and Current Liabilities in Foreign currencies are translated at values prevailing as at the year end. Gains/Losses, if any, arising therefrom are recognised in the Profit and Loss Account.
4. Sales includes excise duty, revenue from trade related activities and sales tax deferred as reduced by consideration for assignment of Sales Tax deferral liability and is net of rebates, discounts and incentives.
5. Revenue from construction projects under Real Estate and Property Development Division is recognised on percentage of completion method in accordance with the Accounting Standard 7 (revised) issued by the Institute of Chartered Accountants of India
6. Valuation of inventories of raw materials, packing materials, stores, spares, fuels and work-in-process is at weighted average cost. Semi-finished goods, finished goods and Real Estate Projects are valued at cost or net realisable value whichever is lower. The value of finished goods includes excise duty and does not include interest and other administrative overheads.
7. Insurance on Company's properties, immovable and movable, is on reinstatement value basis.
8. Research and Development expenses not resulting in any tangible property/equipment are charged to revenue.
9. Interest and other costs in connection with borrowing of funds to the extent related/attributed to the acquisition/construction of qualifying Fixed Assets are capitalised upto the date when such assets are ready for its intended use and other borrowing costs are charged to Profit & Loss Account.
10. Claims /Incomes arising from price escalation and/or any other item of compensation and which are indeterminate are accounted on cash basis.
11. Trade investments and investments in subsidiary companies are long term investments and are carried at cost. The other investments are carried at lower of cost or realisable value. Provision for diminution value is made wherever necessary in accordance with the mandatory Accounting Standard.
12. Retirement benefits are provided by charge to revenue including provision for gratuity determined on an actuarial basis and funded and for which a trust has been created. Leave encashment is at the discretion of the management and is charged off to revenue in the year of payment.
13. Premium on redemption of debentures is accounted on redemption and set off against the Securities Premium Account.

SCHEDULE 17

(B) NOTES ON ACCOUNTS FOR THE YEAR ENDED 31st MARCH, 2005

		Rs. Lakhs
1.	Estimated amount of Capital Expenditure commitments	**48.69**
2.	Monies for which the Company is contingently liable:	
(a)	Letter of Credit opened by bankers	**384.80**
(b)	Counter Guarantees to bankers (including guarantees given on behalf of subsidiaries and associates)	**23517.85**
(c)	Sales Tax demand for various years under dispute	**1006.80**
(d)	Liability towards fine under Jute Packaging Materials(Compulsory use of Packaging Commodities) Act, 1987, upto June 1997 is not quantifiable.	
(e)	Contingent liabilities pertaining to Raasi Cement Limited (Residuary Company) for Sales Tax, Central Excise and Income Tax.	**2943.57**
(f)	Sales Tax deferred under a scheme of The Government of Tamil Nadu and The Government of Andhra Pradesh have been assigned to other companies. In view of the assignment the Company is contingently liable as at March 31, 2005.	**29068.32**
	The Sales Tax Department has issued notices on the Company claiming a sum of Rs. 6378 lakhs contending that the Company has availed Sales Tax Deferral in excess. The issue has been challenged by the Company and the case is pending before the Honourable High Court of Madras. The Honourable High Court of Madras has stayed the claim by the Department and has directed the Company to deposit a sum of Rs.1050 lakhs subject to the final orders in the matter. The Company has deposited the sum of Rs.1050 lakhs with the Department.	
(g)	Contingent Liability on account of sale of shares of Sri Vishnu Cement limited	**616.00**
(h)	Contingent Liability in respect of Import duty on Waste Heat Recovery Project under EPCG Scheme	**36.70**
(i)	Contingent Liability on account of CENVAT Cases and others.	**1267.97**
3.	Claims against the Company not acknowledged as debts	**9504.78**

4. Buildings include Rs.11.13 lakhs for purchase of Flats on leasehold lands for which documents of title are yet to be executed in favour of the Company.

5. Loans and Advances:

   (a) Advances include advances to Subsidiaries and Associates amounting to Rs 63991.14 lakhs representing strategic investments in Cement, Sugar, Shipping and Financial Services and trade advances amounting to Rs 30840.77 lakhs given in the ordinary course of business. Trade advances include a sum of Rs. 13885.01 lakhs to Visaka Cement Industry Limited (Visaka), an associate company. Visaka has considerable accumulated losses and has implemented a debt-restructuring package approved by the Corporate Debt Restructuring Cell formed by the Reserve Bank of India. The management is of the view that the advances are recoverable at the values stated. The advances to Subsidiaries and Associates represent strategic long-term investments, which will realise values stated in the long term. The management is of the opinion that any aberrations caused by short term market conditions need not be considered.

   (b) Advances include a sum of Rs.763.10 lakhs being the disputed CENVAT Claims pending in different stages of appeal. Based on Legal Opinion the management is of the view that these are recoverable at value stated.

6. Deferred Revenue Expenditure of Rs.2189.27 lakhs, represents expenditure incurred on mines development and Voluntary Retirement Schemes , which is being written off over a period of 60 months commencing from the year following the year in which the expenditure was incurred.

Coromandel Cement

SCHEDULE 17
NOTES ON ACCOUNTS (Contd.)

			2004-2005 Rs. Lakhs	2003-2004 Rs. Lakhs
7.	Raw Materials consumed:			
	Own Quarrying includes:			
	(i) Salaries & Wages		**905.23**	915.78
	(ii) Stores Consumed		**2029.02**	1612.38
	(iii) Royalty		**3322.95**	2774.63
8.	Repairs and Maintenance includes Stores & Spares		**1366.40**	1633.43
9.	Selling and Distribution expenses include			
	(i) Packing Charges		**8156.31**	7678.82
	(ii) Additional Sales Tax		**1319.11**	1327.32
	(iii) Freight outwards		**16414.17**	14163.28
	(iv) Advertisement		**324.61**	242.25
10.	Detailed quantitative information of goods manufactured during the Year ended 31st March, 2005.			
	(a) Installed Capacity	(Tonnes)	**7690000**	7690000
	(b) Production	(Tonnes)	**5492687**	5409830
	(c) Sales – Quantity	(Tonnes)	**5484384**	5414750
	Sales – Value	(Rs.lakhs)	**124555.28**	117717.54
	(Excludes Rs.12872.51 Lakhs towards sale value of clinker. Previous Year Rs. 4823.54)			
	(d) Opening Stock of goods produced	(Tonnes)	**84572**	89492
	Value	(Rs.lakhs)	**1461.94**	1522.82
	(e) Closing Stock of goods produced	(Tonnes)	**92875**	84572
	Value	(Rs.lakhs)	**1685.42**	1461.94
11.	Value of imports on CIF basis			
	Cement Division			
	(a) Raw Materials		**—**	—
	(b) Fuel		**—**	1245.56
	(c) Spare Parts and Components		**361.96**	186.89
	(d) Capital Goods		**—**	—
12.	Earnings in Foreign Exchange:			
	Export (FOB)			
	Cement – Quantity	(Tonnes)	**29466**	14880
	- Value	(Rs.lakhs)	**565.60**	237.17
	Clinker – Quantity	(Tonnes)	**810852**	384714
	- Value	(Rs.lakhs)	**10091.06**	4239.55
13.	Expenditure in Foreign Currency :			
	Training of Personnel and other matters		**96.16**	35.43

SCHEDULE 17

NOTES ON ACCOUNTS (Contd.)

		2004-2005		2003-2004	
14.	Details of imported and indigenous materials consumed during the year	**Value Rs. Lakhs**	**Percentage to total consumption**	Value Rs. Lakhs	Percentage to total consumption
	Cement Division				
	Raw materials:				
	Imported	**13.55**	**0.09**	28.93	0.23
	Indigenous	**14661.05**	**99.91**	12830.38	99.77
	Total	**14674.60**	**100.00**	12859.31	100.00
	Spare Parts and Components:				
	Imported	**361.96**	**38.22**	123.40	16.69
	Indigenous	**584.96**	**61.78**	615.85	83.31
	Total	**946.92**	**100.00**	739.25	100.00

15.	Details of Raw Materials consumed:	**Tonnes**	**2004-2005 Rs.Lakhs**	Tonnes	2003-2004 Rs.Lakhs
	Cement Division				
	Limestone	**7724964**	**9411.17**	7084357	8411.22
	Gypsum	**353680**	**1042.13**	289578	1046.67
	Others	**956834**	**3041.47**	836092	2707.21
	Freight on Inter Unit Transfer of Clinker		**1179.83**		694.21
	Total		**14674.60**		12859.31

16 The value of inventories of the Yerraguntla Cement Plant taken over from Cement Corporation of India is provisional, pending finalisation of the values in accordance with the terms of the Memorandum of Understanding dated 10th December 1997.

17. There are no dues to Small Scale Industries, which is outstanding for more than 30 days at the Balance Sheet date computed on unit wise basis. The above information regarding Small Scale Industrial Undertaking has been determined to the extent such parties have been identified on the basis of information available with the Company. This has been relied upon by the Auditors.

18. Note on Debt Restructuring:

[a] The Company had approached the lenders for a debt restructuring in view of the adverse market conditions and very low prices prevailing in the principal markets of the Company. The lenders referred the debt restructuring proposal to the Corporate Debt Restructuring (CDR) Cell formed by the Reserve Bank of India. The CDR Cell approved the Debt Restructuring proposal in its meeting held on March 24, 2003 which was modified in their meeting held on May 06, 2004. The salient features of the proposal are as under :

(1) The Effective date has been decided as January 1, 2003.

(2) All debts excluding deposits from public will be restructured.

(3) The Company is to infuse Rs.800 Crores not later than Financial Year 2005-06.

(4) There will be multiple options available to the lenders with different exit options and yields.

Most of the lenders have communicated the exit option and have indicated the same to the Company. The Company is awaiting sanction from the other lenders for the CDR process.

Interest for the lenders who have indicated the exit options have been computed on the basis of the rates applicable to the exit option exercised by them. As regards other lenders the interest has been charged based on the allocation done by the Monitoring Committee formed under the Scheme to monitor the implementation of the package. The interest absorbed in the accounts for such of those lenders who have not exercised the option under the CDR Scheme is Rs.80.37 lakhs as opposed to Rs.178.69 lakhs as per the document rates.

The common documentation for creation of security between all the lenders and the company is yet to be executed. Pending execution of common documentation between the lenders and the Company, the security clause under the loans have not been changed. Documentation for some of the lenders who have consented to the CDR Package has since been executed.

SCHEDULE 17
NOTES ON ACCOUNTS (Contd.)

(b) The company has during the financial year infused a sum of Rs. 392.61 Crores which has been utilised for repayment of some of the existing debts. The remission in liability, on the said repayments, in excess of interest accrued during the current financial year aggregating to Rs.65.64 Crores has been shown as extraordinary income net of Rs. 2.24 Crores being extraordinary items of expenditure.

19. Note on Waste Heat Recovery Project.

The Company has during the year commissioned the Waste Heat Recovery project at Vishnupuram Plant as per the MOU signed by the Company with New Energy Development Organisation (NEDO), Japan, Ministry of Commerce and Industry, Government of India. As per the MOU, the necessary equipment has been provided to the Company free of cost by the Government of Japan through Government of India. The value of the equipment aggregating to Rs 56.59 Crores has been capitalised and has been treated as Deferred Income in the accounts. The depreciation on the value of the equipment is adjusted against the Deferred Income. The asset is to be eventually transferred to the Company by Government of India.

The above equipment has been imported under the EPCG Scheme of the Government of India. As per the Scheme the Company has availed lower import duty on import of the said equipment. Under the Scheme the Company has an obligation to export its products to an aggregate FOB Value of Rs. 180.78 Crores within a period of 8 years. The customs duty saved has been treated as Deferred Income in the accounts and such Deferred Income is being treated as revenue in proportion to the discharge of the export obligation as stipulated by Central Government.

20. Finance charges have been accounted without considering the penal interest payable to Financial Institutions as the Company has approached the Financial Institution for the waiver of the same.

21. Related Party Disclosures:

A. Names of the related parties and the nature of the relationship:

(i) Subsidiary Companies:

Industrial Chemicals and Monomers Ltd.
ICL Financial Services Ltd.
ICL Securities Ltd.
ICL International Ltd.

(ii) Associate Companies:

Visaka Cement Industry Ltd.
Raasi Cement Ltd.
ICL Sugars Ltd.
India Cements Capital & Finance Ltd.
Trishul Concrete Products Private Ltd.
Coromandel Electric Company Ltd.

(iii) Key Management personnel:

Sri N.Srinivasan – Vice Chairman & Managing Director
Sri N.Ramachandran – Executive Director.

B. Transactions with Subsidiary / Associate Companies:

		Rs. Lakhs
	Subsidiaries	**Associates**
Sale of Goods	**Nil**	**813.17**
Purchase of Shares	**Nil**	**14.00**
Purchase of Assets	**Nil**	**Nil**
Rendering of Services	**Nil**	**Nil**
Receiving of Services	**138.60**	**874.69**
Interest received on Advances	**Nil**	**Nil**
Guarantees Outstanding at the year end	**Nil**	**21742.53**
Outstanding balance included in current asset	**31921.09**	**18646.83**

C. Transactions relating to persons mentioned in A. (iii) above:

Remuneration	**126.48**

SCHEDULE 17
NOTES ON ACCOUNTS (Contd.)

22. Assets Purchased on Financial Lease:

Fixed Assets shown in Schedule 5 include the following assets purchased on Financial Lease:

Rs. Lakhs

Asset	Gross Block as on 31.03.2005	Net Block as on 31.03.2005
Plant & Machinery	**749.18**	**218.46**
Office Equipment	**198.47**	**39.59**
Vehicles	**244.04**	**182.38**
Total	**1191.69**	**440.43**

The total minimum lease amount payable in less than 1 year and its present value are Rs.68.63 lakhs and Rs.67.35 lakhs respectively.

The total Minimum lease amounts payable after 1 year but within 5 years and its present value are Rs. 125.82 lakhs and Rs. 121.54 lakhs respectively.

23. Details of Loans and Advances given to Subsidiaries, Associates and others:

Rs. Lakhs

	Rate of interest charged	Balance as at 31.03.2005	Maximum Balance during the year
A. Loans and Advances to Subsidiaries:			
1. ICL Securities Ltd.	Nil	**13968.97**	19648.76
2. ICL Financial Services Ltd.	Nil	**15451.33**	15451.33
3. ICL International Ltd.	Nil	**1273.14**	1285.32
4. Industrial Chemicals and Monomers Ltd.	Nil	**1227.65**	1227.65
Total		**31921.09**	37613.06
B. Loans and Advances to Associates:			
1. Visaka Cement Industry Ltd.	Nil	**13885.01**	26021.37
2. Raasi Cement Ltd.	Nil	**1997.99**	2119.89
3. ICL Sugars Ltd.	Nil	**2642.63**	3761.16
4. India Cements Capital & Finance Ltd.	Nil	**83.66**	83.66
5. Trishul Concrete Products Private Ltd.	Nil	**35.75**	35.75
6. Coromandel Electric Company Ltd.	Nil	**1.79**	88.84
Total		**18646.83**	32110.67
C. Loans and Advances to firms / companies in which directors are interested: (other than the Subsidiaries & Associates mentioned above)			
1. ICL Shipping Ltd.	Nil	**9581.47**	9823.94
2. India Cements Infotech Ltd.	Nil	**246.60**	417.67
Total		**9828.07**	10241.61

SCHEDULE 17
NOTES ON ACCOUNTS (Contd.)

Notes :

1. Loans and Advances shown above to Subsidiaries, Associates and others are without any repayment schedule.
2. ICDs are not considered as they are repayable on demand and interest is charged at market rates.
3. Loans to Employees as per Company's policy are not considered.
4. None of the above mentioned loanee companies made investments in the shares of the Company and the Company's subsidiaries.

24. Deferred Tax Liability represents the difference between liability arising on account of depreciation amounting to Rs.23386.60 Lakhs (Previous year Rs.25653 Lakhs) and asset arising on account of unabsorbed depreciation & others [reversible interest obligation] amounting to Rs.18757.01 Lakhs (Previous year Rs. 21024 Lakhs). Given the current industry scenario, the management is confident that there would be sufficient taxable income in the future against which the deferred tax asset can be realised.

25. Earning / Loss Per Share has been computed based on the following figures:

    Profit for the year : Rs. 458.12 Lakhs (Previous year : Loss Rs.9880.81 Lakhs)

    Weighted average number of equity shares : 1385.88 Lakhs (Previous year :1385.88 Lakhs)

26. The previous year figures have been regrouped wherever necessary.

(C) STATEMENT PURSUANT TO PART IV OF SCHEDULE VI OF THE COMPANIES ACT, 1956.
BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE

I Registration details :

Registration No.	00931	State Code	18
Balance Sheet Date	31 03 05		

II Capital raised during the year (Amount in Rs. Thousands)

Public Issue	NIL	Rights Issue	16
Bonus Issue	NIL	Private Placement	139123

(Private placement represents share warrants)

III Position of mobilisation and deployment of funds (Amount in Rs. Thousands)

Total Liabilities	36305887	Total Assets	36305887
Sources of Funds :		Application of Funds :	
Paid up Capital	1775007	Net Fixed Assets	22048455
Reserves & Surplus	14195503	Net Current Assets	10611747
Secured Loans	18452847	Investments	348365
Unsecured Loans	1419571	Miscellaneous Expenses	218927
Deferred Tax liability	462959	Profit and Loss Account	3078393

(Paid up Capital includes share warrants aggregating to Rs. in thousands 139123)

IV Performance of the Company (Amount in Rs. Thousands)

Turnover	13853904	Total Expenditure	13808092
Profit/Loss Before Tax	45812	Profit/Loss After Tax	45812
Earnings Per Share (in Rs.)	0.12	Dividend Rate %	NIL

V Generic names of the Principal Products/Services of the Company : (as per monetary terms)

Item Code No.(ITC Code)	Product Description
252329.01	CEMENT
	PROPERTY DEVELOPMENT
	POWER GENERATION
	FROM WIND FARMS

As per our Report of 25th June, 2005

Signatures to Schedules 1 to 17

For P.S.SUBRAMANIA IYER &CO.,
Chartered Accountants
G.HARIHARAN
Partner
Membership No. 15071
Place : Chennai
Date : 25th June, 2005

For BRAHMAYYA & CO.,
Chartered Accountants
N.SRI KRISHNA
Partner
Membership No. 26575

N.SANKAR
Chairman

N.SRINIVASAN
Vice Chairman &
Managing Director

N.RAMACHANDRAN
Executive Director

B.S.ADITYAN
R.K.DAS
P.N.JAMBUNATHAN
N.KUMAR
V.M.MOHAMMED MEERAN
N.D.PINGE
Directors

G.BALAKRISHNAN
Sr. Vice President & Company Secretary

CASH FLOW STATEMENT FOR THE YEAR ENDED 31st MARCH, 2005

		Rs.Lakhs	2005 Rs.Lakhs	Rs.Lakhs	2004 Rs.Lakhs
A.	**Cash flow from operating activities :**				
	Net Profit before tax and extraordinary items		**-5882.29**		-13838.88
	Adjusted for :				
	Depreciation	**7876.96**		8151.26	
	Provision for Doubtful Debts & Advances	**151.51**		300.00	
	Foreign Exchange	**0.00**		0.00	
	Profit on Sale of Investments	**0.00**		0.00	
	Profit / Loss on Sale of Assets	**- 431.68**		558.79	
	Interest Expense	**13389.10**		16388.57	
	Interest Income	**- 900.20**		- 892.80	
	Dividend Income	**- 19.61**		-12.94	
	Deferred Revenue Expenditure/Income	**- 2032.27**	**18033.81**	- 660.29	23832.59
	Operating Profit before Working Capital Changes		**12151.52**		9993.71
	Trade and other receivables	**7088.09**		- 941.71	
	Inventories	**- 4253.38**		- 565.71	
	Trade payables	**6632.39**	**9467.10**	656.63	- 850.79
	Cash generated from operations		**21618.62**		9142.92
	Direct Taxes		**22.98**		- 39.80
	Cash flow before extra ordinary items		**21641.60**		9103.12
	Extra ordinary items		**- 223.32**		0.00
	Net Cash from operating activities	**(A)**	**21418.28**		9103.12
B.	**Cash flow from investing activities :**				
	Purchase of Fixed Assets		**- 2212.19**		-1971.00
	Sale of Fixed Assets		**780.87**		258.92
	Sale of Investments		**0.00**		5.08
	Purchase of Investments		**- 14.35**		0.00
	Interest received		**127.97**		43.20
	Dividend received		**19.61**		12.94
	Refund by / Advances to Subsidiaries, Associates and Others		**- 8321.46**		2588.15
	Net Cash from investing activities	**(B)**	**- 9619.55**		937.29

CASHFLOW STATEMENT FOR THE YEAR ENDED 31st MARCH, 2005 (Contd.)

			2005 Rs. Lakhs	2004 Rs. Lakhs
C.	**Cash flow from financing activities :**			
	Proceeds from issue of share capital		**1391.39**	0.00
	Proceeds from long term borrowings		**41184.88**	0.00
	Repayment of borrowings		**- 47322.69**	- 4576.29
	Interest paid (net of remission)		**- 7132.48**	- 5697.35
	Net Cash from financing activities	**(C)**	**- 11878.90**	-10273.64
	Increase / (Decrease) in cash and cash equivalent	**(A+B+C)**	**- 80.17**	- 233.23
	Cash and cash equivalent at the beginning of the year		**372.23**	605.46
	Cash and cash equivalent at the close of the year		**292.06**	372.23

N.SANKAR
Chairman

N.SRINIVASAN
Vice Chairman &
Managing Director

N.RAMACHANDRAN
Executive Director

B.S. ADITYAN
R.K.DAS
P.N.JAMBUNATHAN
N.KUMAR
V.M.MOHAMMED MEERAN
N.D.PINGE
Directors

G.BALAKRISHNAN
Sr. Vice President & Company Secretary

Place : Chennai
Date : 25th June, 2005

AUDITORS' CERTIFICATE

We have verified the above Cash Flow Statement of The India Cements Ltd., derived from the audited annual financial statements for the years ended 31st March, 2005 and 31st March, 2004 and found the same to be drawn in accordance therewith and also with the requirements of Clause 32 of the Listing Agreements with Stock Exchanges.

For P.S.SUBRAMANIA IYER & CO.,
Chartered Accountants
G.HARIHARAN
Partner
Membership No.15071

For BRAHMAYYA & CO.,
Chartered Accountants
N.SRI KRISHNA
Partner
Membership No.26575

Place : Chennai
Date : 25th June, 2005

STATEMENT ATTACHED TO THE BALANCE SHEET AS AT 31st MARCH, 2005 PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956.

	Name of the Subsidiaries			
	Industrial Chemicals & Monomers Ltd.	ICL Financial Services Ltd.	ICL Securities Ltd.	ICL International Ltd.
1. Financial year ending	31.03.2005	31.03.2005	31.03.2005	31.03.2005
2. Extent of Holding Company's interest at the end of the financial year of the subsidiary	98.59%	100.00%	100.00%	100.00%
3. The net aggregate amount of the subsidiaries' profit less losses or vice versa so far it concerns the members of the holding company's accounts	Rs. Lakhs	Rs. Lakhs	Rs. Lakhs	Rs. Lakhs
(a) for the financial year mentioned against item 1 above	22.91 (Loss)	0.15 (Loss)	5.73 (Profit)	116.49 (Loss)
(b) of the previous financial years of the subsidiaries since they became the holding company's subsidiaries	303.33 (Loss)	2091.63 (Loss)	489.95 (Loss)	653.23 (Loss)
4. (a) The net aggregate amount of the subsidiaries' profits less losses, for the financial year against item 1 above so far as these profits are dealt with in the holding company's accounts. (b) The net aggregate amount of the subsidiaries' profits less losses, for the previous financial years of the subsidiaries since it became the holding company's subsidiaries, so far as these profits are dealt with in the holding company's accounts.	Not dealt in the holding Company's Accounts	Not dealt in the holding Company's Accounts	Not dealt in the holding Company's Accounts	Not dealt in the holding Company's Accounts

5. Changes in the holding company's interest in the subsidiaries between the end of the financial year of the subsidiary and the end of the holding company's financial year.
6. Material changes which have occurred between the end of the aforesaid financial year of the subsidiaries and the end of holding company's financial year in respect of :
   (a) the subsidiaries' fixed assets.
   (b) its investments.
   (c) the money borrowed by it for any purpose other than that of meeting current liabilities.

As the financial year of all the subsidiaries coincides with the financial year of the holding company i.e. , The India Cements Ltd., Sec 212 (5) of the Companies Act, 1956 is not applicable.

N.SANKAR Chairman	N.SRINIVASAN Vice Chairman & Managing Director	N.RAMACHANDRAN Executive Director	B.S. ADITYAN R.K.DAS P.N.JAMBUNATHAN N.KUMAR V.M.MOHAMMED MEERAN N.D.PINGE Directors

Place : Chennai
Date : 25th June, 2005

G.BALAKRISHNAN
Sr. Vice President & Company Secretary

INFORMATION IN AGGREGATE FOR EACH SUBSIDIARY AS AT 31st MARCH, 2005

Subsidiaries

Industrial Chemicals and Monomers Limited	ICML
ICL Securities Limited	ICLSL
ICL Financial Services Limited	ICLFSL
ICL International Limited	ICLIntl

Rs. Lakhs

		ICML	ICLSL	ICLFSL	ICLIntl
Capital:	Paidup	227.82	5.00	5.00	5.00
	Advance towards equity	8.31	608.02	591.20	—
Reserves		4.52	—	—	—
Accumulated Losses		1147.23	484.22	2091.78	769.72
Total Assets (including Investments)		101.69	13483.80	13359.42	331.09
Total Liabilities		1229.18	13355.00	14855.00	1113.81
Details of Investments		0.02	12510.80	13189.56	—
Turnover		2.02	6.61	—	573.50
Profit / (Loss) before Taxation		(23.24)	6.21	(0.15)	(116.49)
Provision for Taxation		—	0.48	—	—
Profit / (Loss) after Taxation		(23.24)	5.73	(0.15)	(116.49)
Proposed Dividend		Nil	Nil	Nil	Nil

As per our Report of 25th June, 2005

For P.S.SUBRAMANIA IYER &CO.,
Chartered Accountants
G.HARIHARAN
Partner
Membership No. 15071

For BRAHMAYYA & CO.,
Chartered Accountants
N.SRI KRISHNA
Partner
Membership No. 26575

N.SANKAR
Chairman

N.SRINIVASAN
Vice Chairman &
Managing Director

N.RAMACHANDRAN
Executive Director

B.S. ADITYAN
R.K. DAS
P.N. JAMBUNATHAN
N.KUMAR
V.M. MOHAMMED MEERAN
N.D. PINGE
Directors

Place : Chennai
Date : 25th June, 2005

G.BALAKRISHNAN
Sr. Vice President & Company Secretary

P.S. SUBRAMANIA IYER & CO.,
Chartered Accountants
103, P.S. Sivaswamy Salai
Mylapore
Chennai - 600 004

BRAHMAYYA & CO.,
Chartered Accountants
Andhra Insurance Buildings
156, Thambu Chetty Street
Chennai - 600 001

AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

We have examined the attached Consolidated Balance Sheet of The India Cements Limited and its Subsidiaries (The India Cements Limited Group) as at 31st March, 2005, the Consolidated Profit and Loss Account and the Consolidated Cash Flow Statement for the year then ended.

These financial statements are the responsibility of The India Cements Limited's management. Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with generally accepted auditing standards in India. These Standards require that we plan and perform the audit to obtain reasonable assurance whether the financial statements are prepared, in all material respects, in accordance with an identified financial reporting framework and are free of material misstatements. An audit also includes, examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statements. We believe that our audit provides a reasonable basis for our opinion.

The financial statements of the subsidiaries have been audited by M/s. P. S. SUBRAMANIA IYER & CO., (joint auditors of The India Cements Limited) whose reports have been furnished and considered.

We report that the Consolidated Financial Statements have been prepared by the Company in accordance with the requirements of Accounting Standard AS 21, Consolidated Financial Statements, issued by the Institute of Chartered Accountants of India and on the basis of above audited financial statements of The India Cements Group and unaudited financial statements of Associate companies included in the consolidated financial statements.

On the basis of the information and explanations given to us and on the consideration of the separate audit reports on few individual audited financial statements of The India Cements Group, we are of the opinion that said Consolidated Financial Statements together with the notes thereon give a true and fair view in conformity with the accounting principles generally accepted in India:

a) In the case of Consolidated Balance Sheet, of the state of affairs of The India Cements Group as at March 31, 2005;

b) In the case of the Consolidated Profit and Loss Account, of the consolidated results of operations of The India Cements Group for the year then ended; and

c) In the case of the Consolidated Cash Flow Statement, of the consolidated Cash Flow of The India Cements Group for the year then ended.

For P. S. SUBRAMANIA IYER & Co.,
Chartered Accountants
G.HARIHARAN
Partner
Membership No.15071

For BRAHMAYYA & Co.,
Chartered Accountants
N.SRI KRISHNA
Partner
Membership No.26575

Place: Chennai
Date: 25th June, 2005

CONSOLIDATED BALANCE SHEET AS AT 31st MARCH 2005

	Schedule	Rs. Lakhs	2005 Rs. Lakhs	Rs. Lakhs	2004 Rs. Lakhs
SOURCES OF FUNDS :					
1. Shareholders' Funds :					
a) Capital	1	**16358.84**		16358.78	
b) Equity Share Entitlement Warrants		**1391.23**		—	
c) Funds Pending allotment of Shares [ICML]		**8.30**		8.30	
d) Reserves and Surplus	2	**141955.03**	**159713.40**	150957.95	167325.03
2. Loan Funds :					
a) Secured Loans	3	**184542.28**		188810.51	
b) Unsecured Loans	4	**14197.81**	**198740.09**	15975.19	204785.70
3. Deferred Tax Liability [Net] [Refer Note No.24]			**4629.59**		4629.59
			363083.08		376740.32
APPLICATION OF FUNDS :					
1. Fixed Assets :	5				
a) Gross Block		**307524.19**		292227.61	
b) Less : Depreciation		**78519.05**		65668.82	
c) Net Block		**229005.14**		226558.79	
d) Capital Work-in-Progress		**299.85**	**229304.99**	9880.02	236438.81
2. Investments	6		**6161.00**		6502.26
3. Current Assets, Loans and Advances	7				
a) Inventories		**18157.56**		13644.70	
b) Real Estate - Projects in Progress		**2170.03**		2440.74	
c) Sundry Debtors		**18439.16**		14647.74	
d) Cash and Bank Balances		**297.05**		394.87	
e) Loans and Advances		**67651.04**		75573.55	
		106714.84		106701.60	
Less : Current Liabilities and Provisions	8	**30851.37**	**75863.47**	24492.30	82209.30
4. Miscellaneous Expenditure to the extent not written off or adjusted :					
Profit and Loss Account			**49325.47**		49283.19
Deferred Revenue Expenditure			**2428.15**		2306.76
			363083.08		376740.32

As per our Report of 25th June, 2005

For P.S.SUBRAMANIA IYER &CO.,
Chartered Accountants
G.HARIHARAN
Partner
Membership No. 15071
Place : Chennai
Date : 25th June, 2005

For BRAHMAYYA & CO.,
Chartered Accountants
N.SRI KRISHNA
Partner
Membership No. 26575

N.SANKAR
Chairman

N.SRINIVASAN
Vice Chairman &
Managing Director

N.RAMACHANDRAN
Executive Director

B.S. ADITYAN
R.K.DAS
P.N.JAMBUNATHAN
N.KUMAR
V.M.MOHAMMED MEERAN
N.D.PINGE
Directors

G.BALAKRISHNAN
Sr. Vice President & Company Secretary

CONSOLIDATED PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31st MARCH 2005

	Note No.	Schedule	Rs. Lakhs	2005 Rs. Lakhs	Rs. Lakhs	2004 Rs. Lakhs
INCOME :						
Sales and Other Income		9		**140681.62**		124094.34
TOTAL INCOME				**140681.62**		124094.34
EXPENDITURE:						
Manufacturing and other Operating Expenses		10		**84105.91**		73691.79
Salaries, Wages and Amenities		11		**7921.35**		8458.86
Administration and Other Charges		12		**4080.21**		5266.55
Selling and Distribution Expenses	9			**29698.10**		25930.88
Interest & Other Charges (Net)	18	13		**13359.00**		16185.45
Depreciation			**13722.32**		8183.91	
Less: Transfer from Revaluation Reserve			**(5747.80)**		—	
Less: Transfer from Deferred Income	19		**(74.49)**	**7900.03**	—	8183.91
Directors' Remuneration		14		**135.92**		111.54
Donations		15		**120.28**		115.05
(Increase) / Decrease in Stock		16		**(623.18)**		120.77
TOTAL EXPENDITURE				**146697.62**		138064.80
PROFIT / (LOSS) FOR THE PERIOD CARRIED DOWN				**(6016.00)**		(13970.46)
Prior Year Adjustments				**—**		32.00
PROFIT / (LOSS) BEFORE TAX AND EXTRAORDINARY ITEMS				**(6016.00)**		(13938.46)
Extraordinary Items - Income [Net]	18(b)			**6340.41**		2565.57
				324.41		(11372.89)
Proportionate Profit / (Loss) of Associate Companies				**(366.21)**		36.15
PROFIT / (LOSS) BEFORE TAX				**(41.80)**		(11336.74)
Provision for Current Tax				**(0.48)**		—
Deferred Tax Asset				**—**		1680.00
PROFIT / (LOSS) AFTER TAX				**(42.28)**		(9656.74)
Balance from Previous year				**(49283.19)**		(39626.45)
				(49325.47)		(49283.19)
Transfer from Share Premium			**287.18**		1772.00	
Less : Share / Debenture issue expenses			**(287.18)**		—	
Less : Discount on issue of Debentures			—	—	(1772.00)	—
Balance carried to Balance Sheet				**(49325.47)**		(49283.19)
Earnings / (Loss) Per Share (Rs.) - Basic				**(0.24)**		(7.18)
Earnings / (Loss) Per Share (Rs.) - Diluted				**(0.24)**		(7.18)
Notes on Accounts		17				

As per our Report of 25th June, 2005

For P.S.SUBRAMANIA IYER &CO.,	For BRAHMAYYA & CO.,	N.SANKAR	N.SRINIVASAN	N.RAMACHANDRAN	B.S. ADITYAN
Chartered Accountants	Chartered Accountants	Chairman	Vice Chairman &	Executive Director	R.K.DAS
G.HARIHARAN	N.SRI KRISHNA		Managing Director		P.N.JAMBUNATHAN
Partner	Partner				N.KUMAR
Membership No. 15071	Membership No. 26575				V.M.MOHAMMED MEERAN
Place : Chennai			G.BALAKRISHNAN		N.D.PINGE
Date : 25th June, 2005			Sr. Vice President & Company Secretary		Directors

CONSOLIDATED ACCOUNTS

SCHEDULES ANNEXED TO AND FORMING PART OF CONSOLIDATED BALANCE SHEET AND CONSOLIDATED PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2005.

SCHEDULE 1
SHARE CAPITAL

	No.of Shares	2005 Rs.Lakhs	No of Shares	2004 Rs.Lakhs
AUTHORISED :				
Equity Shares of Rs 10 each	**200000000**	**20000.00**	150000000	15000.00
Redeemable Cumulative Preference Shares of Rs 100 each	**7500000**	**7500.00**	7500000	7500.00
		27500.00		22500.00
ISSUED :				
Equity Shares of Rs 10 each	**139545570**	**13954.56**	139545570	13954.56
11.5% Redeemable Cumulative Preference Shares of Rs.100 each	**2500000**	**2500.00**	2500000	2500.00
		16454.56		16454.56
SUBSCRIBED :				
Equity Shares of Rs 10 each	**139545504**	**13954.55**	139545504	13954.55
Less: Calls in arrears (Other than Directors)	**2015484**	**95.71**	2016684	95.77
	137530020	**13858.84**	137528820	13858.78
11.5% Redeemable Cumulative Preference Shares of Rs.100 each	**2500000**	**2500.00**	2500000	2500.00
	140030020	**16358.84**	140028820	16358.78

Notes :

1. 14,00,000 equity shares of Rs.10/-each (28,00,000 equity shares of Rs.5/- each before consolidation) were issued as fully paid up bonus shares in 1969 by capitalising Rs.140 lakhs out of General Reserve and 321,68,291 equity shares of Rs.10/- each were issued as fully paid up bonus shares in 1996 by capitalising Rs.32,16,82,910 out of Share Premium.
2. Includes 58,57,987 equity shares of Rs.10/- each consequent to issue of equivalent number of Global Depository Receipts (GDR) in 1994.
3. During 1999-2000, the Company issued 1500000 11.5% Redeemable Cumulative Preference Shares of Rs.100 each, redeemable at par, 60 months from the date of allotment with call / put option any time after the end of the 3rd year from the date of allotment, with the notice of 30 days from either side and are due for redemption.
4. During 1999-2000, the Company issued 1000000 11.5% Redeemable Cumulative Preference Shares of Rs.100 each, redeemable at par, 5 years from the date of allotment with call / put option at the end of the 3rd year from the date of allotment and are due for redemption.
5. Dividend due on Preference share capital is Rs.1150 lakhs.
6. No interest has been recognised as income on calls in arrears from April 2002.
7. During 2004-05, the company has allotted 2,96,00,561 equity warrants in favour of ADRC Limited, Mauritius on preferential basis. Each warrant is convertible into one equity share of Rs.10/- each, at the option of the holder within 18 months from 9th March 2005 (date of allotment) on payment of Rs.47/- per share (including the upfront payment of Rs.4.70 per warrant), as determined in accordance with SEBI (Disclosure and Investor Protection) Guidelines, 2000.

SCHEDULE 2
RESERVES AND SURPLUS

	2005 Rs. Lakhs	2004 Rs. Lakhs
Capital Reserve	**16.17**	16.17
Share Premium*	**33248.29**	33535.37
Debenture Redemption Reserve	**0.00**	5331.25
Contingency Reserve**	**11831.25**	6500.00
General Reserve	**9.13**	9.13
Deferred Income	**5620.98**	7976.37
Revaluation Reserve	**91229.21**	97589.66
	141955.03	150957.95

* Share Premium is net of Calls in arrears Rs. 143.56 lakhs (Previous year Rs. 143.66 lakhs)
** For any possible erosion in the value of Investments / Advances.

SCHEDULE 3
SECURED LOANS

		2005 Rs. Lakhs	2004 Rs. Lakhs
(A) Debentures			
(i)	50,00,000 14% Secured Redeemable Non-Convertible privately placed Debentures of Rs 100 each with Unit Trust of India. The Debentures were due for redemption at par on 1-10-2002. The Company had an option to pay 1/3 of the amount each on 1-10-2000, on 1-10-2001 and on 1.10.2002 by giving 3 months notice.	**—**	5000.00
(ii)	2385 13.5% Secured Debentures of Rs 5,00,000 each privately placed with Banks, Insurance Companies and Mutual Funds. Debentures are redeemable in four equal annual instalments commencing from the end of 3 1/2 years from the date of allotment.	**8416.71**	8791.71
(iii)	7630 13% Secured Debentures of Rs 5,00,000 each privately placed with Scheduled Banks, Insurance Companies and Mutual Funds. Debentures are redeemable in three annual instalments in the ratio of 30:30:40 commencing from the end of 4th year from the date of allotment.	**15786.51**	37886.51
(iv)	91 Zero coupon Secured Redeemable Non-Convertible Debentures of Rs 1,00,00,000 each redeemable at face value on 2nd April, 2005.	—	4835.80
(v)	18000 13.5% Secured Redeemable Non-Convertible Debentures of Rs 1,00,000 each privately placed with ICICI Ltd. Debentures are redeemable at par in three equal annual instalments on the expiry of 5th year from the date of subscription.	**18000.00**	18000.00
(vi)	8736000 Optionally Convertible Debentures (OCDs) of Rs. 125 each privately placed with ADRC Limited, Mauritius. Each OCD is convertible at the end of 18 months, at the option of the holder, from the date of allotment into one equity share of Rs. 10/- each at a price of Rs. 125/- per share (inclusive of premium) or at a price to be determined in accordance with Securities and Exchange Board of India (Disclosure and Investor Protection) Guidelines, 2000 at the time of conversion whichever is higher.	**10920.00**	—
	Total [A] (i) to (vi)	**53123.22**	74514.02
	Funded Interest Term Loan	**8331.73**	16206.76
	Interest Accrued	**713.39**	1069.32
		62168.34	91790.10
(B) Term Loans			
(i)	Dalavoi Cement Plant:		
	Industrial Development Bank of India Ltd.	**10034.89**	10034.89
(ii)	Yerraguntla Cement Plant:		
	Industrial Development Bank of India Ltd.	**4900.00**	4900.00
(iii)	Vishnupuram Cement Plant:		
	a) Industrial Development Bank of India Ltd.	**525.60**	525.60
	b) IFCI Ltd	**196.97**	196.97
(iv)	State Bank of India	**7000.00**	7000.00
(v)	Allahabad Bank	**998.71**	998.71
(vi)	Nova Scotia Bank	**5499.89**	5800.77
(vii)	ICICI Bank Ltd	**5000.00**	5000.00
(viii)	ICICI Bank Ltd	**800.00**	800.00
(ix)	ICICI Bank Ltd	**26950.00**	—
(x)	Bank Muscat	**700.00**	700.00
(xi)	HDFC Ltd.	**3000.00**	3000.00
(xii)	HDFC Ltd.	**2000.00**	2000.00
(xiii)	Oriental Bank of Commerce	**924.67**	924.67
(xiv)	Hongkong and Shanghai Banking Corporation	**—**	924.29
(xv)	Indus Ind Bank	**367.92**	367.92
(xvi)	Liability towards assets acquired on Lease	**202.70**	101.14
(xvii)	Infrastructure Leasing and Financial Services Limited	**—**	4.20
	[Secured by Pledge of Shares of a third party]		
	Total [B] (i) to (xvii)	**69101.35**	43279.16
	Funded Interest Term Loan	**8935.71**	8059.80
	Interest Accrued	**579.96**	495.07
		78617.02	51834.03
(C) Cash Credit Facilities and Other Working Capital Loans from Scheduled Banks			
i.	Working Capital and other Term Loans from Banks	**20870.54**	25766.38
ii.	Cash Credit Facilities from Scheduled Banks	**22886.38**	19420.00
	Total (i) and (ii)	**43756.92**	45186.38
	Total (A) to (C)	**184542.28**	188810.51

SCHEDULES 3 (contd...)

SECURED LOANS :

SECURITY : [Refer Note No.18]

A. Debentures *

1. Items (i), (ii) and (v) are secured by a registered first mortgage on the Company's properties in the State of Gujarat and further secured by a joint first equitable mortgage/charge on the immovable and movable assets (excluding assets purchased under Asset Credit Scheme and certain other assets specifically excluded from the purview of the security) present and future subject to prior charge on the movable assets in favour of the Company's bankers for working capital requirements.
2. Items (iii) and (iv) are secured by a registered first mortgage on the Company's properties in the State of Gujarat and further secured by a joint equitable mortgage on the immovable properties of the Company both present and future.
3. Item (vi) is secured by a registered first mortgage on the Company's properties in the State of Gujarat and further secured by a charge by way of hypothecation in favour of the Debenture Trustees of the movable assets including Plant & Machinery that relate to Vishnupuram Plant except current assets including inventory and book debts and pledge of non-convertible debentures purchased / redeemed from UTI.
4. *Excluding Debentures bought back amounting to Rs.32210.80 lakhs and held in the name of a trustee.

B. Term Loans

1. Items (i), (ii) & (vii) are secured by first equitable mortgage and charge on pari passu basis (with other Lenders/Debenture Trustees) on the immovable and movable assets (with exclusion of assets purchased under Asset Credit Scheme and certain other assets specifically excluded from the purview of the security) both present and future subject to prior charge on the movable assets in favour of the Company's bankers for working capital requirements. In addition, items (i) and (ii) are secured by personal guarantee of Vice Chairman and Managing Director and Executive Director.
2. Item (iii)(a) is secured by first charge on the immovable and movable properties pertaining to Vishnupuram Works and also guaranteed by third parties and personal guarantee of Vice Chairman and Managing Director and Executive Director.
3. Item (iii)(b) is secured by an exclusive first charge by way of hypothecation of the equipment purchased together with tools & accessories at Vishnupuram cement plant.
4. Item (iv) is secured by hypothecation of Fixed Assets of the Company at Sankarnagar, Dalavoi and Yerraguntla cement plants and further secured by a joint first equitable mortgage / charge on the immovable and movable assets (excluding assets purchased under Asset Credit Scheme and certain other assets specifically excluded from the purview of the security) present and future subject to prior charge on the movable assets in favour of the Company's bankers for working capital requirements.
5. Item (v) is secured by first charge on the Gensets installed at Sankarnagar.
6. Item (vi) is secured by a charge on the Fixed Assets of Sankarnagar, Sankari, Dalavoi, Chilamakur, Yerraguntla and Vishnupuram Cement plants and by pledge of shares of Visaka Cement Industry Ltd. held by the Company's subsidiaries and associates.
7. Item (viii) is secured by hypothecation of movable properties of the Company at Sankarnagar, Sankari and Chilamakur and further secured by a first mortgage and charge on the Company's immovable properties.
8. Item (ix) is secured by a charge in favour of security trustee on the movable assets including Plant & Machinery that relate to Vishnupuram Plant and pledge of non-convertible debentures purchased /redeemed from UTI.
9. Item (x) is secured by a second charge on the current assets of the Company.
10. Item (xi) is secured by first charge on the residential colonies at Sankarnagar, Sankari Chilamakur and property at Chennai.
11. Item (xii) is secured by shares of India Cements Capital & Finance Ltd. (ICCFL) and Andhra Pradesh Gas Power Corporation Ltd. (APGPCL) held by the Company and its subsidiaries and further secured by first charge on the residential colonies at Sankarnagar, Sankari, Chilamakur and property at Chennai.
12. Item (xiii) is secured by hypothecation of current assets ranking sub-servient to the charge of working capital bankers and term lenders.
13. Item (xiv) is secured by second charge on the movable properties of the Company excluding current assets and including movable plant & machinery, spares, tools & accessories and other movables both present and future.
14. Item (xv) is secured by sub-servient charge on all the current assets of the Company.
15. Item (xvi) is secured by the respective equipments and other assets acquired on lease.
16. The term loan / debenture assistance from State Bank of India are additionally secured by a second charge of the current assets of the Company and personal guarantee of Vice Chairman and Managing Director and Executive Director.

C. Cash Credit Facilities and Working Capital Loans from Scheduled Banks

The fund based and non-fund based working capital facilities are secured by a first charge on pari passu basis on all the current assets and second charge on the movable fixed assets and immovable properties of the Company and personal guarantee of Vice Chairman and Managing Director and Executive Director. The working capital and funded interest term loans are secured by a first charge on the movable fixed assets and immovable properties of the company and a second charge on the current assets and the personal guarantee of Vice Chairman and Managing Director and Executive Director.

D. Loans mentioned in B(i) carry an option for conversion into equity shares at par not exceeding 20% of the sanctioned loan/outstanding loan in the advent of certain events and subject to conditions.

SCHEDULE 4
UNSECURED LOANS

	2005 Rs. Lakhs	2004 Rs. Lakhs
Fixed Deposits	**3107.86**	3677.23
Short Term Loans	**270.00**	270.00
Loan from Scheduled Banks	**9114.58**	10066.77
Privately placed Debentures with Scheduled Banks	**1500.00**	1500.00
Sales Tax Deferral Scheme	**2.10**	2.10
	13994.54	15516.10
Funded Interest Term Loan	**81.86**	452.06
Interest Accrued	**121.41**	7.03
	14197.81	15975.19

SCHEDULE 5
FIXED ASSETS*

Rs. Lakhs

	GROSS BLOCK					DEPRECIATION BLOCK		NET BLOCK	
Particulars	As at 31st Mar-04	Additions	Deductions	Additions on Revaluation	**As at 31st Mar-05**	For the Year	**As at 31st Mar-05**	**As at 31st Mar-05**	As at 31st Mar-04
Goodwill **	2937.13	5790.00	0.00	0.00	**8727.13**	0.00	**0.00**	**8727.13**	2937.13
Land	18807.55	14.27	87.48	0.00	**18734.34**	0.00	**0.00**	**18734.34**	18807.55
Buildings	31807.79	306.24	0.00	0.00	**32114.03**	921.51	**6560.43**	**25553.60**	26168.88
Plant and Machinery including Electrical installations***	229903.52	10495.89	1521.48	0.00	**238877.93**	12166.85	**67173.88**	**171704.05**	174225.60
Wind Electric Generators	4475.85	0.00	0.00	0.00	**4475.85**	236.32	**2262.28**	**2213.57**	2449.89
Furniture, Office Equipment and Library	3120.12	229.07	8.22	0.00	**3340.97**	288.21	**1757.32**	**1583.65**	1644.53
Vehicles	1175.65	305.49	227.20	0.00	**1253.94**	109.43	**765.14**	**488.80**	325.21
Total	292227.61	17140.96	1844.38	0.00	**307524.19**	13722.32	**78519.05**	**229005.14**	226558.79

* Refer Note No.22

**Goodwill includes Goodwill net of Capital Reserve arising on account of Investment in Associates Rs.8115.73 Lakhs (Previous Year Rs. 2325.73 Lakhs).

*** Includes Rs.95.41 Lakhs of equipments on "right to use" basis, which is depreciated over its useful life.

SCHEDULE 6
INVESTMENTS

Company Name	No of Shares/ Debentures	Face Value Rupees	2005 Cost Rupees	2004 Cost Rupees
1. TRADE INVESTMENTS - Long Term (Quoted) :				
(A) Fully Paid Equity Shares of Companies				
The Associated Cement Companies Limited	330	3300	1875	1875
The Andhra Cement Company Limited	98	980	4412	4412
Rohtas Industries Limited	55	550	1075	1075
The Jaipur Udyog Limited	120	1200	1200	1200
Shree Digvijay Cement Company Limited	50	500	510	510
OCL India Limited	120	1200	700	700
Sone Valley Portland Cement Company Limited	50	250	441	441
Dalmia Cement (Bharath) Limited	186	1860	612	612
Ashoka Cement Limited	50	500	553	553
Kanoria Industries Limited	100	1000	981	981
Chettinad Cement Corporation Limited	500	5000	11325	11325
Madras Cements Limited	200	2000	2775	2775
Mysore Cements Limited	100	1000	2125	2125
Rain Commodities Limited	100	1000	710	710
Panyam Cements and Minerals Industries Limited	5	500	430	430
Premier Housing & Industrial Enterprises Limited	100	1000	2350	2350
SI Property Development Limited	100	1000	2025	2025
Chemplast Sanmar Limited	111	1110	2750	2750
			36849	36849
(B) Debentures of Companies :				
Fully paid 13.5% Debentures of Rs. 160 each of The Andhra Cement Company Limited	50	8000	8000	8000
2. OTHER INVESTMENTS				
(A) Fully Paid Equity Shares of Companies (Quoted) :				
HDFC Bank Ltd.	500	5000	5000	5000
Industrial Development Bank of India Ltd	160	1600	13000	13000
Karur KCP Packagings Ltd.	996500	9965000	39860000	39860000
Coromandel Fertilizers Ltd.	100	1000	2125	2125
Orient Paper Industries Limited	100	1000	7275	7275
Texmaco Limited	50	500	2930	2930
Kesoram Industries Limited	10	100	405	405
Chowgule Steamship Limited	50	500	4150	4150
Varun Shipping Company Limited	100	1000	4250	4250
The Great Eastern Shipping Company Limited	90	900	6638	6638
GESCO Corporation Limited	10	100	737	737
Garware Shipping Corporation Limited	50	500	1063	1063
Essar Shipping Limited (600 Equity Shares of Rs.10 /- each were issued in exchange of 200 Equity Shares of South India Shipping Corporation Limited, in pursuant to a Scheme of Amalgamation)	700	7000	20613	20613
Gujarat Composite Limited (Pursuant to a Scheme of Arrangement between Shree Digvijay Cement Company Limited and Gujarat Composite Limited, these shares were allotted)	46	460	—	—
Kesoram Textile Mills Limited (These shares were allotted pursuant to the scheme of arrangement between Kesoram Industries Ltd & Kesoram Textile Mills Ltd.)	10	20	—	—
Digvijay Finlease Limited (as a result of the arrangement on acquisition of Investment in shares of other bodies corporate from Shree Digvijay Cement Company Ltd., these shares were allotted)	70	700	—	—
Associate : India Cements Capital & Finance Ltd.	10400000	104000000	254498697	254498697
			294426883	294426883
(B) Shares of Companies - Long Term (Unquoted) :				
Fully Paid Equity Shares :				
Associate Companies				
ICL Sugars Ltd.	7000100	70001000	99480222	99480222
Raasi Cement Limited	239427	2394270	74750530	74750530
Visaka Cement Industry Limited	99770116	997701160	1094084287	1094084287
Trishul Concrete Products Private Limited	500000	5000000	5193853	5193853
Coromandel Electric Company Limited (Purchased during the year)	246000	2460000	2460000	—
Others :				
Andhra Pradesh Gas Power Corporation Ltd.	4690000	46900000	280600750	280600750
Senka Carbon Private Limited	6450	645000	3937934	3937934
Indu Spin Industries Limited	2000000	20000000	20000000	20000000
Sun Paper Mill Ltd. (Listed but not Quoted)	325200	3252000	3252000	3252000
Jubilee Cements Ltd.	100	1000	1000	1000
ICL Shipping Limited.	5000	50000	50000	50000
			1583810576	1581350576
(C) Government and Trustee Securities :				
National Savings Certificates		133700	133700	98700
Indira Vikas Patra Certificates		2100	2100	2100
			135800	100800
(D) Other Investments (Quoted) :				
6.75% Tax free US 64 Bonds of Unit Trust of India (Cost is net of Provision for diminution in value Rs.10339554)	213409	21340900	21280900	21280900
(E) Fully Paid Shares of Co-operative Societies - Long Term (Unquoted) :				
The India Cements Employees Co-operative Stores Limited, Sankarnagar.	2500	125000	125000	125000
The India Cements Employees Co-operative Stores Limited, Sankari West.	5000	50000	50000	50000
The India Cements Mines Employees Co-operative Stores Limited, Sankari West.	5300	53000	53000	53000
The India Cements Mines Employees Co-operative Stores Limited, Sankarnagar	30	1500	1500	1500
			229500	229500
Total [1+2]			1899928508	1897433508
Less : Provision for Diminution in Value			7774446	7774446
			1892154062	1889659062
Less : Adjustment as per Accounting Standard 23			1276053941	1239433468
			616100121	650225594
Note :-				
Aggregate of Quoted Investments :				
Cost			308113986	308078986
Market Value			108774635	140203004
Aggregate of Unquoted Investments :				
Cost			307986134	342146609

SCHEDULE 7
CURRENT ASSETS, LOANS AND ADVANCES

	2005 Rs. Lakhs	2004 Rs. Lakhs
A. CURRENT ASSETS :		
1. Inventories :		
Stores/Spares (including coal and packing materials)	**8779.93**	5730.96
Raw Materials	**3238.75**	2668.75
Work-in-Process	**647.31**	591.10
Semi-Finished Goods	**3694.82**	3077.78
Finished Goods	**1796.75**	1576.11
	18157.56	13644.70
2. Real Estate - Projects in progress	**2170.03**	2440.74
3. Sundry Debtors unsecured, considered good [Net of Bad Debts Written off Rs.28.03 lakhs and Provision for Doubtful Debts Rs.632.29 lakhs; Previous Year Rs.49.64 lakhs and Rs.510.32 Lakhs respectively] includes Rs.2414.13 Lakhs outstanding for more than 6 months. (Previous Year : Rs.1890.70 lakhs)	**18439.16**	14647.74
4. Cash, Stamps and Bank Balances :		
Cash, Cheques and Stamps on hand	**23.25**	28.68
Cash at Scheduled Banks in Current Accounts	**95.67**	164.05
Fixed Deposits with Scheduled Banks	**178.13**	202.14
	297.05	394.87
[A]	**39063.80**	31128.05
B. LOANS AND ADVANCES (Refer Note No. 23)		
1. Secured :		
Housing and other Loans to employees including interest accrued	**447.40**	529.62
2. Unsecured (Considered good) :		
Advance for Goods	**852.39**	1178.38
Other Advances recoverable in cash or in kind or for value to be received (Refer Note No.5)	**64139.37**	71891.05
Prepaid Expenses	**377.81**	286.57
Deposits	**1834.07**	1687.93
Advance payment of Tax / TDS Receivable	**0.00**	0.00
[B]	**67651.04**	75573.55
Total A & B	**106714.84**	106701.60

SCHEDULE 8
CURRENT LIABILITIES AND PROVISIONS

	2005 Rs. Lakhs	2004 Rs. Lakhs
CURRENT LIABILITIES		
Acceptances (Refer Security Clause "C" in Schedule 3)	**7336.40**	4532.14
Creditors for :		
Goods/Others	**9284.00**	5991.94
Expenses	**5953.47**	5848.23
Capital Expenditure	**28.13**	89.08
Trade Deposits	**6571.29**	5421.88
Interest accrued on secured and unsecured loans	**167.23**	323.09
Customers' Credit Balances	**1404.00**	2201.52
Investor Education and Protection Fund* (Appropriate amount shall be transferred to "Investor Education and Protection Fund", if and when due)		
(a) Unpaid Dividend	8.14	98.60
(b) Unpaid Share Application Money	3.92	4.27
(c) Unpaid Matured Deposits	91.36	82.32
(d) Unpaid Matured Debentures	5225.00	12000.00
(e) Interest accrued on (a) to (d) above	555.10	2413.40
	5883.52	14598.59
PROVISIONS :		
For Income Tax (Net of Advance)	**106.85**	84.42
	30851.37	24492.30

* All the above items are included in Schedule 8 "Current Liabilities", except unpaid matured Debentures and interest accrued which are included in Schedule 3 "Secured Loans" (Refer Note No.18)

SCHEDULE 9
SALES AND OTHER INCOME

	2005 Rs. Lakhs	2005 Rs. Lakhs	2004 Rs. Lakhs	2004 Rs. Lakhs
Sales [Includes Excise Duty Rs.22284.66 Lakhs Previous Year Rs.21619.92 Lakhs]	**137429.58**		122553.36	
Value of Power Generated from Wind Farms	**564.53**		622.60	
Income from Property Development Division	**546.72**		126.22	
Yarn Exports	**272.02**		282.79	
Home Textile Exports	**6.03**		14.58	
Home Textiles	**25.75**		26.44	
Hire Charges Received	**30.30**		40.09	
[A]		**138874.93**		123666.08
DIVIDEND AND INTEREST:				
On Trade Investments	**5.16**		0.05	
On Other Investments	**14.45**		15.18	
Others [Tax Deducted at Source Rs.15.94 Lakhs Previous Year Rs.7.65 Lakhs]	**127.97**	**147.58**	108.62	123.85
Rent Recovery	**19.38**		19.07	
Profit on Sale of Assets	**446.91**		6.22	
Miscellaneous Income	**1092.12**		267.46	
Overseas Service Charges	**82.42**		0.00	
Export Incentives	**18.28**	**1659.11**	11.66	304.41
Total Other Income [B]		**1806.69**		428.26
Total [A] & [B]		**140681.62**		124094.34

SCHEDULE 10
MANUFACTURING AND OTHER OPERATING EXPENSES

	2005 Rs. Lakhs	2005 Rs. Lakhs	2004 Rs. Lakhs	2004 Rs. Lakhs
1. Raw Materials Consumed				
Opening Stock		**2668.75**		2284.03
Add: Purchases	**7216.59**		6048.58	
Own Quarrying (Net)	**8342.92**		7517.11	
(Refer Note No. 6)		**15559.51**		13565.69
		18228.26		15849.72
Less: Closing Stock		**3238.75**		2668.75
Total Raw Materials Consumed		**14989.51**		13180.97
2. Stores Consumed		**1340.01**		954.93
3. Power and Fuel		**43515.36**		35706.22
4. Repairs & Maintenance:				
Building	**25.64**		17.56	
Machinery	**1529.44**		1914.64	
Others	**327.78**		269.51	
Total Repairs & Maintenance		**1882.86**		2201.71
5. Cost of Construction including Land for Property Development Division		**11.50**		3.86
6. Excise Duty on Cement		**22325.19**		21600.25
7. Machinery Lease Rentals (Net)		**41.48**		43.85
		84105.91		73691.79

CONSOLIDATED ACCOUNTS

SCHEDULE 11
SALARIES, WAGES AND AMENITIES

	2005 Rs. Lakhs	2005 Rs. Lakhs	2004 Rs. Lakhs	2004 Rs. Lakhs
Salaries, Wages and Bonus		**5280.74**		5503.61
Contribution to Provident Fund		**471.00**		513.22
Gratuity		**160.01**		651.19
Superannuation		**300.00**		120.00
Employees' Provident Fund Admn Charges		**32.17**		37.72
Employees' State Insurance Scheme		**7.99**		5.24
Workmen and Staff Welfare Expenses *		**1669.44**		1627.88
Total		**7921.35**		8458.86

* Includes Expenses on Schools Rs.122.44 Lakhs (Previous Year Rs.120.91 Lakhs) which is net of Grants Rs.160.55 Lakhs [Previous Year Rs.156.29 Lakhs]

SCHEDULE 12
ADMINISTRATION AND OTHER CHARGES

	2005 Rs. Lakhs	2005 Rs. Lakhs	2004 Rs. Lakhs	2004 Rs. Lakhs
Insurance		**524.08**		550.23
Rent		**110.14**		106.90
Rates and Taxes		**263.09**		230.38
Printing and Stationery		**77.26**		68.69
Postage, Telephones and Telegrams		**289.12**		300.56
Other Administration Expenses		**1921.53**		1695.32
Legal Fees		**63.13**		45.02
Travelling Expenses		**26.79**		2.49
Directors' Sitting Fees		**3.08**		1.54
Auditors' Expenses:				
Audit Fees	**25.45**		22.21	
Cost Audit Fees	**3.00**		3.24	
Certifications/Others	**19.44**		12.37	
Tax Audit/Other Services	**2.00**		2.32	
Travel/out of pocket expenses	**1.62**		2.70	
		51.51		42.84
Amortisation of Deferred Revenue Expenses (see Note No. 6)		**591.47**		1352.59
Loss on Sale of Assets		**7.50**		569.99
Provision for Doubtful Advances / Debtors		**151.51**		300.00
Total		**4080.21**		5266.55

SCHEDULE 13
INTEREST AND OTHER CHARGES (NET)

	2005 Rs. Lakhs	2005 Rs. Lakhs	2004 Rs. Lakhs	2004 Rs. Lakhs
Interest on Debentures		**3193.61**		5281.25
Interest on Fixed Loans		**4488.95**		3839.34
Interest - Others		**4940.01**		6431.26
Bank Charges		**736.43**		633.60
		13359.00		16185.45

SCHEDULE 14
DIRECTORS' REMUNERATION

	2005 Rs. Lakhs	2005 Rs. Lakhs	2004 Rs. Lakhs	2004 Rs. Lakhs
Managing Director :				
Salary	**54.53**		48.00	
Contribution to Provident Fund	**5.56**		3.60	
Contribution to Gratuity and Superannuation Funds	**8.89**	**68.98**	5.75	57.35
Executive Director :				
Salary	**44.93**		38.40	
Contribution to Provident Fund	**4.60**		2.88	
Contribution to Gratuity and Superannuation Funds	**7.36**		4.60	
Others	**0.61**	**57.50**	3.59	49.47
Wholetime Directors: ICL International Ltd.				
Salary	**7.20**		3.60	
Contribution to Provident Fund	**0.86**		0.43	
Contribution to Gratuity and Superannuation Funds	**1.38**	**9.44**	0.69	4.72
		135.92		111.54

SCHEDULE 15
DONATIONS

	2005 Rs. Lakhs	2004 Rs. Lakhs
The India Cements Educational Society	**100.00**	100.00
Others	**20.28**	15.05
	120.28	115.05

SCHEDULE 16

(INCREASE) / DECREASE IN STOCK

	2005 Rs. Lakhs	2005 Rs. Lakhs	2004 Rs. Lakhs	2004 Rs. Lakhs
Opening Stock of:				
Work-in-Process	**591.10**		602.02	
Semi-finished Goods	**3077.78**		3082.60	
Finished Goods	**1576.11**		1656.19	
Real Estate - Projects in Progress	**2440.74**		2465.69	
		7685.73		7806.50
Less:				
Closing Stock of:				
Work-in-Process	**647.31**		591.10	
Semi-finished Goods	**3694.82**		3077.78	
Finished Goods	**1796.75**		1576.11	
Real Estate - Projects in Progress	**2170.03**		2440.74	
		8308.91		7685.73
Total (Increase) / Decrease in Stock		**(623.18)**		120.77

CONSOLIDATED ACCOUNTS

SCHEDULE 17

(A) SIGNIFICANT ITEMS OF ACCOUNTING POLICY

1. Accrual system of Accounting is generally followed to record income and expenditure excepting in the areas herein specifically mentioned.
2. Fixed Assets are valued and shown adopting the following basis:
   (a) Fixed Assets and Capital work-in-progress of all the cement manufacturing facilities are revalued and shown at revalued amounts as at 31st March, 2005. All other Fixed Assets acquired are shown at the cost of acquisition;
   (b) Fixed Assets acquired on hire purchase or on Financial Lease are shown at their principal cost, excluding the interest cost included in these agreements which is charged to revenue;
   (c) Expenditures and outlays of money on uncompleted projects of a capital nature are shown as capital works-in-progress until such time these projects are completed and commissioned. All costs including financing costs incurred on specific projects/acquisition of undertakings are charged to the concerned heads;
   (d) The Company provides depreciation on written down value method for Motor Vehicles and for assets acquired prior to 1-4-1982 at Head Office and at Sankarnagar. For all other assets Straight-Line method as per Section 205(2)(b) of the Companies Act, 1956 is adopted. The depreciation on incremental value arising from the revaluation of Fixed Assets is charged to the Revaluation Reserve Account.
3. (a) Where Foreign Currency loans have been availed to acquire Fixed Assets, the outstanding liability on these loans is stated at the exchange rate of the rupee as at the year end or at contracted rates with a corresponding adjustment to the carrying cost of the relevant assets. Gain or loss arising from cover on Forward Exchange Contracts relating to the year is also adjusted to the carrying cost of the Fixed Assets. Depreciation is charged to accounts on the values so adjusted over the remaining life of the asset.
   (b) Foreign Exchange transactions are accounted at the exchange rates prevailing at the time of transactions or at contracted rates. Current Assets and Current Liabilities in Foreign currencies are translated at values prevailing as at the year end. Gains/Losses, if any, arising therefrom are recognised in the Profit and Loss Account.
4. Sales includes excise duty, revenue from trade related activities and sales tax deferred as reduced by consideration for assignment of Sales Tax deferral liability and is net of rebates, discounts and incentives.
5. Revenue from construction projects under Real Estate and Property Development Division is recognised on percentage of completion method in accordance with the Accounting Standard 7 (revised) issued by the Institute of Chartered Accountants of India.
6. Valuation of inventories of raw materials, packing materials, stores, spares, fuels and work-in-process is at weighted average cost. Semi-finished goods, finished goods and Real Estate Projects are valued at cost or net realisable value whichever is lower. The value of finished goods includes excise duty and does not include interest and other administrative overheads.
7. Insurance on Company's properties, immovable and movable, is on reinstatement value basis.
8. Research and Development expenses not resulting in any tangible property/equipment are charged to revenue.
9. Interest and other costs in connection with borrowing of funds to the extent related/attributed to the acquisition/construction of qualifying Fixed Assets are capitalised upto the date when such assets are ready for its intended use and other borrowing costs are charged to Profit & Loss Account.
10. Claims /Incomes arising from price escalation and/or any other item of compensation and which are indeterminate are accounted on cash basis.
11. Trade investments and investments in subsidiary companies are long term investments and are carried at cost. The other investments are carried at lower of cost or realisable value. Provision for diminution value is made wherever necessary in accordance with the mandatory Accounting Standard.
12. Retirement benefits are provided by charge to revenue including provision for gratuity determined on an actuarial basis and funded and for which a trust has been created. Leave encashment is at the discretion of the management and is charged off to revenue in the year of payment.
13. Premium on redemption of debentures is accounted on redemption and set off against the Securities Premium Account.

(B) NOTES ON ACCOUNTS FOR THE YEAR ENDED 31ST MARCH, 2005

		Rs. Lakhs
1.	Estimated amount of Capital Expenditure commitments	**48.69**
2.	Monies for which the Company is contingently liable:	
	(a) Letter of Credit opened by bankers	**384.80**
	(b) Counter Guarantees to bankers (including guarantees given on behalf of subsidiaries and associates)	**23517.85**
	(c) Sales Tax demand for various years under dispute	**1018.56**
	(d) Liability towards fine under Jute Packaging Materials(Compulsory use of Packaging Commodities) Act, 1987, upto June 1997 is not quantifiable.	
	(e) Contingent liabilities pertaining to Raasi Cement Limited (Residuary Company) for Sales Tax, Central Excise and Income Tax.	**2943.57**
	(f) Sales Tax deferred under a scheme of The Government of Tamil Nadu and The Government of Andhra Pradesh have been assigned to other companies. In view of the assignment the Company is contingently liable as at March 31, 2005.	**29068.32**
	The Sales Tax Department has issued notices on the Company claiming a sum of Rs 6378 lakhs contending that the Company has availed Sales Tax Deferral in excess. The issue has been challenged by the Company and the case is pending before the Honourable High Court of Madras. The Honourable High Court of Madras has stayed the claim by the Department and has directed the Company to deposit a sum of Rs.1050 lakhs subject to the final orders in the matter. The Company has deposited the sum of Rs.1050 lakhs with the Department.	
	(g) Contingent Liability on account of sale of shares of Sri Vishnu Cement Limited	**616.00**
	(h) Contingent Liability in respect of Import duty on Waste Heat Recovery Project under EPCG Scheme	**36.70**
	(i) Contingent Liability on account of CENVAT Cases and others.	**2981.60**
3.	Claims against the Company not acknowledged as debts	**9504.78**

4. Buildings include Rs.11.13 lakhs for purchase of Flats on leasehold lands for which documents of title are yet to be executed in favour of the Company.
5. Loans and Advances:
   (a) Advances include advances to Associates amounting to Rs. 32070.05 lakhs(Previous year Rs.28941.97 lakhs) representing strategic investments in Cement, Sugar, Shipping and Financial Services and trade advances amounting to Rs.32069.32 lakhs (Previous year Rs.42948.28 lakhs) given in the ordinary course of business. Trade advances include a sum of Rs.13885.01 lakhs to Visaka Cement Industry Limited (Visaka), an associate company. Visaka has considerable accumulated losses and has implemented a debt-restructuring package approved by the Corporate Debt Restructuring Cell formed by the Reserve Bank of India. The management is of the view that the advances are recoverable at the values stated. The advances to Subsidiaries and Associates represent strategic long-term investments, which will realise values stated in the long term. The management is of the opinion that any aberrations caused by short term market conditions need not be considered.
   (b) Advances include a sum of Rs.763.10 lakhs being the disputed CENVAT Claims pending in different stages of appeal. Based on Legal Opinion the management is of the view that these are recoverable at value stated.
6. Deferred Revenue Expenditure of Rs.2428.15 lakhs, represents expenditure incurred on mines development and Voluntary Retirement Schemes , which is being written off over a period of 60 months commencing from the year following the year in which the expenditure was incurred.

		2004-2005 Rs. Lakhs	2003-2004 Rs. Lakhs
7.	Raw Materials consumed:		
	Own Quarrying includes:		
(i)	Salaries & Wages	**905.23**	915.78
(ii)	Stores Consumed	**2029.02**	1612.38
(iii)	Royalty	**3322.95**	2774.63
8.	Repairs and Maintenance includes Stores & Spares	**1366.40**	1633.43
9.	Selling and Distribution expenses include		
(i)	Packing Charges	**8156.31**	7678.82
(ii)	Additional Sales Tax	**1319.11**	1327.32
(iii)	Freight outwards	**16414.17**	14163.28
(iv)	Advertisement	**324.61**	242.25

CONSOLIDATED ACCOUNTS
SCHEDULE 17
NOTES ON ACCOUNTS (Contd.)

10. Detailed quantitative information of goods manufactured during the year ended 31st March, 2005.

				2004-2005 Rs. Lakhs	2003-2004 Rs. Lakhs
1.	CEMENT:				
	(a)	Installed Capacity	(Tonnes)	**7690000**	7690000
	(b)	Production	(Tonnes)	**5492687**	5409830
	(c)	Sales – Quantity	(Tonnes)	**5484384**	5414750
		Sales – Value	(Rs.lakhs)	**124555.28**	117717.54
		(Excludes Rs.12872.51 Lakhs towards Sale Value of Clinker. Previous Year Rs. 4823.54)			
	(d)	Opening Stock of goods produced	(Tonnes)	**84572**	89492
		Value	(Rs.lakhs)	**1461.94**	1522.82
	(e)	Closing Stock of goods produced	(Tonnes)	**92875**	84572
		Value	(Rs.lakhs)	**1685.42**	1461.94
2.	CALCIUM CARBIDE:				
	(a)	Licensed Capacity	(Tonnes)	**10000**	10000
	(b)	Installed Capacity	(Tonnes)	**12500**	12500
	(c)	Production	(Tonnes)	**—**	—
	(d)	Opening Stock of Finished Goods	(Tonnes)	**36**	36
		Value	(Rs. Lakhs)	**7.88**	7.88
	(e)	Closing Stock of Finished Goods	(Tonnes)	**36**	36
		Value	(Rs. Lakhs)	**7.88**	7.88
3.	TEXTILES:				
	(a)	Opening stock of Home Textiles			
		Produced	(Pieces)	**51005**	54691
		Value	(Rs. Lakhs)	**114.17**	133.37
	(b)	Closing Stock of Home Textiles			
		Produced	(Pieces)	**45339**	51005
		Value	(Rs. Lakhs)	**111.33**	114.17
	(c)	Sales – Quantity – Home Textiles	(Pieces)	**38565**	25135
		Value	(Rs. Lakhs)	**29.96**	18.39
		Quantity Yarn	(in Kgs.)	**273113**	216231
		Value	(Rs. Lakhs)	**271.73**	279.26
		Quantity Fabrics	(Meters)	**16131**	34943
		Value	(Rs. Lakhs)	**1.77**	22.51
11.	Value of imports on CIF basis				
	(a)	Raw Materials		**—**	—
	(b)	Fuel		**—**	1245.56
	(c)	Spare Parts and Components		**361.96**	186.89
	(d)	Textiles		**4.41**	1.75
12.	Earnings in Foreign Exchange:				
	Export (FOB)				
	Cement – Quantity		(Tonnes)	**29466**	14880
	– Value		(Rs.lakhs)	**565.60**	237.17
	Clinker – Quantity		(Tonnes)	**810852**	384714
	– Value		(Rs.lakhs)	**10091.06**	4239.55
	Textiles – Value		(Rs. lakhs)	**357.17**	293.87
13.	Expenditure in Foreign Currency :				
	Training of Personnel and other matters			**110.78**	35.73

14. Details of imported and indigenous materials consumed during the year

	2004-2005 Value Rs. In lakhs	2004-2005 % to total consumption	2003-2004 Value Rs. In Lakhs	2003-2004 % to total consumption
Raw Materials:				
Imported	**13.55**	**0.09**	28.93	0.23
Indigenous	**14661.05**	**99.91**	12830.38	99.77
Total	**14674.60**	**100.00**	12859.31	100.00
Spare Parts and Components:				
Imported	**361.96**	**38.22**	123.40	16.69
Indigenous	**584.96**	**61.78**	615.85	83.31
Total	**946.92**	**100.00**	739.25	100.00

15. Details of Raw Materials consumed:

	2004-2005 Tonnes	2004-2005 Rs.lakhs	2003-2004 Tonnes	2003-2004 Rs.lakhs
Limestone	**7724964**	**9411.17**	7084357	8411.22
Gypsum	**353680**	**1042.13**	289578	1046.67
Others	**956834**	**3041.47**	836092	2707.21
Freight on Inter Unit Transfer of Clinker		**1179.83**		694.21
Total		**14674.60**		12859.31

16. The value of inventories of the Yerraguntla Cement plant taken over from Cement Corporation of India is provisional, pending finalisation of the values in accordance with the terms of the Memorandum of Understanding dated 10th December, 1997

17. There are no dues to Small Scale Industries, which is outstanding for more than 30 days at the Balance Sheet date computed on unit wise basis. The above information regarding Small Scale Industrial Undertaking has been determined to the extent such parties have been identified on the basis of information available with the Company. This has been relied upon by the Auditors.

18. Note on Debt Restructuring:

[a] The Company had approached the lenders for a debt restructuring in view of the adverse market conditions and very low prices prevailing in the principal markets of the Company. The lenders referred the debt restructuring proposal to the Corporate Debt Restructuring (CDR) Cell formed by the Reserve Bank of India. The CDR Cell approved the Debt Restructuring proposal in its meeting held on March 24, 2003 which was modified in their meeting held on May 06, 2004.. The salient features of the proposal are as under :

(1) The Effective date has been decided as January 1, 2003.

(2) All debts excluding deposits from public will be restructured.

(3) The Company is to infuse Rs.800 Crores not later than Financial Year 2005-06.

(4) There will be multiple options available to the lenders with different exit options and yields.

Most of the lenders have communicated the exit option and have indicated the same to the Company. The Company is awaiting sanction from the other lenders for the CDR process.

Interest, for the lenders who have indicated the exit options have been computed on the basis of the rates applicable to the exit option exercised by them. As regards other lenders the interest has been charged based on the allocation done by the Monitoring Committee formed under the Scheme to monitor the implementation of the package. The interest absorbed in the accounts for such of those lenders who have not exercised the option under the CDR Scheme is Rs 80.37 Lakhs as opposed to Rs 178.69 lakhs as per the document rates.

The common documentation for creation of security between all the lenders and the company is yet to be executed. Pending execution of common documentation between the lenders and the Company, the security clause under the loans have not been changed. Documentation for some of the lenders who have consented to the CDR Package has since been executed.

(b) The Company has during the financial year infused a sum of Rs. 392.61 Crores which has been utilised for repayment of some of the existing debts. The remission in liability , on the said repayments, in excess of interest accrued during the current financial year aggregating to Rs.65.64 Crores has been shown as extraordinary income net of Rs. 2.24 Crores being extraordinary items of expenditure

19. Note on Waste Heat Recovery Project.

The Company has during the year commissioned the Waste Heat Recovery project at Vishnupuram Plant as per the MOU signed by the Company with New Energy Development Organisation (NEDO), Japan, Ministry of Commerce and Industry, Government of India. As per the MOU, the necessary equipment has been provided to the Company free of cost by the Government of Japan through Government of India. The value of the equipment aggregating to Rs 56.59 Crores has been capitalised and has been treated as Deferred Income in the accounts. The depreciation on the value of the equipment is adjusted against the Deferred Income. The asset is to be eventually transferred to the Company by Government of India.

The above equipment has been imported under the EPCG Scheme of the Government of India. As per the Scheme the Company has availed lower import duty on import of the said equipment. Under the Scheme the Company has an obligation to export its products to an aggregate FOB Value of Rs. 180.78 Crores within a period of 8 years. The customs duty saved has been treated as Deferred Income in the accounts and such Deferred Income is being treated as revenue in proportion to the discharge of the export obligation as stipulated by Central Government.

20. Finance charges have been accounted without considering the penal interest payable to Financial Institutions as the Company has approached the Financial Institution for the waiver of the same.

21. Related Party Disclosures:

A. Names of the related parties and the nature of the relationship:

(i) Associate Companies:
Visaka Cement Industry Ltd.
Raasi Cement Ltd.
ICL Sugars Ltd.
India Cements Capital & Finance Ltd.
Trishul Concrete Products Private Ltd.
Coromandel Electric Company Ltd.

(ii) Key Management personnel:
Sri.N.Srinivasan – Vice Chairman & Managing Director.
Sri.N.Ramachandran – Executive Director.

SCHEDULE 17

NOTES ON ACCOUNTS (Contd.)

B. Transactions with Associate Companies:

	Rs. Lakhs
Sale of Goods	**813.17**
Purchase of Shares	**24.60**
Purchase of Assets	**Nil**
Rendering of Services	**30.30**
Receiving of Services	**880.78**
Interest received on Advances	**Nil**
Guarantees Outstanding at the year end	**21742.53**
Outstanding balance included in current asset	**18646.83**

C. Transactions relating to persons mentioned in A. (ii) above:

Remuneration	**126.48**

22. Assets Purchased on Financial Lease:

Fixed Assets shown in Schedule 5 include the following assets purchased on Financial Lease:

Rs. Lakhs

Asset	Gross Block as on 31.03.2005	Net Block as on 31.03.2005
Plant & Machinery	749.18	218.46
Office Equipment	198.47	39.59
Vehicles	285.22	193.16
Total	1232.87	451.21

The total minimum lease amount payable in less than 1 year and its present value are Rs.80.03 lakhs and Rs.77.44 lakhs respectively.

The total minimum lease amounts payable after 1 year but within 5 years and its present value are Rs.129.65 lakhs and Rs125.25 lakhs respectively.

23. Details of Loans and Advances given to Associates and others:

Rs. Lakhs

		Rate of interest charged	Balance as at 31.03.2005	Maximum Balance during the year
A.	Loans and Advances to Associates and others:			
1.	Visaka Cement Industry Ltd.	Nil	**13885.01**	26021.37
2.	Raasi Cement Ltd.	Nil	**1997.99**	2119.89
3.	ICL Sugars Ltd.	Nil	**2642.63**	3761.16
4.	India Cements Capital & Finance Ltd.	Nil	**83.66**	83.66
5.	Trishul Concrete Products Private Ltd.	Nil	**35.75**	35.75
6.	Coromandel Electric Company Limited	Nil	**1.79**	88.84
	Total		**18646.83**	32110.67
B.	Loans and Advances to firms / companies in which directors are interested: (other than the Associates mentioned above)			
1.	ICL Shipping Ltd.	Nil	**9581.47**	9823.94
2.	India Cements Infotech Ltd.	Nil	**246.60**	417.67
	Total		**9828.07**	10241.61

Notes :

1. Loans and Advances shown above to Associates and others are without any repayment schedule.
2. ICDs are not considered as they are repayable on demand and interest is charged at market rates.
3. Loans to Employees as per Company's policy are not considered.
4. None of the above mentioned loanee companies made investments in the shares of the Company and the Company's subsidiaries:

24. Deferred Tax Liability represents the difference between liability arising on account of depreciation amounting to Rs.23386.60 Lakhs [Previous year Rs.25653 Lakhs] and asset arising on account of unabsorbed depreciation & others [reversible interest obligation] amounting to Rs.18757.01 Lakhs [Previous year Rs. 21024 Lakhs]. Given the current industry scenario, the management is confident that there would be sufficient taxable income in the future against which the deferred tax asset can be realised.

25. Earning / Loss Per Share has been computed based on the following figures:

Loss for the year : Rs. 42.28 Lakhs (Previous year : Loss Rs. 9656.74 lakhs)

Weighted average number of equity shares : 1385.88 lakhs (Previous year :1385.88 lakhs)

26. Accounting for investments in Associates (the description and proportion of ownership of which are given below) has been done in line with Accounting Standard 23, based on unaudited accounts of the Associates for the Current year.

Name of the Associate Company	% of Ownership directly or through Subsidiaries
Visaka Cement Industry Limited	49.89
Raasi Cement Limited	28.95
ICL Sugars Limited	49.99
India Cements Capital & Finance Limited	47.91
Trishul Concrete Products Private Limited	49.99
Coromandel Electric Company Limited	49.20

27. The Primary segment of the company is cement and other segments are below the required reportable levels as per the Accounting Standard 17.

28. Consequent to suspension of operations of Industrial Chemicals and Monomers Limited, the Company has been evaluating the options of either operation of the company or its sale. In the meanwhile all the assets of the company are carried at book value and not at reinstated value. The Management is of the view that these assets will realise the values stated therein.

29. The Accounting Policies adopted by the holding company have been applied from the financial year 2001-2002. It is not practicable to apply the standards for the earlier years.

30. The previous year figures have been regrouped wherever necessary.

CONSOLIDATED ACCOUNTS

(C) STATEMENT PURSUANT TO PART IV OF SCHEDULE VI OF THE COMPANIES ACT, 1956.
Consolidated Balance Sheet Abstract and Company's General Business Profile

I Registration details :

Registration No.	00931	State Code	18
Balance Sheet Date	31 03 05		

II Capital raised during the year (Amount in Rs. Thousands)

Public Issue	NIL	Rights Issue	16
Bonus Issue	NIL	Private Placement	139123

(Private placement represents share warrants)

III Position of mobilisation and deployment of funds (Amount in Rs. Thousands)

Total Liabilities	36308308	Total Assets	36308308
Sources of Funds :		Application of Funds :	
Paid up Capital	1775837	Net Fixed Assets	22930499
Reserves & Surplus	14195503	Net Current Assets	7586347
Secured Loans	18454228	Investments	616100
Unsecured Loans	1419781	Miscellaneous Expenses	242815
Deferred Tax liability	462959	Profit and Loss Account	4932547

(Paid up Capital includes share warrants aggregating to Rs. in Thousands 139123)

IV Performance of the Company (Amount in Rs. Thousands)

Turnover	13887493	Total Expenditure	13891673
Profit/Loss Before Tax	- 4180	Profit/Loss After Tax	- 4228
Earnings Per Share (in Rs.)	- 0.24	Dividend Rate %	NIL

V Generic names of the Principal Products/Services of the Company : (as per monetary terms)

Item Code No.(ITC Code)	Product Description
252329.01	CEMENT
	PROPERTY DEVELOPMENT
	POWER GENERATION
	FROM WIND FARMS
	TRADING
	DEALING IN SECURITIES
	FINANCIAL SERVICES
	CALCIUM CARBIDE

Signatures to Schedules 1 to 17

As per our Report of 25th June, 2005

For P.S.SUBRAMANIA IYER &CO.,	For BRAHMAYYA & CO.,	N.SANKAR	N.SRINIVASAN	N.RAMACHANDRAN	B.S. ADITYAN
Chartered Accountants	Chartered Accountants	Chairman	Vice Chairman &	Executive Director	R.K.DAS
G.HARIHARAN	N.SRI KRISHNA		Managing Director		P.N.JAMBUNATHAN
Partner	Partner				N.KUMAR
Membership No.15071	Membership No. 26575				V.M.MOHAMMED MEERAN
Place : Chennai			G.BALAKRISHNAN		N.D.PINGE
Date : 25th June, 2005			Sr. Vice President & Company Secretary		Directors

CONSOLIDATED ACCOUNTS

CASH FLOW STATEMENT FOR THE YEAR ENDED 31st MARCH, 2005

		2005	2005	2004	2004
		Rs.Lakhs	**Rs.Lakhs**	Rs.Lakhs	Rs.Lakhs
A.	**Cash flow from operating activities :**				
	Net Profit before tax and extraordinary items		**- 6016.00**		-13938.46
	Adjusted for :				
	Depreciation	**7900.03**		8183.91	
	Provision for Doubtful Debts & Advances	**151.51**		300.00	
	Foreign Exchange	**0.00**		0.00	
	Profit on Sale of Investments	**0.00**		0.00	
	Profit / Loss on Sale of Assets	**- 439.41**		563.77	
	Interest Expense	**13394.80**		16401.45	
	Interest Income	**- 900.20**		- 892.80	
	Dividend Income	**-19.61**		-15.23	
	Deferred Revenue Expenditure/Income	**- 2009.25**	**18077.87**	- 631.73	23909.37
	Operating Profit before Working Capital Changes		**12061.87**		9970.91
	Trade and other receivables	**7107.66**		- 902.46	
	Inventories	**- 4242.15**		- 505.63	
	Trade payables	**6553.45**	**9418.96**	571.24	- 836.85
	Cash generated from operations		**21480.83**		9134.06
	Direct Taxes		**21.95**		- 39.80
	Cash flow before extra-ordinary items		**21502.78**		9094.26
	Extra-ordinary items		**- 223.32**		0.00
	Net Cash from operating activities (A)		**21279.46**		9094.26
B.	**Cash flow from investing activities :**				
	Purchase of Fixed Assets		**- 2224.78**		-1987.57
	Sale of Fixed Assets		**799.05**		287.02
	Sale of Investments - others		**0.00**		5.08
	Purchase of Investments		**- 5814.95**		0.00
	Interest received		**127.97**		43.21
	Dividend received		**19.61**		15.23
	Refund by / advances to Associates and others		**- 2355.85**		2616.63
	Net Cash from investing activities (B)		**- 9448.95**		979.60

CONSOLIDATED ACCOUNTS

CASH FLOW STATEMENT FOR THE YEAR ENDED 31st MARCH, 2005 (Contd.)

		2005 Rs. Lakhs	2004 Rs. Lakhs
C. Cash flow from financing activities :			
Proceeds from issue of share capital		**1391.39**	0.00
Proceeds from long term borrowings		**41150.76**	0.00
Repayment of borrowings		**- 47326.89**	- 4590.66
Interest paid (net of remission)		**-7143.59**	- 5710.23
Net Cash from financing activities	(C)	**-11928.33**	-10300.89
Increase / (Decrease) in cash and cash equivalent (A+B+C)		**- 97.82**	- 227.03
Cash and cash equivalent at the beginning of the year		**394.87**	621.90
Cash and cash equivalent at the close of the year		**297.05**	394.87

N.SANKAR
Chairman

N.SRINIVASAN
Vice Chairman &
Managing Director

N.RAMACHANDRAN
Executive Director

G.BALAKRISHNAN
Sr. Vice President &
Company Secretary

B.S. ADITYAN
R.K. DAS
P.N.JAMBUNATHAN
N. KUMAR
V.M.MOHAMMED MEERAN
N.D.PINGE
Directors

Place : Chennai
Date : 25th June, 2005

Auditors' Certificate

We have verified the above Cash Flow Statement of The India Cements Ltd. and its Subsidiaries derived from the audited Annual Financial Statements for the years ended 31st March, 2005 and 31st March, 2004 and found the same to be drawn in accordance therewith and also with the requirements of Clause 32 of the Listing Agreements with Stock Exchanges.

For P.S.SUBRAMANIA IYER & CO.,
Chartered Accountants
G.HARIHARAN
Partner
Membership No.15071

For BRAHMAYYA & CO.,
Chartered Accountants
N.SRI KRISHNA
Partner
Membership No.26575

Place : Chennai
Date : 25th June, 2005

SECOND READY MIX CONCRETE PLANT OF TRISHUL CONCRETE PRODUCTS PRIVATE LIMITED, COMMISSIONED AT BANGALORE ON 24th OCTOBER, 2004

POWER PLANT OF COROMANDEL ELECTRIC COMPANY LIMITED AT RAMANATHAPURAM DISTRICT, TAMILNADU, COMMISSIONED ON 27th OCTOBER, 2004

NAGARAJ & CO. PVT. LTD.

THE INDIA CEMENTS LIMITED

Registered Office: "Dhun Building", 827, Anna Salai, Chennai 600 002.

NOTICE TO SHAREHOLDERS

NOTICE is hereby given that the fiftyninth Annual General Meeting of The India Cements Limited will be held at 12.00 Noon on Thursday, the 25th August 2005 at SATHGURU GNANANANDA HALL (Narada Gana Sabha), 314, (Old No.254), T.T.K Road (Mowbrays Road), Chennai 600 018 to transact the following business:

ORDINARY BUSINESS:

1. To receive, consider and adopt the Directors' Report, the accounts of the Company for the year ended 31st March 2005 and the Auditors' Report thereon.
2. To appoint a Director in the place of Mr.N.Sankar who retires by rotation and is eligible for reappointment.
3. To appoint a Director in the place of Mr.B.S.Adityan who retires by rotation and is eligible for reappointment.
4. To appoint Auditors and fix their remuneration:

   To consider and if thought fit, to pass with or without modification, the following resolution as an ORDINARY RESOLUTION:

   "RESOLVED THAT M/s.Brahmayya & Co. and M/s.P.S.Subramania Iyer & Co., Chartered Accountants, Chennai, be and are hereby appointed Auditors of the Company including its branch offices to hold Office from the conclusion of the fiftyninth Annual General Meeting until the conclusion of the sixtieth Annual General Meeting and that their remuneration be and is hereby fixed at Rs.12,50,000/- each, exclusive of service tax and all travelling and out of pocket expenses which shall be reimbursed to them."

SPECIAL BUSINESS:

5. To appoint Mr.P.N.Jambunathan as a Director of the Company and for that purpose to consider and if deemed fit, to pass the following ORDINARY RESOLUTION of which notice has been received from a member of the Company as required under section 257 of the Companies Act, 1956:

   "RESOLVED THAT Mr.P.N.Jambunathan be and is hereby appointed as a Director of the Company subject to retirement by rotation."
6. To appoint Mr.R.K.Das as a Director of the Company and for that purpose to consider and if deemed fit, to pass the following ORDINARY RESOLUTION of which notice has been received from a member of the Company as required under section 257 of the Companies Act, 1956:

   "RESOLVED THAT Mr.R.K.Das be and is hereby appointed as a Director of the Company subject to retirement by rotation."
7. To appoint Mr.Denys Calder Firth as a Director of the Company and for that purpose to consider and if deemed fit, to pass the following ORDINARY RESOLUTION of which notice has been received from a member of the Company as required under section 257 of the Companies Act, 1956:

   "RESOLVED THAT Mr.Denys Calder Firth be and is hereby appointed as a Director of the Company subject to retirement by rotation."
8. To consider and if thought fit, to pass with or without modification the following resolution as an ORDINARY RESOLUTION:

   "RESOLVED THAT pursuant to sections 94 and 16 and other applicable provisions, if any, of the Companies Act, 1956 and Articles of Association of the Company

   a) The Authorised Capital of the Company be and is hereby increased from Rs.2,75,00,00,000/- (Rupees Two Hundred and Seventy Five Crores) divided into 75,00,000 Redeemable Cumulative Preference Shares of Rs.100/- each and 20,00,00,000 Equity Shares of Rs.10/- each to Rs.3,25,00,00,000/- (Rupees Three Hundred and Twenty Five Crores) divided into 75,00,000 Redeemable Cumulative Preference Shares of Rs.100/- each and 25,00,00,000 Equity Shares of Rs.10/- each.

   b) The existing Clause V of the Memorandum of Association of the Company be and is hereby amended to read as follows:

      The Share capital of the Company is Rs.3,25,00,00,000/- (Rupees Three Hundred and Twenty Five Crores only) capable of being increased or decreased in accordance with the Company's Articles and legislative provisions for the time being in force divided into 75,00,000 Redeemable Cumulative Preference Shares of Rs.100/- each and 25,00,00,000 Equity Shares of Rs.10/- each."
9. To consider and if thought fit, to pass with or without modification the following resolution as a SPECIAL RESOLUTION:

   "RESOLVED THAT the existing Article 4 of the Articles of Association of the Company be and is hereby amended in the manner following:

   The Share Capital of the Company is Rs.3,25,00,00,000/- (Rupees Three Hundred and Twenty Five Crores only) divided into 75,00,000 Redeemable Cumulative Preference Shares of Rs.100/- each and 25,00,00,000 Equity Shares of Rs.10/- each."

10. To consider and if thought fit, to pass with or without modification the following resolutions as SPECIAL RESOLUTIONS:

"RESOLVED THAT pursuant to the provisions of Section 81 and all other applicable provisions, if any, of the Companies Act, 1956 (including any amendment thereto or reenactment thereof for the time being in force) and subject to the provisions of the Foreign Exchange Management Act, 1999 (including any amendment thereto or reenactment thereof for the time being in force), the Issue of Foreign Currency Convertible Bonds and Ordinary Shares (through Depository Receipt Mechanism) Scheme, 1993, (including any amendment thereto), SEBI (Disclosure & Investor Protection) Guidelines, 2000 (including any amendment thereto), applicable listing agreements (including any amendment thereto) and in accordance with the relevant provisions of the Memorandum and Articles of Association of the Company and subject to all necessary approvals, consents, permissions and / or sanctions of the Government of India (GOI), Reserve Bank of India (RBI), Securities and Exchange Board of India (SEBI), financial institutions, lenders and all other appropriate and/or relevant / concerned authorities, and subject to such conditions and modifications as may be prescribed by any of them while granting any such approval, consent, permission and/or sanction and agreed to by the Board of Directors of the Company (the "Board") (which term shall be deemed to include any Committee which the Board may have constituted or hereafter may constitute for exercising the powers conferred on the Board by this resolution), which the Board be and is hereby authorised to accept, if it thinks fit and in the interest of the Company, the Board be and is hereby authorised to issue, offer and allot from time to time in one or more tranches, by way of public issue or private placement, offerings in Indian and/or International markets, further equity shares and/or securities convertible into equity shares and/or Global Depository Shares (GDSs)/ Global Depository Receipts (GDRs) / American Depository Receipts (ADRs) / Foreign Currency Convertible Bonds (FCCBs) representing Equity Shares and/or Debentures or Bonds convertible into equity shares whether fully or partly and whether compulsorily or at the option of the Company or the holders thereof and/or any security linked to equity shares and/or Preference Shares whether cumulative / fully convertible and/or all or any of the aforesaid securities with or without detachable or non-detachable warrants, as the Company may be advised (hereinafter collectively referred to as the "Securities") to resident or non-resident / foreign investors (whether institutions and/or incorporated bodies and/or individuals and/or trusts and/or otherwise) / Foreign Institutional Investors (FIIs) / Qualified Institutional Buyers (QIBs)/ Foreign Corporate Bodies (FCBs) / Foreign Companies/ Mutual Funds / Pension Funds / Venture Capital Funds / Banks, Indian or of foreign origin and such other persons or entities, whether or not such investors are members of the Company, to all or any of them, jointly or severally to be subscribed in Indian and/or foreign currency(ies) through prospectus, offering letter, circular, memorandum to the general public and / or through any other mode as may be deemed appropriate by the Board on such terms and conditions as the Board may in its absolute discretion deem fit for not exceeding an amount equivalent to US$115 million (US Dollar One Hundred and Fifteen million only) including premium and Green Shoe Option attached thereto, on such terms and conditions including pricing as the Board may in its sole discretion decide including the form and the persons to whom such Securities may be issued and all other terms and conditions like price or prices, including premium, at such interest or additional interest, at a discount or at a premium on the market price or prices and in such form and manner and on such terms and conditions or such modifications thereto, including the number of Securities to be issued, face value, rate of interest, redemption period, manner of redemption, amount of premium on redemption / prepayment, number of further equity shares, to be allotted on conversion / redemption / extinguishment of debt(s), exercise of rights attached to the warrants, the ratio of exchange of shares and/or warrants and/or any other financial instrument, period of conversion, fixing of record date or book closure and all other related or incidental matters as the Board may in its absolute discretion think fit and decide in consultation with the appropriate authority(ies), the merchant bankers(s) / book runners and/or lead manager(s) and/or underwriter(s) and/or advisor(s) and/or such other person(s), but without requiring any further approval or consent from the shareholders and also subject to the applicable regulations / guidelines for the time being in force."

"RESOLVED FURTHER THAT the Board be and is hereby authorised to allot Securities upto 15% (fifteen percent) of issue (so however, the overall quantum of money raised including any premium shall not exceed for an amount equivalent to US$115 million) to the Stabilisation Agent by availing a Green Shoe Option subject to the provisions of relevant SEBI Guidelines and enter into and execute all such agreements and arrangements with any Merchant Banker or Book Runner, as the case may be, involved or concerned in such offerings of Securities and to pay all such fee / expenses as may be mutually agreed between the Company and the said Stabilisation Agent."

"RESOLVED FURTHER THAT the Securities issued in foreign markets shall be deemed to have been made abroad and / or in the market and/ or at the place of issue of the Securities in the international market and may be governed, if acceptable to the Board, by applicable foreign laws."

"RESOLVED FURTHER THAT the Board be and is hereby authorised to enter into and execute all such agreements and arrangements with any lead manager(s), co-lead manager(s), manager(s), advisor(s), underwriter(s), guarantor(s), depository(ies), custodian(s) and all such agencies as may be involved or concerned in such offerings of Securities and to remunerate all such agencies by way of commission, brokerage, fees, expenses incurred in relation to the issue of Securities and other expenses, if any, or the like and also to seek listing of underlying shares in one or more Indian / International stock exchanges."

"RESOLVED FURTHER THAT the Board and/or an agency or body authorised by the Board may issue or authorise the issue of Depository Receipt(s) / Share(s) or Certificate(s) and/or other forms of Securities, representing the securities issued by the Company in registered or bearer form with such features and attributes as are prevalent in Indian and/or International capital markets for instruments of this nature and to provide for the tradability or free transferability thereof, as per the Indian / International practices and regulations and the recording of any amendment thereto with the United States Securities and Exchange Commission and such other relevant regulatory authority as may be necessary and under the norms and practices prevalent in the Indian / International markets."

"RESOLVED FURTHER THAT the Board be and is hereby authorised to issue and allot such number of equity shares as may be required to be issued and allotted upon conversion of any Securities or as may be necessary in accordance with the terms of the offering, all such further equity shares ranking pari passu with the existing equity shares of the Company in all respects except provided otherwise under the terms of issue of such securities and in the offer document."

"RESOLVED FURTHER THAT subject to the applicable laws, such of these Securities to be issued, as are not subscribed, may be disposed of by the Board to such person(s) and in such manner and on such terms as the Board may in its absolute discretion think most beneficial to the Company, including offering or placing them with resident or non-resident / foreign investor(s) (whether institutions and/or incorporated bodies and/or individuals and/or trusts and/or otherwise) / Foreign Institutional Investors (FIIs) / Mutual Funds / Pension Funds / Venture Capital Funds / banks and/or Employees and business associates of the Company or such other person(s) or entity(ies) or otherwise, whether or not such investors are members of the Company, as the Board may in its absolute discretion decide."

"RESOLVED FURTHER THAT for the purpose of giving effect to the above resolutions, the Board be and is hereby authorised on behalf of the Company to agree to and make and accept such conditions, modifications and alterations stipulated by any of the relevant authorities while according approvals, consents or permissions to the issue as may be considered necessary, proper and expedient and to do all such acts, deeds, matters and things as it may, in its absolute discretion, deem necessary or desirable for such purpose, including without limitation the entering into of underwriting, marketing, depository and custodian arrangements and with power on behalf of the Company to settle any questions, difficulties or doubts that may arise in regard to any such issue(s) / offer(s) or allotment(s) or otherwise and utilisation of the issue proceeds and/or otherwise to alter or modify the terms of issue, if any, as it may in its absolute discretion deem fit and proper without being required to seek any further consent or approval of the Company to the end and intent that the Company shall be deemed to have given its approval thereto expressly by the authority of this resolution."

"RESOLVED FURTHER THAT the Board and any officer(s) of the Company designated by the Board be and are hereby authorised on behalf of the Company to do such acts, deeds, matters and things as it/they may at its/their discretion deem necessary or desirable for such purpose, including without limitation, if required, filing a Registration Statement and other relevant documents with United States Securities and Exchange Commission, or such other regulatory authority as may be necessary for listing the Securities on the Luxembourg Stock Exchange or New York Stock Exchange ("NYSE") and/or NASDAQ or such other international stock exchanges and the entering into of depository arrangements in regard to any such issue or allotment as it/they may in its/their absolute discretion deem fit."

"RESOLVED FURTHER THAT pursuant to Sec.293 (1)(a) and other applicable provisions of the Companies Act, 1956, the Board be and is hereby authorised to secure, if deemed fit and relevant, the entire or any part of the securities together with interest, costs, charges and other amounts payable in respect thereof by creation of mortgage/charge on the whole or part of the Company's immovable and/or movable properties, present and/or future with such ranking and other terms as may be decided by the Board."

11. To consider and if thought fit, to pass with or without modification, the following resolutions as ORDINARY RESOLUTIONS:

RESOLVED THAT consent of the Company be and is hereby accorded in terms of Section 293(1)(a) and other applicable provisions, if any, of the Companies Act, 1956, to mortgaging and /or charging by the Board of Directors of the Company, the following immovable and movable properties of the Company wheresoever situate, present and future and/or conferring power to enter upon and to take possession of the assets of the Company in certain events to or in favour of the following institutions / banks to secure the following loans:

(i) by way of first pari passu charge on all fixed assets of the Company excluding Raasi Plant located at Vishnupuram, Nalgonda District, Andhra Pradesh to:

a) Industrial Development Bank of India Limited (IDBI Ltd.) for its outstanding Corporate Loan of Rs.2.33 Crores;

b) Industrial Development Bank of India Limited (IDBI Ltd.) for its outstanding Rupee Loan of Rs.2.93 Crores granted under Asset Credit Scheme;

c) IFCI Limited for its outstanding Term Loan of Rs.1.97 Crores granted under Equipment Finance Scheme and

d) Housing and Urban Development Corporation Limited (HUDCO) for its Take out Finance Loan of Rs.325 Crores.

(ii) by way of exclusive charge on Raasi Plant located at Vishnupuram, Nalgonda Dist., Andhra Pradesh to:

ICICI Bank Limited for its Rupee Term Loan of Rs.269.5 Crores.

together with interest thereon at the agreed rate, compound interest, additional interest, liquidated damages, commitment charges, premia on prepayment, costs, charges, expenses and other monies payable by the Company to the aforesaid banks / financial institutions in terms of their heads of agreements/ loan agreements/ hypothecation agreements/subscription agreements/ letters of sanction/ memorandum of terms and conditions entered into/to be entered into by the Company in respect of the said loans."

"RESOLVED FURTHER THAT the Board of Directors of the Company be and is hereby authorised to finalise with the said banks / financial institutions the documents for creating the aforesaid mortgage and/or charge and to do all such acts and things as may be necessary for giving effect to the above resolution."

NOTES:

1. Explanatory Statement is annexed to the Notice of the fiftyninth Annual General Meeting of the Company as required by Section 173(2) of the Companies Act, 1956 in respect of items no. 5 to 11.
2. Details pursuant to clause 49 of the Listing Agreement with the Stock Exchanges in respect of Directors seeking appointment / reappointment at the Annual General Meeting are separately annexed hereto for items no. 2, 3,5, 6 and 7.
3. ANY MEMBER ENTITLED TO ATTEND AND VOTE IS ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE INSTEAD OF HIMSELF AND THE PROXY NEED NOT BE A MEMBER. THE PROXIES SHOULD, HOWEVER, BE DEPOSITED AT THE REGISTERED OFFICE OF THE COMPANY NOT LATER THAN 48 HOURS BEFORE THE COMMENCEMENT OF THE MEETING.
4. The Register of Members and Share Transfer Books of the Company will remain closed from 17th August 2005 to 25th August 2005 (both days inclusive).
5. Members are requested to contact the Registrar and Share Transfer Agent for all matters connected with the Company's shares at:

   Integrated Enterprises (India) Limited, 2nd Floor, 'Kences Towers', No.1, Ramakrishna Street, North Usman Road, T Nagar, CHENNAI 600 017. Tel.: 044 – 28140801 to 28140803, Fax : 044 – 28142479, Email: yesbalu@iepindia.com

   Members holding shares in physical form are requested to notify change of address, if any, to the Registrar and Share Transfer Agent (RTA). Members holding shares in physical form in more than one folio are requested to write to the RTA immediately enclosing their share certificates for consolidation of their holdings in one folio.
6. Members holding shares in the dematerialised mode are requested to intimate all changes with respect to their bank details, mandate, nomination, power of attorney, change of address etc. to their Depository Participant (DP). These changes will be automatically reflected in the Company's records.
7. Unclaimed dividends upto and including for the financial year 1994-95 have been transferred to the General Revenue Account of the Central Government. Shareholders who have not encashed their dividend warrants relating to financial year(s) upto 1994-95 may claim the same from the Registrar of Companies, TamilNadu-I, Chennai, No.26, Haddows Road, Chennai 600 006, in the prescribed form which will be supplied by the Company on request.
8. Unclaimed dividends for the financial year ended 31st March 1996 and 31st March 1997 have been transferred to Investor Education and Protection Fund on 22.10.2003 and 5.11.2004 respectively.

   The shareholders may note that the dividend for the financial year ended 31st March 1998 and all dividends declared thereafter, which remain unpaid or unclaimed for a period of 7 years will be transferred to the Investor Education and Protection Fund established under section 205C of the Companies Act, 1956. Shareholders who have not encashed the dividend warrant(s) so far for the financial year ended 31st March 1998 or any subsequent financial year(s) are requested to make their claim to the Registered Office of the Company. It may also be noted that once the unclaimed dividend is transferred to the Investor Education and Protection Fund, as above, no claim shall lie in respect thereof.
9. Under the provisions of Section 109A and 109B of the Companies Act, 1956, shareholder(s) is/are entitled to nominate in the prescribed manner, a person to whom his/her/their shares in the Company, shall vest after his/her/their lifetime. Members who are holding shares in physical form and are interested in availing this nomination facility are requested to write to the Company/RTA.

By order of the board
for THE INDIA CEMENTS LIMITED

Place : Chennai
Date : 25th July 2005

G BALAKRISHNAN
Sr. Vice President & Company Secretary

PURSUANT TO CLAUSE 49 OF THE LISTING AGREEMENT WITH THE STOCK EXCHANGES, FOLLOWING INFORMATION ARE FURNISHED ABOUT THE DIRECTORS PROPOSED TO BE APPOINTED / REAPPOINTED, VIDE ITEMS NO. 2, 3, 5, 6 & 7 OF THE NOTICE DATED 25TH JULY 2005.

i)	Name of the Director	:	Mr.N.Sankar
	Date of Birth	:	19th November 1945
	Date of appointment on the Board as Director	:	15th September 1989
	Date of last reappointment as Director	:	24th September 2003
	Expertise in specific functional areas	:	Industry
	Qualification	:	M.S. (Chemical Engg.)
	List of outside Directorships held	:	1. Sanmar Engineering Corporation Limited
			2. AMP Sanmar Life Insurance Company Limited

			3. Sanmar Holdings Limited 4. SHL Securities (Alpha) Limited 5. F.L.Smidth Limited 6. Bata India Limited 7. Chennai Willingdon Corporate Foundation
	Chairman / Member of the Committees of Board of Directors of the Company	:	Shareholders'/ Investors' Grievance Committee – Chairman Remuneration Committee - Chairman
	Chairman / Member of the Committees of Board of Directors of other Companies in which he is a Director	:	Nil
ii)	Name of the Director	:	Mr.B.S.Adityan
	Date of Birth	:	24th September 1936
	Date of appointment on the Board as Director	:	7th March 1967
	Date of last reappointment as Director	:	24th September 2003
	Expertise in specific functional areas	:	Industry
	Qualification	:	Bachelor of Arts
	List of outside Directorships held	:	1. Sun Paper Mill Limited 2. Aruna Hotels Limited 3. India Cements Capital & Finance Limited 4. MIOT Hospitals Limited
	Chairman / Member of the Committees of Board of Directors of the Company	:	Audit Committee – Chairman Shareholders' / Investors' Grievance Committee – Member Remuneration Committee – Member
	Chairman / Member of the Committees of Board of Directors of other companies in which he is a director	:	1. Aruna Hotels Limited Audit Committee - Member 2. India Cements Capital & Finance Limited Audit Committee - Member
iii)	Name of the Director	:	Mr.P.N.Jambunathan
	Date of Birth	:	17th February 1941
	Date of appointment on the Board as Director	:	24th September 2004
	Date of last reappointment as Director	:	Not Applicable
	Expertise in specific functional areas	:	General Management
	Qualification	:	M.Sc (Maths)
	List of outside Directorships held	:	Nil
	Chairman / Member of the Committees of Board of Directors of the Company	:	Nil
	Chairman / Member of the Committees of Board of Directors of other Companies in which he is a Director	:	Nil
iv)	Name of the Director	:	Mr.R.K.Das
	Date of Birth	:	23rd May 1933
	Date of appointment on the Board as Director	:	1st October 2004
	Date of last reappointment as Director	:	Not Applicable
	Expertise in specific functional areas	:	Technical
	Qualification	:	B.E (Mech.) M.I.E
	List of outside Directorships held	:	1. ICL Financial Services Limited 2. ICL International Limited 3. ICL Securities Limited

			4. ICL Shipping Limited 5. ICL Sugars Limited 6 Indu Spin Industries Limited 7. Industrial Chemical & Monomers Limited 8. Jubilee Cements Limited 9. Raasi Cement Limited 10. Visaka Cement Industry Limited
	Chairman / Member of the Committees of Board of Directors of the Company	:	Nil
	Chairman / Member of the Committees of Board of Directors of other Companies in which he is a Director	:	Nil
v)	Name of the Director	:	Mr.Denys Calder Firth
	Date of Birth	:	26th May 1951
	Date of appointment on the Board as Director	:	18th May 2005
	Date of last reappointment as Director	:	Not Applicable
	Expertise in specific functional areas	:	Capital Markets
	Qualification	:	BA Physics (Oxford University)
	List of outside Directorships held	:	Nil
	Chairman / Member of the Committees of Board of Directors of the Company	:	Nil
	Chairman / Member of the Committees of Board of Directors of other Companies in which he is a Director	:	Nil

EXPLANATORY STATEMENT ANNEXED TO THE NOTICE OF THE FIFTYNINTH ANNUAL GENERAL MEETING OF THE COMPANY IN RESPECT OF ITEMS NO. 5 TO 11 OF THE NOTICE DATED 25TH JULY 2005

Item No. 5:

Mr.P.N.Jambunathan nominated by Life Insurance Corporation of India was appointed by the Board as a Director of the Company on 24th September 2004 to fill in the casual vacancy caused by the withdrawal of nomination of Mr.N.R.Ranganathan. Under provisions of Article 105 of the Articles of Association of the Company read with Section 262 of the Companies Act, 1956, Mr.P.N.Jambunathan will hold office upto the date of fiftyninth Annual General Meeting. Notice in writing under section 257 of the Companies Act, 1956 has been received along with necessary deposit from a member signifying his intention to propose the appointment of Mr.P.N. Jambunathan as Director at the fiftyninth Annual General Meeting. Mr.P.N.Jambunathan is Executive Director (Retd.), Life Insurance Corporation of India. This ordinary resolution is submitted to the meeting for approval.

Interest of Directors:

Mr.P.N.Jambunathan is interested in the resolution as it concerns his appointment. No other Director is directly or indirectly concerned or interested in this resolution.

Item No. 6:

Mr.R.K.Das was appointed by the Board as an additional Director of the Company on 24th September 2004 effective from 1st October 2004. Under provisions of Article 103 of the Articles of Association of the Company read with Section 260 of the Companies Act,1956, Mr.R.K.Das will hold office upto the date of fiftyninth Annual General Meeting. Notice in writing under section 257 of the Companies Act, 1956 has been received along with necessary deposit from a member signifying his intention to propose the appointment of Mr.R.K.Das as Director at the fiftyninth Annual General Meeting. Mr.R.K.Das is President (Operations-Retd.), The India Cements Limited after long service and has rich experience in the cement industry. This ordinary resolution is submitted to the meeting for approval.

Interest of Directors:

Mr.R.K.Das is interested in the resolution as it concerns his appointment. No other Director is directly or indirectly concerned or interested in this resolution.

Item No. 7:

In terms of the Master Agreement dated 2nd March 2005 signed with ADRC Limited, which has subscribed for Company's Equity warrants and Optionally Convertible Debentures, Mr.Denys Calder Firth was nominated for appointment on the Company's Board and accordingly he was appointed by the Board as an additional Director of the Company on 18th May 2005. Under provisions of Article 103 of the Articles of Association of the Company read with Section 260 of the Companies Act, 1956, Mr.Denys Calder Firth will hold office upto the date of fiftyninth Annual General Meeting. Notice in writing under section 257 of the Companies Act, 1956 has been received along with necessary deposit from a member signifying his intention to propose the appointment of Mr.Denys Calder Firth as Director at the fiftyninth Annual General Meeting. Mr.Denys Calder Firth is Vice Chairman of the International Primary Markets Association, Hongkong. This ordinary resolution is submitted to the meeting for approval.

Interest of Directors:

Mr.Denys Calder Firth is interested in the resolution as it concerns his appointment. No other Director is directly or indirectly concerned or interested in this resolution.

Items No.8 & 9

The Company proposes to issue further equity shares and/or other Securities convertible into equity shares, and / or Global Depository Shares (GDSs)/ Global Depository Receipts (GDRs) / American Depository Receipts (ADRs) / Foreign Currency Convertible Bonds (FCCBs) and / or Debentures or Bonds etc., in Indian/International Markets as setout in item No.10 hereunder. The proposed offering of equity shares /other Securities convertible into equity shares will lead to increase in the subscribed and paid-up Capital of the Company beyond the present limit of Authorised capital of Rs.275 crores fixed by the Shareholders at the Extraordinary General meeting (EGM) held on 17th January 2005. Hence the resolution for increasing the limit of Authorised Capital to Rs.325 crores.

Interest of Directors:

No director of the Company is directly or indirectly concerned or interested in this resolution.

Inspection:

The Memorandum and Articles of Association of the Company are available for inspection at the Registered Office of the Company between 11.00 A.M. and 1.00 P.M. on any working day prior to the date of the meeting and will also be available for inspection at the meeting.

Items No.10

The Company is continuously on the look out for improving its leverage and since there has been a significant increase in the market capitalisation of the Company, consequent to the improved performance of the industry and the Company as also due to the various initiatives taken by the Company and since there is a window for making an equity issue in Indian / International markets, the Company is exploring the possibilities of issuance of GDRs / other securities in India and/or abroad.

Taking into account the performance and positive outlook for Cement Industry in general and for your Company in particular, it is considered prudent to raise additional funds through an issue of securities by way of offerings in Indian and/or International markets, further equity shares and/or securities convertible into equity shares, including Global Depository Shares (GDSs)/ Global Depository Receipts (GDRs) / American Depository Receipts (ADRs) / Foreign Currency Convertible Bonds (FCCBs) and / or Debentures or Bonds convertible into equity shares whether fully or partly and whether compulsorily or at the option of the Company or the holders thereof and/or any security linked to equity shares and / or Preference Shares whether cumulative / fully convertible and / or all or any of the aforesaid securities with or without detachable or non-detachable warrants, as the Company may be advised (hereinafter collectively referred to as the “Securities”) to be subscribed in Indian and/or foreign currency(ies).

The funds to be raised from the issue will be primarily used for reduction of debts / redemption of existing Preference shares and for other corporate requirements.

The exact nature, proportion and size and timing of the issue of Securities will be decided by the Board based on the advice of merchant / investment bankers, book runners and/or lead manager(s) and/or underwriter(s) and/or advisor(s) and/or such other person(s).

Section 81 of the Companies Act, 1956, provides, inter alia, that where it is proposed to increase the subscribed share capital of the Company by issue and allotment of further shares, such further shares shall be offered to the persons who at the date of the offer are holders of the equity shares of the Company, in proportion to the capital paid-up on those shares as of that date unless the shareholders in a general meeting decide otherwise. The Listing Agreements executed by the Company with various stock exchanges also provide that the Company shall issue or offer in the first instance all securities to the existing equity shareholders of the Company unless the shareholders in a general meeting decide otherwise.

This Special Resolution seeks the consent of the shareholders by authorising the Board to make the proposed issue of securities and in the event that it is decided to issue securities convertible into equity shares, to issue to the holders of such convertible securities in such manner and in such number of equity shares at such time or times and price on conversion as may be required to be issued in accordance with the terms of the issue.

This Special Resolution gives adequate flexibility and discretion to the Board to finalise the nature of security, terms of the issue, in consultation with the merchant/ investment bankers, book runners and/or lead manager(s) and/or underwriter(s) and/or advisor(s) and/or such other person(s) as need to be consulted including in relation to the pricing of the issue.

The Securities may have to be secured by the creation of a mortgage and/or charge on all or any of the Company's immovable and/ or movable assets, both present and future in such form and manner and on such terms as may be deemed to be fit and appropriate by the Board and therefore it is necessary for the Company to pass a resolution under section 293(1)(a) of the Companies Act 1956, before creation of the said mortgage or charge.

The resolution set out in the notice is commended for approval of the shareholders.

Interest of Directors:

No director of the Company is directly or indirectly concerned or interested in this resolution.

Item No.11:

A. The following outstanding loans availed by erstwhile Raasi Cement Limited (RCL) and taken over by the Company on the sanction of Scheme of Arrangement by the Honourable High Court of Andhra Pradesh, are secured by properties of Raasi plant, Vishnupuram, Nalgonda District, Andhra Pradesh.

   i) Industrial Development Bank of India Limited (IDBI Ltd.) for its outstanding Corporate Loan of Rs.2.33 Crores;

   ii) Industrial Development Bank of India Limited (IDBI Ltd.) for its outstanding Rupee Loan of Rs.2.93 Crores granted under Asset Credit Scheme;

   iii) IFCI Limited for its outstanding Term Loan of Rs.1.97 Crores granted under Equipment Finance Scheme.

   As per loan agreements signed with ADRC Limited, Mauritius and ICICI Bank Limited, exclusive charge on the properties of Raasi Cement plant is to be created in their favour. On release of the Raasi assets the aforesaid loans from IDBI Limited and IFCI Limited would become unsecured. It would therefore be necessary for the Company to create security on the fixed assets other than Raasi properties in terms of the approved Corporate Debt Restructuring Scheme.

B. The Company has been sanctioned a take out finance loan of Rs.325 Crores by Housing and Urban Development Corporation Limited (HUDCO) for repayment of high cost loans from banks / financial institutions availed by the Company. As per the terms and conditions of the sanction, the loan from the HUDCO is required to be secured by a first pari passu mortgage and charge along with other lenders on movable and immovable properties of the Company (excluding the "Raasi" Plant of the Company at Vishnupuram).

C. The Company has also availed a Rupee Term Loan of Rs.269.5 Crores from ICICI Bank Limited for redemption of non-convertible debentures of the Company held by Unit Trust of India. One of the terms and conditions setout by ICICI Bank Limited in its letter No.COD/ dated 17th March, 2005 is that the financial assistance is required to be secured by an exclusive charge on the Raasi plant located in Vishnupuram in favour of IDBI Trusteeship Services Limited, the Security Trustee.

Section 293(1)(a) of the Companies Act, 1956, provides, inter alia, that the Board of Directors of a public company shall not, without the consent of such public company in general meeting, sell, lease or otherwise dispose of the whole or substantially the whole of the undertaking of the Company, or where the Company owns more than one undertaking, of the whole or substantially the whole of any such undertaking. Since the mortgaging by the Company of its immovable and movable properties as aforesaid may be regarded as disposal of the Company's properties / undertakings, it is necessary for the members to pass a resolution under Section 293(1)(a) of the Companies Act, 1956, for creation of the said mortgage / charge. Hence the resolution.

Inspection of Documents:

Copies of letter No.HUDCO/CHRO/INDIA CEMENTS/ 18666/2005/5844 dated 4th April 2005 received from Housing and Urban Development Corporation Limited, Letter No. BY.CDR/795/2003/04 dated 6th May 2003 received from Corporate Debt Restructuring Cell, Mumbai and Letter No.COD / dated 17th March 2005 received from ICICI Bank Limited are available for inspection of the shareholders at the Registered Office of the Company between 11.00 A.M. and 1.00 P.M. on any working day prior to the date of the meeting and will also be available for inspection at the meeting.

Interest of Directors:

No director of the Company except Mr.K.Sivaprakasam representing Industrial Development Bank of India Limited and Mr.N.D.Pinge representing ICICI Bank Limited, is directly or indirectly concerned or interested in this resolution.

By order of the Board
for THE INDIA CEMENTS LIMITED

Place: Chennai
Date : 25th July 2005

G BALAKRISHNAN
Sr. Vice President & Company Secretary